GLOBAL EDITION

Principles of Marketing

NINETEENTH EDITION

Philip Kotler

Gary Armstrong

Sridhar Balasubramanian

PRINCIPLES of MARKETING

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Nineteenth Edition
Global Edition

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Dedication

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Preface

New to This Edition

All That's New: Marketing in a Digital Age of Customer Value and Engagement

The nineteenth edition of *Principles of Marketing* reflects the major trends and shifting forces that impact marketing in this digital age of customer value, engagement, and relationships. Here are just some of the major new and continuing changes you'll find in this edition.

- *Customer engagement framework:* This nineteenth edition continues to build on its *customer engagement* framework—creating direct and continuous customer involvement in shaping brands, brand conversations, brand experiences, brand advocacy, and brand community. New coverage and fresh examples throughout the text address the latest customer engagement tools, practices, and developments.
- *Digital marketing:* In the nineteenth edition, the *Digital Marketing* chapter (Chapter 17) is retitled, heavily restructured, and much revised, with substantial new framing and content. Rather than treating digital marketing as a part of the promotion mix, the chapter is now a standalone digital marketing strategy chapter that focuses on special considerations in preparing digital marketing campaigns. The recrafted chapter is organized around a four-step digital marketing process that involves understanding digital marketing, preparing for a digital marketing campaign, employing digital channels (online, social media, and mobile marketing) in an omni-channel strategy, and addressing public policy issues in digital marketing.
- *Marketing information and customer insights management:* In the nineteenth edition, the *Managing Marketing Information to Gain Customer Insights* chapter (Chapter 4) has been heavily restructured and revised to reflect the extensive transformation of marketing research and information insights management in the digital age—from data sources and digital insights gathering to big data and marketing analytics. The massive digital shift in managing marketing information is now fully integrated into the chapter.
- *Marketing in the age of disruption*: Throughout the nineteenth edition, you'll find new coverage of how companies are dealing with recent major disruptions in the marketing environment. The recent past has been marked by everything from the rapid rise of digital technologies and large economic swings to extreme environmental patterns, social and political turmoil, and global health crises. For example, the digital age has caused an enormous shift in what, how, and where consumers buy. Wide-ranging social, environmental, and political developments require a new approach to social responsibility, sustainability, diversity, and brand activism. The global COVID-19 pandemic had a huge and lasting impact on consumers and, consequently, on the industries and brands that serve them. Such disruptions create both threats and opportunities for marketers, who must adapt quickly and create flexible strategies that can deal with uncertain times and futures.
- *Diversity, equity, and inclusion (DEI):* With guidance from DEI experts, every effort has been made to ensure that the nineteenth edition of *Principles of Marketing* fully and responsibly represents the interests of diversity, equity, and inclusion in its treatment of marketing topics, examples, and illustrations. We also take care throughout this edition to note how marketers are applying DEI values in their strategies and actions. As just a few examples, see the new Chapter 15 section on *Diversity, Equity, and Inclusion (DEI) in Advertising* and Real Marketing 15.2: Diversity, Equity, and Inclusion in Advertising: More Than a Catchphrase. Also see the substantially revised and updated Chapter 5 *Subculture* sections, Chapter 3 *Diversity* section, and Chapter 7 discussion of gender segmentation and gender-neutral marketing.
- *Content marketing and marketing communications:* The nineteenth edition continues to track fast-changing developments in marketing communications and the creation of brand content. Marketers no longer simply create advertising and integrated marketing

communications programs; they join with customers and media to curate and share marketing content in paid, owned, earned, and shared media. You won't find fresher coverage of these important topics in any other marketing text.

- *Global marketing and sustainable marketing:* The nineteenth edition's *Global Marketing* and *Sustainable Marketing* chapters (Chapters 19 and 20) have both been significantly restructured and revised, with new organizing frameworks, concepts, and examples. For example, in the sustainability chapter, the environmental sustainability sections have much new material, including new discussions of carbon footprint/offsetting and a set of specific approaches to reducing environmental harm. The final section includes a new set of principles for building a sustainable marketing organization.
- *Omni-channel marketing and retailing:* Linked with all the new digital marketing developments, this edition addresses the substantial shifts toward omni-channel marketing and retailing. Such discussions are integrated throughout the text, but see especially the *Marketing Channels* and *Retailing and Wholesaling* chapters (Chapters 12 and 13) and the new sections in the *Digital Marketing* chapter (Chapter 17).
- *Marketing technology:* Keeping up with digital concepts, technologies, and practices is a top priority and major challenge for today's marketers. The nineteenth edition of *Principles of Marketing* provides thoroughly refreshed, up-to-date coverage of these explosive developments in every chapter—from digital, online, mobile, and social media engagement technologies in Chapters 1, 4, 15, and 17; to "big data," new marketing analytics, the Internet of Things, and artificial intelligence in Chapters 1, 3, 4, and 17; to the massive shift to omni-channel and digital marketing in Chapters 13 and 17; to marketing in the metaverse (Chapters 7 and 17). A Chapter 1 section on *The Digital Age: Online, Mobile, and Social Media Marketing* introduces the exciting developments in digital and social media marketing. Then a heavily revised Chapter 17 on *Digital Marketing* digs more deeply into digital marketing strategy and the digital tools by which marketers engage consumers anywhere, anytime via their digital devices.
- *Fast-changing marketing trends and topics:* This edition adds fresh coverage of both traditional marketing areas and fast-changing topics such as digital, mobile, and social media marketing; customer engagement marketing; the customer journey; big data, artificial intelligence, and new marketing analytics; influencer marketing; the major digital transformation in marketing research; omni-channel marketing and the game-changing shifts in today's retailing; real-time customer listening and marketing; marketing content creation and curation; technology-driven customer service; B-to-B social media and social selling; online and dynamic pricing; and much more.

New Real-World Brand Stories, Highlights, Cases, and In-Text Examples

The nineteenth edition of *Principles of Marketing* is loaded with new brand stories, highlight features, cases, in-text examples, and end-of-chapter exercises and features that illustrate brand strategies and contemporary marketing issues and let students apply what they've learned.

- *New company cases, applications, and exercises:* The nineteenth edition provides 15 new company cases by which students can apply what they learn to actual company


CHAPTER 7 | Customer Value–Driven Marketing Strategy: Creating Value for Target Customers 215

Meta
Facebook Messenger Instagram WhatsApp Oculus

46 PART 1 | Defining Marketing and the Marketing Process

Real Marketing 1.2 | Zoom: A Winning Product and Agile Marketing in the Digital Age

Real-time marketing: Video conferencing app Zoom has made skillful use of real-time social media marketing to create a fresh, relevant brand personality and spark real-time engagement.

Seemanta Dutta/Alamy Stock Photo

situations. End-of-chapter discussion questions, critical thinking exercises, and other applications features are also mostly new and revised.

- *Chapter-opening stories, Real Marketing highlights, and in-text examples:* The nineteenth edition brings marketing to life with new or heavily revised chapter-opening vignettes, boxed features that highlight relevant companies and marketing issues, and loads of new in-text examples and images throughout that illustrate contemporary marketing practice.

Solving Teaching and Learning Challenges

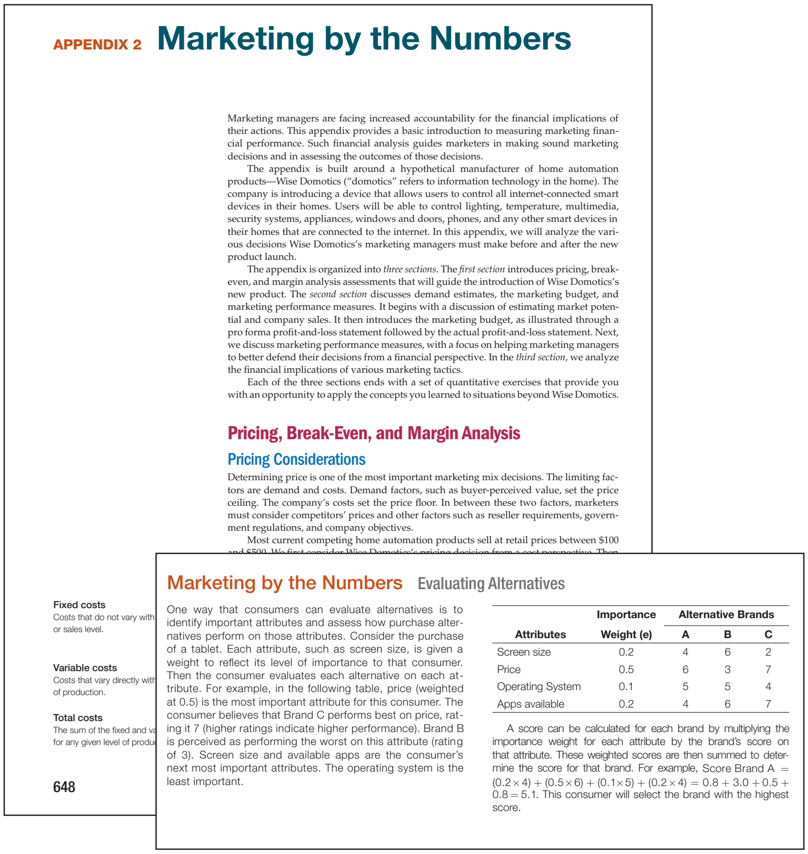
Today's marketing is all about creating customer value and engagement in a fast-changing, increasingly digital and social marketplace. Marketing starts with understanding consumer needs and wants, determining which target markets the organization can serve best, and developing a compelling value proposition by which the organization can attract and grow valued consumers. Then, more than just making a sale, today's marketers want to engage customers and build deep customer relationships that make their brands a meaningful part of consumers' conversations and lives.

In this digital age, marketers have a dazzling set of online, mobile, and social media tools for engaging customers anytime, anyplace to jointly shape brand conversations, experiences, and community. If marketers do these things well, they will reap the rewards in terms of market share, profits, customer advocacy, and customer equity. In the nineteenth edition of *Principles of Marketing*, students learn how customer value and customer engagement drive every good marketing strategy.

Six Major Customer Value and Engagement Themes

The nineteenth edition of *Principles of Marketing* builds on six major customer value and engagement themes:

1. ***Creating value* for *customers in order to capture value* from *customers in return*.** Today's marketers must be good at *creating customer value, engaging customers*, and *managing customer relationships*. In return, they capture value from customers in the form of sales, profits, customer advocacy, and customer equity. This innovative *customer value and engagement framework* is introduced at the start of Chapter 1 in a unique five-step marketing process model, which details how marketing *creates* customer value and *captures* value in return. The framework is carefully developed in the first two chapters and then fully integrated throughout the remainder of the text.
2. ***Customer engagement and today's digital and social media.*** Digital, mobile, and social media have dramatically changed how companies and brands engage consumers, and how consumers connect and influence each other's brand behaviors. The nineteenth edition thoroughly explores the exciting digital technologies that help brands to engage customers more deeply and interactively. It starts with two major Chapter 1 sections: *Customer Engagement and Today's Digital Media* and *The Digital Age: Online, Mobile, and Social Media Marketing.* A completely restructured and revised Chapter 17 on *Digital Marketing* summarizes the latest developments in digital marketing strategy and digital engagement tools. Chapters 13 and 17 discuss the massive shift toward digital and omni-channel buying and marketing. Everywhere in between, you will find revised and expanded coverage of



APPENDIX 2 **Marketing by the Numbers**

Marketing managers are facing increased accountability for the financial implications of their actions. This appendix provides a basic introduction to measuring marketing financial performance. Such financial analysis guides marketers in making sound marketing decisions and in assessing the outcomes of those decisions.

The appendix is built around a hypothetical manufacturer of home automation products—Wise Domotics ("domotics" refers to information technology in the home). The company is introducing a device that allows users to control all internet-connected smart devices in their homes. Users will be able to control lighting, temperature, multimedia, security systems, appliances, windows and doors, phones, and any other smart devices in their homes that are connected to the internet. In this appendix, we will analyze the various decisions Wise Domotics's marketing managers must make before and after the new product launch.

The appendix is organized into *three sections*. The *first section* introduces pricing, break-even, and margin analysis assessments that will guide the introduction of Wise Domotics's new product. The *second section* discusses demand estimates, the marketing budget, and marketing performance measures. It begins with a discussion of estimating market potential and company sales. It then introduces the marketing budget, as illustrated through a pro forma profit-and-loss statement followed by the actual profit-and-loss statement. Next, we discuss marketing performance measures, with a focus on helping marketing managers to better defend their decisions from a financial perspective. In the *third section*, we analyze the financial implications of various marketing tactics.

Each of the three sections ends with a set of quantitative exercises that provide you with an opportunity to apply the concepts you learned to situations beyond Wise Domotics.

Pricing, Break-Even, and Margin Analysis

Pricing Considerations

Determining price is one of the most important marketing mix decisions. The limiting factors are demand and costs. Demand factors, such as buyer-perceived value, set the price ceiling. The company's costs set the price floor. In between these two factors, marketers must consider competitors' prices and other factors such as reseller requirements, government regulations, and company objectives.

Most current competing home automation products sell at retail prices between $100

Fixed costs
Costs that do not vary with
or sales level.

Variable costs
Costs that vary directly with
of production.

Total costs
The sum of the fixed and va
for any given level of produ

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Marketing by the Numbers Evaluating Alternatives

One way that consumers can evaluate alternatives is to identify important attributes and assess how purchase alternatives perform on those attributes. Consider the purchase of a tablet. Each attribute, such as screen size, is given a weight to reflect its level of importance to that consumer. Then the consumer evaluates each alternative on each attribute. For example, in the following table, price (weighted at 0.5) is the most important attribute for this consumer. The consumer believes that Brand C performs best on price, rating it 7 (higher ratings indicate higher performance). Brand B is perceived as performing the worst on this attribute (rating of 3). Screen size and available apps are the consumer's next most important attributes. The operating system is the least important.

	Importance	Alternative Brands		
Attributes	Weight (e)	A	B	C
Screen size	0.2	4	6	2
Price	0.5	6	3	7
Operating System	0.1	5	5	4
Apps available	0.2	4	6	7

A score can be calculated for each brand by multiplying the importance weight for each attribute by the brand's score on that attribute. These weighted scores are then summed to determine the score for that brand. For example, Score Brand A = $(0.2 \times 4) + (0.5 \times 6) + (0.1 \times 5) + (0.2 \times 4) = 0.8 + 3.0 + 0.5 + 0.8 = 5.1$. This consumer will select the brand with the highest score.

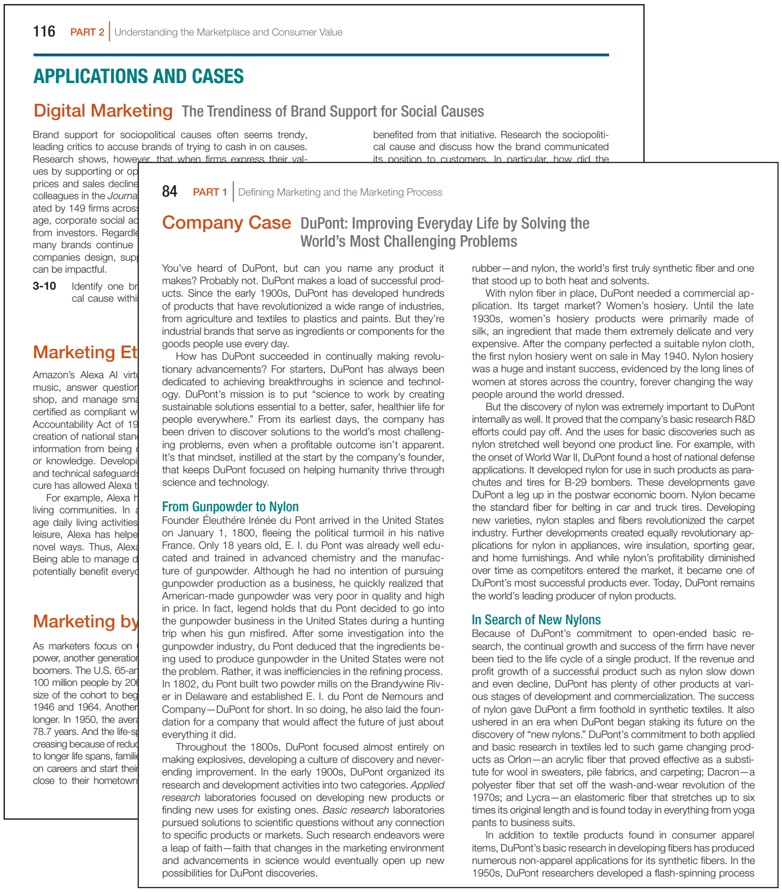
the exploding use of digital and social marketing tools.

3. ***Building and managing strong, value-creating brands***. Well-positioned brands with strong brand equity provide the basis upon which to build customer value and profitable customer relationships. Today's marketers must position their brands powerfully and manage them well to create valued brand experiences. The nineteenth edition provides a deep focus on brands, anchored by a Chapter 8 section on *Branding Strategy: Building Strong Brands*.
4. ***Measuring and managing return on marketing***. Especially in uneven economic times and an uncertain marketing environment, marketing managers must ensure that their marketing dollars are being well spent. "Marketing accountability"—measuring and managing marketing return on investment—has now become an important part of strategic marketing decision making. This emphasis on marketing accountability is addressed in Chapter 2, in Appendix 2 *Marketing by the Numbers*, and throughout the nineteenth edition.
5. ***Sustainable marketing around the globe***. As technological developments make the world an increasingly smaller and more fragile place, marketers must be good at marketing their brands globally and in sustainable ways. New material throughout the nineteenth edition emphasizes the concepts of global marketing and sustainable marketing—meeting the present needs of consumers and businesses while also preserving or enhancing the ability of future generations to meet their needs. The nineteenth edition integrates global marketing and sustainability topics throughout the text. It then provides focused coverage on each topic in Chapters 19 and 20, respectively. Both chapters are substantially restructured and revised in this edition for clarity and currency.
6. ***Marketing in the age of disruption.*** Disruptions in the marketing environment have always been around. There will be a constant flow of future disruptions, and the "new normal" will always be elusive and evolving. Throughout the nineteenth edition, you'll find discussions and examples of how companies and brands are successfully meeting disruptive challenges—from the digital revolution and large economic swings to new-age disruptive brands, the aftermath of the global COVID-19 pandemic, and wide-ranging environmental, social, and political movements. As a basic tenet of marketing, to prosper in this age of disruption or even to survive, marketers must bend and adapt to fend off the threats and take advantage of the opportunities. They must learn to serve customers profitably in the face of constant change and uncertainty.

In-Text Teaching and Learning Features

Principles of Marketing provides a wealth of chapter-opening, within-chapter, and end-of-chapter learning features that help students to learn, link, and apply major concepts.

- ***Integrated chapter-opening preview sections.*** The active and integrative opening spread in each chapter starts with an *Objectives Outline* that provides a helpful preview of chapter contents and learning objectives. Next, a *Chapter Preview* section briefly previews chapter concepts, links them with previous chapter concepts, and introduces the chapter-opening story. Finally, a *chapter-opening vignette*—an engaging, deeply developed, illustrated, and annotated marketing story—introduces the chapter material and sparks student interest.
- ***Author comments and figure annotations.*** Throughout each chapter, author comments ease and enhance student learning by introducing and explaining major chapter sections and figures.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APPLICATIONS AND CASES

Digital Marketing The Trendiness of Brand Support for Social Causes

Brand support for sociopolitical causes often seems trendy, leading critics to accuse brands of trying to cash in on causes.

benefited from that initiative. Research the sociopolitical cause and discuss how the brand communicated

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Company Case DuPont: Improving Everyday Life by Solving the World's Most Challenging Problems

You've heard of DuPont, but can you name any product it makes? Probably not. DuPont makes a load of successful products. Since the early 1900s, DuPont has developed hundreds of products that have revolutionized a wide range of industries, from agriculture and textiles to plastics and paints. But they're industrial brands that serve as ingredients or components for the goods people use every day.

How has DuPont succeeded in continually making revolutionary advancements? For starters, DuPont has always been dedicated to achieving breakthroughs in science and technology. DuPont's mission is to put "science to work by creating sustainable solutions essential to a better, safer, healthier life for people everywhere." From its earliest days, the company has been driven to discover solutions to the world's most challenging problems, even when a profitable outcome isn't apparent. It's that mindset, instilled at the start by the company's founder, that keeps DuPont focused on helping humanity thrive through science and technology.

From Gunpowder to Nylon

Founder Éleuthére Irénée du Pont arrived in the United States on January 1, 1800, fleeing the political turmoil in his native France. Only 18 years old, E. I. du Pont was already well educated and trained in advanced chemistry and the manufacture of gunpowder. Although he had no intention of pursuing gunpowder production as a business, he quickly realized that American-made gunpowder was very poor in quality and high in price. In fact, legend holds that du Pont decided to go into the gunpowder business in the United States during a hunting trip when his gun misfired. After some investigation into the gunpowder industry, du Pont deduced that the ingredients being used to produce gunpowder in the United States were not the problem. Rather, it was inefficiencies in the refining process. In 1802, du Pont built two powder mills on the Brandywine River in Delaware and established E. I. du Pont de Nemours and Company—DuPont for short. In so doing, he also laid the foundation for a company that would affect the future of just about everything it did.

Throughout the 1800s, DuPont focused almost entirely on making explosives, developing a culture of discovery and never-ending improvement. In the early 1900s, DuPont organized its research and development activities into two categories. *Applied research* laboratories focused on developing new products or finding new uses for existing ones. *Basic research* laboratories pursued solutions to scientific questions without any connection to specific products or markets. Such research endeavors were a leap of faith—faith that changes in the marketing environment and advancements in science would eventually open up new possibilities for DuPont discoveries.

rubber—and nylon, the world's first truly synthetic fiber and one that stood up to both heat and solvents.

With nylon fiber in place, DuPont needed a commercial application. Its target market? Women's hosiery. Until the late 1930s, women's hosiery products were primarily made of silk, an ingredient that made them extremely delicate and very expensive. After the company perfected a suitable nylon cloth, the first nylon hosiery went on sale in May 1940. Nylon hosiery was a huge and instant success, evidenced by the long lines of women at stores across the country, forever changing the way people around the world dressed.

But the discovery of nylon was extremely important to DuPont internally as well. It proved that the company's basic research R&D efforts could pay off. And the uses for basic discoveries such as nylon stretched well beyond one product line. For example, with the onset of World War II, DuPont found a host of national defense applications. It developed nylon for use in such products as parachutes and tires for B-29 bombers. These developments gave DuPont a leg up in the postwar economic boom. Nylon became the standard fiber for belting in car and truck tires. Developing new varieties, nylon staples and fibers revolutionized the carpet industry. Further developments created equally revolutionary applications for nylon in appliances, wire insulation, sporting gear, and home furnishings. And while nylon's profitability diminished over time as competitors entered the market, it became one of DuPont's most successful products ever. Today, DuPont remains the world's leading producer of nylon products.

In Search of New Nylons

Because of DuPont's commitment to open-ended basic research, the continual growth and success of the firm have never been tied to the life cycle of a single product. If the revenue and profit growth of a successful product such as nylon slow down and even decline, DuPont has plenty of other products at various stages of development and commercialization. The success of nylon gave DuPont a firm foothold in synthetic textiles. It also ushered in an era when DuPont began staking its future on the discovery of "new nylons." DuPont's commitment to both applied and basic research in textiles led to such game changing products as Orlon—an acrylic fiber that proved effective as a substitute for wool in sweaters, pile fabrics, and carpeting; Dacron—a polyester fiber that set off the wash-and-wear revolution of the 1970s; and Lycra—an elastomeric fiber that stretches up to six times its original length and is found today in everything from yoga pants to business suits.

In addition to textile products found in consumer apparel items, DuPont's basic research in developing fibers has produced numerous non-apparel applications for its synthetic fibers. In the 1950s, DuPont researchers developed a flash-spinning process

- ***Reviewing and extending the concepts.*** Sections at the end of each chapter summarize key chapter concepts and provide questions and exercises by which students can review and apply what they've learned. The *Objectives Review* section reviews major chapter concepts and links them to chapter objectives. The *Key Terms* section provides a helpful listing of chapter key terms by order of appearance to facilitate easy reference. *Discussion Questions* and *Critical Thinking Exercises* sections provide discussion questions and critical thinking exercises that help students to keep track of and apply what they've learned in the chapter.
- ***Applications and cases.*** Sections at the end of each chapter provide brief *Digital Marketing; Marketing Ethics*; and *Marketing by the Numbers* applications cases that facilitate discussion of current issues and company situations in areas such as mobile and social marketing, ethics, and financial marketing analysis. *Company Cases* at the end of each chapter help students apply major marketing concepts and critical thinking to real company and brand situations. Each case now includes a small group exercise that encourages students to debate among themselves and arrive at conclusions to key case issues.

Developing Employability Skills

- ***Real Marketing features.*** Each chapter contains a chapter-opening story and two deeply developed *Real Marketing* highlight features that provide in-depth looks at real brand marketing strategies and contemporary marketing issues. For example, students learn how Emirates Airline's deep-down passion for creating customer value, engagement, and relationships earns customer patronage and loyalty in return. They see how brands like Wendy's, Jollibee, and Zoom harness real-time marketing's power to engage customers in the moment. They see what makes LinkedIn the place to be for B-to-B marketers; how Mayo Clinic has become a model for service quality; how luxury cosmetics brand L'Occitane en Provence builds success in the new marketing environments it has entered; and how brands ranging from Walmart and Target to beverage maker Keurig Dr Pepper have learned to deal with marketing in this age of disruption. They learn that artificial intelligence in marketing is now "a bigger deal than fire and electricity"; how brands are racing to establish spaces in the young but exploding marketing metaverse; and how marketers are incorporating diversity, equity, and inclusion values into the fabric of their brand identities and marketing. No other text brings marketing to life like the nineteenth edition of *Principles of Marketing*.
- ***Marketing Plan appendix.*** *Appendix 1* contains a detailed sample marketing plan that helps students to apply important marketing planning concepts.
- ***Marketing by the Numbers appendix.*** An innovative *Appendix 2* provides students with a comprehensive introduction to the marketing financial analysis that helps guide, assess, and support marketing decisions. A new or revised exercise at the end of each text chapter lets students apply analytical and financial thinking to that chapter's concepts and links the chapter to the *Marketing by the Numbers* appendix.
- ***Careers in Marketing.*** A newly revised *Appendix 3* helps students to explore marketing career paths and lays out a process for landing a marketing job that best matches their special skills and interests.

Instructor Teaching Resources

The nineteenth edition of *Principles of Marketing* comes with the following resources:

- Instructor's Manual
- Test Bank
- Computerized TestGen
- PowerPoints

For more information and resources, please visit www.pearson.com.

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Philip Kotler
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As a team, Philip Kotler, Gary Armstrong, and Sridhar Balasubramanian provide a blend of skills uniquely suited to writing an introductory marketing text. Professor Kotler is one of the world's leading authorities on marketing. Professors Armstrong and Balasubramanian are award-winning teachers and researchers. Together, they make the complex world of marketing practical, approachable, and enjoyable.

Philip Kotler is Professor Emeritus of Marketing at the Kellogg School of Management, Northwestern University. He received his master's degree at the University of Chicago and his Ph.D. at M.I.T., both in economics. Dr. Kotler is the co-author of *Marketing Management* (Pearson), now in its sixteenth edition and the most widely used marketing textbook in graduate schools of business worldwide. He has authored more than 60 other successful books and has published more than 150 articles in leading journals. He is the only three-time winner of the coveted Alpha Kappa Psi award for the best annual article in the *Journal of Marketing*.

Professor Kotler was named the first recipient of four major awards: the Distinguished Marketing Educator of the Year Award and the William L. Wilkie "Marketing for a Better World" Award, both given by the American Marketing Association; the Philip Kotler Award for Excellence in Health Care Marketing presented by the Academy for Health Care Services Marketing; and the Sheth Foundation Medal for Exceptional Contribution to Marketing Scholarship and Practice. He is a charter member of the Marketing Hall of Fame, was voted the first Leader in Marketing Thought by the American Marketing Association, and was named the Founder of Modern Marketing Management in the *Handbook of Management Thinking*. His numerous other major honors include the Sales and Marketing Executives International Marketing Educator of the Year Award; the European Association of Marketing Consultants and Trainers Marketing Excellence Award; the Charles Coolidge Parlin Marketing Research Award; and the Paul D. Converse Award, given by the American Marketing Association to honor "outstanding contributions to science in marketing." A recent *Forbes* survey ranks Professor Kotler in the top 10 of the world's most influential business thinkers. And in a recent *Financial Times* poll of 1,000 senior executives across the world, Professor Kotler was ranked as the fourth "most influential business writer/guru" of the twenty-first century. He is considered by many to be the "father of modern marketing."

Dr. Kotler has served as chairman of the College on Marketing of the Institute of Management Sciences, a director of the American Marketing Association, and a trustee of the Marketing Science Institute. He has consulted with many major U.S. and international companies in the areas of marketing strategy and planning, marketing organization, and international marketing. He has traveled and lectured extensively throughout Europe, Asia, and South America, advising companies and governments about global marketing practices and opportunities.

Gary Armstrong is Crist W. Blackwell Distinguished Professor Emeritus in the Kenan-Flagler Business School at the University of North Carolina at Chapel Hill. He holds undergraduate and master's degrees in business from Wayne State University in Detroit, and he received his Ph.D. in marketing from Northwestern University. Dr. Armstrong has contributed numerous articles to leading business journals. As a consultant and researcher, he has worked with many companies on marketing research, sales management, and marketing strategy.

But Professor Armstrong's first love has always been teaching. His long-held Blackwell Distinguished Professorship is the only permanent endowed professorship for distinguished undergraduate teaching at the University of North Carolina at Chapel Hill. He has been very active in the teaching and administration of Kenan-Flagler's undergraduate program. His administrative posts have included Chair of Marketing, Associate Director of the Undergraduate Business Program, Director of the Business Honors Program, and many others. Through the years, he has worked closely with business student groups and has received several UNC campuswide and Business School teaching awards. He is the only repeat recipient of the school's highly regarded Award for Excellence in Undergraduate Teaching, which he received three times. Most recently, Professor Armstrong received the UNC Board of Governors Award for Excellence in Teaching, the highest teaching honor bestowed by the 16-campus University of North Carolina system.

Sridhar Balasubramanian is the Roy & Alice H. Richards Bicentennial Distinguished Scholar, Professor of Marketing, and Marketing Concentration Chair at the University of North Carolina at Chapel Hill's Kenan-Flagler Business School. He holds a Bachelor of Technology (Honors) degree from the Indian Institute of Technology (Kharagpur), an MBA from the Indian Institute of Management (Bangalore) and MA, M.Phil and Ph.D. degrees from Yale University. Leading business education publication *Poets&Quants* ranked him one of the "Top 50 Business Professors" in the World.

Professor Balasubramanian—commonly referred to as "Dr. B"—is an award-winning researcher, teacher, and academic administrator. He has served as Senior Associate Dean for MBA programs at UNC-CH. His research and teaching interests are in the areas of market strategy and technology strategy, innovation and growth strategy, customer focus, globalization and sustainability, and managing competition. He also specializes in bringing tools and concepts related to innovation, market focus and customer focus into other functional areas, including the management of human resources. He has published pioneering, award-winning research on the impact of the internet, other technology-intensive channels, and social media on marketing. His research has been cited more than 12,000 times on Google Scholar.

Professor Balasubramanian also excels in teaching. He has won best teacher awards eight times across different programs at UNC and was awarded the Kenan-Flagler Weatherspoon award for distinguished Ph.D. teaching. He specializes in "toolkit-based teaching," transforming cutting-edge knowledge into useful and usable toolkits that can be applied the next day. He also engages extensively with the corporate world and has worked with more than 50 organizations spread across North America, South America, Africa, Asia, and Europe.

PRINCIPLES of MARKETING

1 Marketing

Creating Customer Value and Engagement

OBJECTIVES OUTLINE

OBJECTIVE 1-1 Define marketing and outline the steps in the marketing process.

OBJECTIVE 1-2 Explain the importance of understanding the marketplace and customers and identify the five core marketplace concepts.

OBJECTIVE 1-3 Identify the key elements of a customer value–driven marketing strategy and discuss the marketing management orientations that guide marketing strategy.

OBJECTIVE 1-4 Discuss customer relationship management and identify strategies for creating value for customers and capturing value from customers in return.

OBJECTIVE 1-5 Describe the major trends and forces that are changing the marketing landscape in this age of relationships.

CHAPTER PREVIEW This first chapter introduces you to the basic concepts of marketing. We start with the question: What is marketing? Simply put, marketing is engaging customers and managing profitable customer relationships. The goal of marketing is to maximize long-term profitability by creating value for customers in order to capture value from customers in return. Next we discuss the five steps in the marketing process—from understanding customer needs to designing customer value–driven marketing strategies and integrated marketing mix programs to building customer relationships and recapturing value for the firm. Finally, we discuss the major trends and forces affecting marketing in this age of digital, mobile, and social media. Understanding these basic concepts and forming your own ideas about what they really mean to you will provide a solid foundation for all that follows.

Let's start with a good story about marketing in action at Emirates, the largest international airline in the world and one of the best-known brands on the planet. Emirates' success results from much more than just offering a way to connect people from Point A to Point B. It's based on a customer-focused marketing strategy by which Emirates creates customer value through deep brand–customer engagement and close brand community with and among its customers. You'll see this theme of creating customer value in order to capture value in return repeated throughout this chapter and the remainder of the text.

EMIRATES' Customer Value–Driven Marketing: Engaging Customers and Building a Brand Community

The Emirates Group operates across six continents and flies to 157 cities. Headquartered in Dubai, UAE, the airline was founded in 1985 and has become one of the largest airlines in the world, employing over 45,000 people across 172 different nationalities.

The company has built a fast-growing and profitable hub-based business model. It has successfully capitalized on its location—a small city-state strategically located to reach three-fourths of the world population in a flight of fewer than eight hours. Emirates Airlines has become one of the leaders in the global aviation sector through its innovations, modern fleet, and customer-focused strategies.

From the outset, Emirates has sought to ensure that it not only provides high-quality service but is also innovative, contemporary, and customer-oriented. To that end, the airline has pursued a customer-focused value proposition through a combination of products, services, and experiences, customized for each market at each destination. This approach has led to an array of product offerings such as exclusive lounges for its clientele and its onboard Information, Communication, and Entertainment (ICE) system—an all-in-one communications device accommodating customer needs such as surfing the internet, emailing, and even calling a landline while in the airplane.

The Skywards Program, the airline's frequent traveler loyalty program, is an important part of the airline's success in building strong customer relationships. Through this program, the first of its kind in the industry, members earn miles using four basic inputs: route, fare type, class, and tier, and a "miles accelerator feature" offers bonus miles on specific flights, thereby boosting turnover on flights that are not full.

Emirates has launched a range of customer service initiatives that support differentiation from other airlines, including Dubai Connect, an incentive for premium-class passengers that offers free luxury hotel accommodation, meals, ground transportation, and visa costs in Dubai. Another differentiating element of its customer service is Chauffeur Drive, a service offered to customers flying first class or business class. Emirates chauffeurs collect customers from their doorstep or stand by to take them to their final destination as soon as they land. This destination could be the customer's hotel, their next meeting, their favorite restaurant, or even the course for a round of golf. The service is available in over 70 cities worldwide.

Before the COVID-19 pandemic, most airlines would reduce their fares to remain competitive, but Emirates continued to maintain its fares and get good returns. This was due to its customer value–driven marketing approach and its service proposition, for which customers were willing to pay a premium. Where competitors emphasized low prices or well-maintained aircraft, Emirates built customer engagement and relationships. Beyond the functional benefit of air travel, Emirates marketed its services as "The Emirates Experience," a genuine passion for comfort and attention to detail. Customers didn't just fly Emirates; they experienced it.

Emirates has emphasized customer engagement and relationships, and customers are willing to pay a premium for "The Emirates Experience."

Iain Masterton/Alamy Stock Photo

Recognizing the impact of various kinds of digital technology on the marketing landscape, Emirates is focusing on creating a new kind of customer relationship—deeper, more personal, and more engaging. Although the airline still invests in traditional advertising, it now spends an increasing amount of its marketing budget on cutting-edge digital and social media marketing that interacts with customers to build brand engagement and community.

Emirates uses online, mobile, and social media marketing to connect with its customers. Emirates also creates brand "tribes"—large groups of highly engaged users—with the help of social media platforms such as Facebook, Twitter, Instagram, YouTube, and Pinterest. For example, the main Emirates Facebook page has almost 11 million likes. The Emirates Twitter page adds another 1.5 million; the Emirates Instagram page has 6.2 million followers, making it the largest in the industry; and the company's LinkedIn page has 2.5 million followers, also no. 1 in the airline business. Emirates' social media presence engages customers at a high level, gets them talking with each other about the brand, and weaves the brand into their daily lives through cross-media campaigns that integrate digital media with traditional tools to connect with customers. A compelling example is the company's "Hello Tomorrow" campaign. Launched in 2012, it targeted travelers seeking new experiences and cultures and sought to position the airline as a lifestyle choice that would connect people with different cultures worldwide, inspiring new conversations on food, fashion, art, and music. The campaign was launched in over 80 markets around the world and featured print, TV, and digital advertising, including iconic billboards in New York's Times Square and Milano Centrale railway station. According to Sir Maurice Flanagan, the founding CEO of Emirates and former executive vice-chairman of The Emirates Group, Emirates is not

Emirates is not just offering a way to connect people from Point A to Point B but aims to be the catalyst to connect with people's dreams, hopes, and aspirations.

just offering a way to connect people from Point A to Point B but wants to be the catalyst to connect people's dreams, hopes, and aspirations by bringing people and cultures closer and creating relevant and meaningful experiences that are shaping the world.

To reach a wider audience, Emirates started global collaborations with the BBC, CNN, and Yahoo for various series and campaigns like Collaboration Culture, Fusion Journeys, and Inspired Culture. These collaborations encouraged travel and discovering global cultures through art, music, food, and different experiences. In 2018, the brand launched its new slogan, "Fly Better," which showcased its differentiation and efforts to provide its customers with an enhanced travel experience. The campaign showcased the airline's updated award-winning inflight entertainment system and its wide network of global destinations, from Kenya to Paris.

The coronavirus pandemic impacted airlines around the world and caused many of them to slash their marketing budgets. Although Emirates also cut its marketing expenses by a third, it continued to reach out and connect with its customers to keep them engaged. It launched various campaigns to motivate its staff, customers, and community to spread a message of hope and of overcoming challenges. At a time when people were nervous about air travel, Emirates developed various campaigns to inform its customers about the precautionary measures it had adopted for their health and safety as well as of its employees. One of its most popular campaigns during the pandemic was the We Are on Top of the World advertisement, which showed one of its flight attendants standing at the top of the world's tallest building, the Burj Khalifa, in the city of Dubai. Through the ad, the airline celebrated the opening of popular travel routes and communicated to the world that Dubai had opened its borders—and Emirates was ready to fly them.

Over the years, Emirates has received various awards and accolades, including the World's Most Valuable Airline Brand and the Middle East's Most Valuable Brand by Brand Finance (2014), the TripAdvisor Travelers' Choice Awards (2019), the Business Traveler Middle East Awards (2019), and the World's Best Airline and Best In-Flight Entertainment at Skytrax for 12 successive years. Even the coronavirus pandemic couldn't buck the trend, with Emirates receiving awards such as Leading Airline First Class; Leading Airline – Brand; Leading Airline Lounge – Business Class, and Leading Airline – Rewards Programme for its Skywards program at the World Travel Award 2021. Amid global aviation's most challenging times, Emirates thus continued to demonstrate commitment, authenticity, relevance, and differentiation.[1]

TODAY'S SUCCESSFUL COMPANIES have one thing in common: Like Emirates, they are strongly customer-focused and heavily committed to marketing. These companies share a passion for satisfying customer needs in well-defined target markets. They motivate everyone in the organization to help build lasting customer relationships based on creating value.

Customer relationships and value are especially important today. Facing dramatic technological advances and deep economic, social, and environmental disruptions, today's customers are reassessing how they engage with brands. New digital, mobile, and social media developments have revolutionized how consumers shop and interact, in turn calling for new marketing strategies and tactics. It's now more important than ever to build strong customer engagement, relationships, and advocacy based on real and enduring customer value.

We'll discuss the exciting new challenges facing both customers and marketers later in the chapter. But first, let's introduce the basics of marketing.

Author Comment | Pause here and think about how you'd answer this question before studying marketing. Then see how your answer changes as you read the chapter.

What Is Marketing?

OBJECTIVE 1-1 **Define marketing and outline the steps in the marketing process.**

Marketing, more than any other business function, deals with customers. For example, Amazon dominates the online marketplace by creating a world-class online buying experience that helps customers to "find and discover anything they might want to buy online." Facebook has attracted more than 2.9 billion monthly active web and mobile users worldwide by helping them to "connect and share with the people in their lives." And Starbucks dominates the U.S. out-of-home coffee market by "creating a culture of warmth and belonging, where everyone is welcome."[2]

Marketing is all around you, in good-old traditional forms and in a host of newer forms, from websites and mobile apps to online videos and social media.

Cathy Yeulet/123RF

Sound marketing is critical to the success of every organization. Large for-profit firms such as Apple, Target, Coca-Cola, Procter & Gamble, Google, and Microsoft use marketing. But so do not-for-profit organizations, such as colleges, hospitals, museums, symphony orchestras, and even churches.

You already know a lot about marketing—it's all around you. Some marketing comes to you in good-old traditional forms: You see it in the abundance of products at your nearby shopping mall and the ads that fill your TV screen, spice up your magazines, or stuff your mailbox. In recent years, marketers have assembled a host of newer marketing approaches, everything from imaginative websites and smartphone apps to online videos and social media. These new approaches do more than just blast out messages to the masses. They reach you directly, personally, and interactively. Today's marketers want to become a part of your life and enrich your experiences with their brands. They want to help you live their brands.

At home, at school, where you work, and where you play, you see marketing in almost everything you do. Yet there is much more to marketing than meets the consumer's casual eye. Behind it all is a massive network of people, technologies, and activities competing for your attention and purchases. This book will give you a complete and contemporary introduction to the key concepts and practices of modern marketing. In this chapter, we begin by defining marketing and the marketing process.

Marketing Defined

What *is* marketing? Many people think of marketing as only selling and advertising. We are bombarded every day with TV commercials, online pitches, catalogs, and spiels from salespeople. However, selling and advertising are only the tip of the marketing iceberg.

Today, marketing must be understood not in the sense of making a sale—"telling and selling"—but in the sense of satisfying customer needs. If marketers engage consumers effectively, understand their needs, develop products that provide superior customer value, and price, distribute, and promote them well, these products will sell easily. In fact, according to management guru Peter Drucker, "The aim of marketing is to make selling unnecessary."[3] Selling and advertising are only part of a larger marketing mix—a set of marketing tools that work together to engage customers, satisfy customer needs, build customer relationships, and ultimately help drive the company's profits.

Broadly defined, marketing is a social and managerial process by which individuals and organizations obtain what they need and want through creating and exchanging value with others. In a narrower business context, marketing involves building profitable, value-laden exchange relationships with customers. Hence, we define **marketing** as the set of strategies and activities by which companies acquire and engage customers, build strong customer relationships, and create superior customer value in order to capture value from customers in return.[4] The threefold goals of marketing are to attract new customers by promising superior value, keep and grow current customers by delivering the promised value, and help drive long-term company profitability by recapturing some of the delivered value from satisfied and loyal customers.

Marketing
The set of strategies and activities by which companies acquire and engage customers, build strong customer relationships, and create superior customer value in order to capture value from customers in return.

The Marketing Process

Figure 1.1 presents a simple, five-step model of the marketing process for creating and capturing customer value. In the first four steps, companies work to understand consumers, create superior customer value, and build strong customer relationships. In the final step, companies reap the rewards of creating superior customer value. By creating value for consumers, they in turn capture value from consumers in the form of sales, profits, and long-term customer equity—the value of the customer to the company.

In this chapter and the next, we examine the steps of this simple model of marketing. In this chapter, we review each step but focus more on the customer relationship

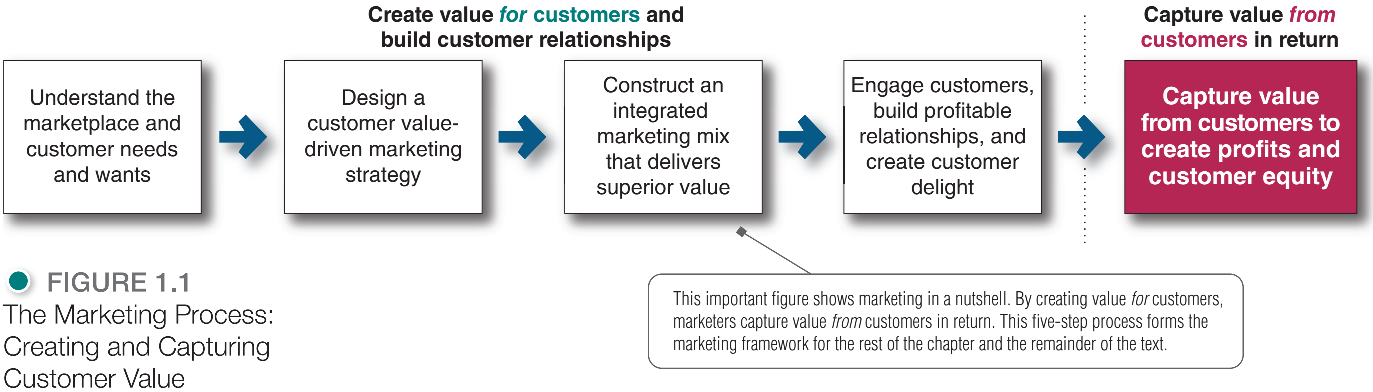


FIGURE 1.1
The Marketing Process: Creating and Capturing Customer Value

steps—understanding customers, engaging and building relationships with customers, and capturing value from customers. In Chapter 2, we look more deeply into the second and third steps—designing value-creating marketing strategies and constructing marketing mix programs.

Author Comment | Creating value for customers is central to any marketing strategy. So, as the first step in the marketing process, the company must fully understand customers and the marketplace. This deep understanding will guide the customer value creation process.

Understanding the Marketplace and Customer Needs

OBJECTIVE 1-2 **Explain the importance of understanding the marketplace and customers and identify the five core marketplace concepts.**

As a first step, marketers need to understand customer needs and wants and the marketplace in which they operate. We examine five core customer and marketplace concepts: (1) needs, wants, and demands; (2) market offerings (products, services, and experiences); (3) value and satisfaction; (4) exchanges and relationships; and (5) markets.

Needs
States of felt deprivation.

Wants
The form human needs take as they are shaped by culture and individual personality.

Demands
Human wants that are backed by buying power.

Customer Needs, Wants, and Demands

The most basic concept underlying marketing is that of human needs. Human **needs** are states of felt deprivation. They include basic physical needs for food, clothing, warmth, and safety; social needs for belonging and affection; and individual needs for knowledge and self-expression. Marketers did not create these needs; they are a basic part of who we are as humans.

Wants are the form human needs take as they are shaped by culture and individual personality. An American needs food but may want roast turkey with all the fixings, followed by pumpkin pie. A person in Papua, New Guinea, needs food but may want taro, rice, yams, and pork, followed by banana cake with chocolate-coconut sauce. When backed by buying power, wants become **demands**. Given their wants and resources, people demand products and services with benefits that deliver the most value and satisfaction.

Companies go to great lengths to learn about and understand customer needs, wants, and demands. They conduct consumer research, analyze mountains of customer data, and observe customers as they shop and interact, offline and online. People at all levels of the company—including top management—should stay close to customers. For example, Starbucks CEO Kevin Johnson regularly spends time in Starbucks stores, working the counter, brewing coffee, handing out orders, wiping tables, and chatting with customers. Johnson wants to be certain that he understands "what it means to be human in a digital age and what that means for the future of Starbucks." Amazon founder

Staying close to customers: Starbucks CEO Kevin Johnson regularly spends time in local Starbucks stores, working the counter, brewing coffee, handing out orders, wiping tables, and chatting with customers. He wants to understand "what it means to be human in a digital age."

AP Photo/Ted S. Warren

and executive chair Jeff Bezos had a customer-facing email address that helped him identify customer concerns. "I see most of those emails," said Bezos, "and I forward them, some of them—the ones that catch my eye." Similarly, to see up close what their customers experience, Airbnb's CEO Brian Chesky and his co-founder Joe Gebbia regularly stay at the company's host locations, making sure they live up to the company's lofty vision. Such personal visits help the pair to shape new customer solutions based on real user experience.[5]

Market Offerings—Products, Services, Solutions, and Experiences

Market offerings
Some combination of products, services, solutions, and experiences offered to a market to satisfy a need or want.

Consumers' needs and wants are fulfilled through **market offerings**—some combination of products, services, solutions, and experiences offered to a market to satisfy a need or a want. Market offerings are not limited to physical products. They include services—activities or benefits offered for sale that are essentially intangible and do not result in the ownership of anything. Examples include banking, airline, hotel, retailing, and home repair services. They include solutions—combinations of products and services offered that solve customer problems in their entirety, as when a tour company provides end-to-end vacation planning and execution for a family. And they include experiences—offerings that are designed to create customer journeys with memorable customer touch points.

Marketing ideas and causes: Singapore's Land Transport Authority runs various campaigns to increase road safety.

Arterra Picture Library/Alamy Stock Photo.

More broadly, market offerings also include other entities, such as persons, places, organizations, information, ideas, and causes. For example, Singapore's Land Transport Authority (LTA) runs various campaigns that promote road safety ideas. Cycling has become a popular commuting option in Singapore, but there have been a number of accidents involving cyclists and other vehicles on the roads. In response, the LTA launched the #SaferRoadsForAll campaign, which featured a video to increase public understanding of the rules and guidelines that motorists and cyclists should follow to maintain road safety. The campaign promoted the idea that users should show care on the roads they share and included messages for cyclists and motorists to be more considerate of other commuters and to follow the rules and guidelines.[6]

Marketing myopia
The mistake of paying more attention to the specific products a company offers than to the benefits and experiences produced by these products.

Many sellers make the mistake of paying more attention to the specific products they offer than to the benefits and experiences produced by these products. These sellers suffer from **marketing myopia**. They are so focused on their products that they focus only on existing wants and lose sight of underlying customer needs.[7] They forget that a product is only a tool to solve a consumer problem. As famously emphasized by marketing guru Theodore Levitt: "People don't want to buy a quarter-inch drill. They want a quarter-inch hole." Myopic sellers will have trouble if a new product comes along that serves the customer's need better or less expensively. The customer will have the same *need* but will *want* the new product.

Smart marketers look beyond the attributes of the products and services they sell. By orchestrating several services and products, they create brand experiences for consumers. For example, every hospitality chain seeks to provide a clean, safe, comfortable room for guests. But the most successful hospitality businesses know that they offer much more than just basic places to stay. They offer unique experiences built around their brand's positioning. That's how the Mahali Mzuri safari camp—located in Kenya's renowned Masai Mara National Reserve—earned the title of "#1 hotel in the world" (see Real Marketing 1.1).

As another example, Apple's highly successful retail stores don't just sell the company's products. They create an engaging Apple brand experience:[8]

> Apple's retail stores are very seductive places, where "life-feels-good" experiences abound. The store design is clean, simple, and just oozing with style—much like an Apple iPad or a featherweight MacBook Air. The bustling stores feel more like community centers than retail outlets, with crowds of customers sampling the goods and buzzing excitedly about all things Apple. The stores encourage a lot of purchasing, to be sure. But they also encourage lingering, with tables full of fully functioning Macs, iPads, iPhones, and Apple Watches sitting out for visitors to try and dozens of laid-back Apple employees close at hand to answer questions and cater to every whim. The stores offer expert technical assistance at the Genius Bar and a full schedule of workshops where customers at all experience levels can learn about their Apple devices and explore their creative sides. You don't just visit an Apple store—you experience it in a way that no other

Real Marketing 1.1

Mahali Mzuri: An Immersive Experience at the World's Number-One Hotel

At their core, all lodging businesses have one basic thing in common: They provide people with places to stay when they travel away from home. But the best hospitality businesses know that they offer much more than just basic accommodations. They offer experiences built around those accommodations.

On the one hand, it might be the "Best Bang for Your Buck" experience offered by America's Best Value Inn—clean, safe, comfortable, well-located accommodations where travelers get "an honest stay and reliable service." On the other hand, it might be "The Ritz-Carlton Experience"—a truly memorable one that "enlivens the senses, instills well-being, and fulfills even the unexpressed wishes and needs of our guests." Or it might be a unique Airbnb experience in which guests "live like a local."

When it comes to delivering unique and unforgettable experiences, few travel and hospitality businesses can match Kenya's Mahali Mzuri safari camp, recently named by *Travel + Leisure* magazine as the "#1 hotel in the world." The unique Mahali Mzuri experience is forged from a combination of inspired natural surroundings, unsurpassed accommodations and service, and memorable adventures.

Mahali Mzuri is located in Kenya's Masai Mara National Reserve, one of Africa's most famous and important wildlife conservation and wilderness areas. Maasai Mara is renowned for its exceptional year-round concentrations of wildlife, including African bush elephants, giraffes, lions, leopards, and cheetahs. Named one of the "Seven New Wonders of the World," by ABC's *Good Morning America,* the reserve's 600 square miles also play host to the more than 2 million wildebeests, zebras, and antelopes that make up the famous Great Migration. Winding its way through the reserve, the Mara River is home to dense thickets, large rafts of hippos, enormous crocodiles, endangered black rhinos, and more than 450 species of birds.

Living up to its name—Mahali Mzuri means "beautiful place" in Swahili—the safari camp is strategically located in the smaller, more exclusive, and privately owned Olare Motorogi Conservancy on the northern border of the national reserve. One of only five safari camps located in the conservancy, the eco-friendly Mahali Mzuri camp not only minimizes its environmental impact but also creates exclusive and authentic African bush experiences.

In line with its eco-friendly mission, the Mahali Mzuri's camp is small, with only 12 guest "tents" and room for a maximum of 24 guests at any given time. But what the Mahali Mzuri lacks in size it makes up for with, well, everything else. Maasai traditions and culture are respectfully interwoven into the camp experience. As guests arrive, they are greeted by young Maasai women and elders who dance and sing traditional songs of greeting and by Maasai warriors whose traditional jewelry makes an unforgettable sound. The guest tents, designed to look like Maasai shields, nestle seamlessly into the natural landscape to provide a feeling of being at one with the African bush. Built on platforms and situated on a ridge above a river, they sit just high enough to provide both exceptional views and safety from wandering wildlife.

As guests check in, it becomes immediately apparent that a stay at the Mahali Mzuri safari camp hardly qualifies as "camping." As one guest put it, "Yes, your suite is a 'tent' but it's like camping on steroids." The luxurious guest "tents" are in fact spacious tented suites, with handsome furnishings made by local Maasai people. The en-suite stylish bathrooms feature dark wood trim and contemporary fittings, including a large walk-in shower and a claw-foot bathtub. Each suite comes stocked with all the amenities of a modern luxury hotel room—a Bose sound system, a Nespresso machine, a fridge, a minibar, and Africology bath products. A centrally located main tent serves as a central gathering place. It's home to a relaxing lounge furnished with leather sofas, cowhide rugs, and velvet armchairs arranged around an open fireplace, library, and entertainment area featuring satellite TV and Wi-Fi. The main tent also houses the camp's lavish 36-foot infinity-edge swimming pool and full-service spa.

The all-inclusive Mahali Mzuri experience also includes world-class dining unlike any elsewhere in the world. Using locally sourced produce, chefs create authentic and mouthwatering Kenyan dishes such as ugali (a flour porridge), sukuma wiki (sautéed collard greens), and pilau (a rice dish) as well as dishes influenced by international cuisine. Gracious, well-trained staff serve these eye-and-palate-pleasing meals to guests on private decks, at large tables in the common dining tent, and even in the open bush during game drives. Exclaims another guest, an experienced world traveler, "the food is better than most Michelin-rated restaurants and the service will consistently knock your socks off."

The Mahali Mzuri's stunning location and opulent accommodations, however, are only the backdrop to the most essential Mahali Mzuri "world's-best" experience—an introduction to the wildlife and culture of Kenya's savannah. A stay at the Mahali Mzuri includes two safari game drives per day, led by expert local guides, giving guests unique and exciting vantage points for spotting animals. Game drives provided by most safari operators compete with each other for positioning when they observe wildlife. But in the privately owned Olare Motorogi Conservancy, Mahali Mzuri guests usually have the animals all to themselves.

Marketing experiences: When it comes to delivering unforgettable experiences, few travel and hospitality businesses can match Kenya's Mahali Mzuri safari camp, recently named by *Travel + Leisure* magazine as the "#1 hotel in the world."

Adam Slama

The guided game excursions venture deep into the conservancy and the national reserve. But at other times, Mahali Mzuri guests don't have to go searching for game—it comes to them. "I saw elephants and giraffes while drinking coffee in the morning," said one guest. "When we walked in and were greeted by a herd of elephants, I knew this was the right place for us," said another. Within a three-minute drive from camp, it's common for guests to see a herd of elephants, a troop of baboons, or a dazzle of zebras. But even from within the camp, guests armed with binoculars and telescopes have a front-row seat for viewing game from any of an abundance of viewing decks.

In fact, guests are told not to leave their tents unaccompanied after dark when the animals come closest. After "lights out" (the entire camp goes dark after hours to preserve energy), guests are immersed in nothing but the sounds of the African beyond. It isn't unusual for them to hear lions growling during a hunt or the cackling laughter of packs of hyenas.

Beyond the wildlife, a stay at the Mahali Mzuri includes an immersive cultural experience—a visit to a local Maasai village that lies just a short drive from camp. At the village, guests tour a traditional Maasai home, where they are treated to tea and a basic lesson in Maa, the Maasai language. They visit local markets, schools, and cattle holding areas. They learn about and observe local culture and even participate in games, traditional songs and dances, and building fires using dried elephant dung.

A stay at the Mahali Mzuri isn't cheap, with prices ranging from $1,000 to $1,700 per person per night, depending on the time of year. But visitors to the world's number-one hotel aren't looking for a bargain. Nor are they seeking just a nice room with good meals. Instead, they're seeking a transformational experience. When asked what lures travelers to the Mahali Mzuri, the resort's general manager had this to say: "As human beings, anything that draws us back to nature or to our origin like the Garden of Eden, we will pay for it. People will pay even more to come to a place like this where they are in touch with nature more privately and intimately. Nature takes you back to where it all started, to your roots." Concludes yet another satisfied guest, "We had a magical time."[9]

consumer electronics company can match. As one Apple retail executive explains, "I don't want to be sold to when I walk into a store. Don't sell! No! Because that's a turn-off. Build an amazing brand experience, and then [sales] will just naturally happen." And sales certainly do happen at Apple stores. Apple's more than 500 retail stores in 25 countries attract more than 1 million customers daily and generate the highest sales per square foot of any U.S. retailer.

Customer Value and Satisfaction

Consumers usually face a broad array of products and services that might satisfy a given need. How do they choose among these many market offerings? Customers form expectations about the value and satisfaction that various market offerings will deliver and buy accordingly. Satisfied customers buy again and tell others about their good experiences. Dissatisfied customers often switch to competitors and disparage the product to others.

Marketers must be careful to set the right level of expectations. If they set expectations too low, they may satisfy those who buy but fail to attract enough buyers. If they set expectations too high, buyers will be disappointed. Customer value and customer satisfaction are key building blocks for developing and managing customer relationships. We will revisit these core concepts later in the chapter.

Exchanges and Relationships

Exchange
The act of obtaining a desired object from a person or an organization by offering something in return.

Marketing occurs when people decide to satisfy their needs and wants through exchange relationships. **Exchange** is the act of obtaining a desired object from a person or an organization by offering something in return. In the broadest sense, the marketer tries to bring about a response to some market offering. The response may be more than simply buying or trading products and services. A political candidate, for instance, wants votes; a church wants membership and participation; an orchestra wants an audience; and a social action group wants idea acceptance.

Marketers create, maintain, and grow desirable exchange relationships with target audiences involving a product, service, idea, or other object. Companies want to build strong relationships by consistently delivering superior value. We will expand on the important concept of managing customer relationships later in the chapter.

Markets

Market
The set of all actual and potential buyers of a product or service.

The concepts of exchange and relationships lead to the concept of a market. A **market** is the set of actual and potential buyers of a product or service. The buyers share a particular need or want that can be satisfied through exchange relationships.

Marketing means managing markets to bring about profitable customer relationships. However, creating these relationships takes work. Sellers must search for and engage buyers, identify their needs, design good market offerings, set prices for them, promote them, and store and deliver them. Activities such as consumer research, product development, communication, distribution, pricing, and service are core marketing activities.

Although we normally think of marketing as being carried out by sellers, buyers also carry out marketing. Consumers do marketing when they search for products, interact with companies to obtain information, and make their purchases. In fact, today's digital technologies, from websites and social media to smartphone apps, have empowered consumers and made marketing a truly two-way affair. Thus, in addition to customer relationship management, today's marketers must also deal effectively with customer-managed relationships. Marketers are no longer just asking, "How can we influence our customers?" Instead, they are also asking, "How can our customers influence us?" and even "How can our customers influence each other?"

● **Figure 1.2** shows the main elements in a marketing system. Marketing involves serving a market of final consumers in the face of competitors. The company and competitors research the market and interact with consumers to understand their needs. Then they create and exchange market offerings, messages, and other marketing content with consumers, either directly or through marketing intermediaries. Each party in the system is affected by major environmental forces (demographic, economic, natural, technological, political, and social/cultural).

Each party in the system adds value for the next level. The arrows represent relationships that must be developed and managed. Thus, a company's success at engaging customers and building profitable relationships depends not only on its own actions but also on how well the entire system serves the needs of final consumers. Walmart cannot fulfill its promise of low prices unless its suppliers provide good-quality merchandise at low costs. And Ford cannot deliver a high-quality car-ownership experience unless its downstream dealers provide outstanding sales and service.

Author Comment | Once a company fully understands its consumers and the marketplace, it must decide which customers it will serve and how it will bring value to them.

Designing a Customer Value–Driven Marketing Strategy and Plan

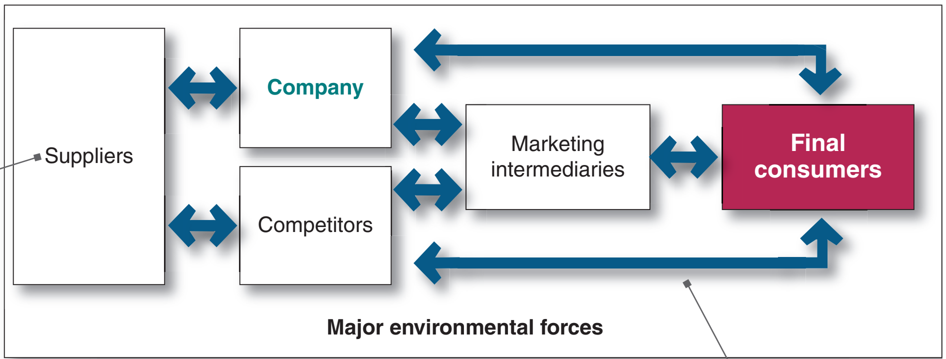
OBJECTIVE 1-3 Identify the key elements of a customer value–driven marketing strategy and discuss the marketing management orientations that guide marketing strategy.

Customer Value–Driven Marketing Strategy

Once it fully understands consumers and the marketplace, marketing management can design a customer value–driven marketing strategy. Marketing involves choosing target markets and building profitable relationships with them. The marketing manager must acquire, engage, keep, and grow target customers by creating, delivering, and communicating superior customer value.

To design a winning marketing strategy, the marketing manager must answer two important questions: What customers will we serve (what's our target market)? and How can we serve these customers best (what's our value proposition)? We will discuss these marketing strategy concepts briefly here and then look at them in more detail in Chapters 2 and 6.

Each party in the system adds value. Walmart cannot fulfill its promise of low prices unless its suppliers provide low costs. Ford cannot deliver a high-quality car-ownership experience unless its dealers provide outstanding service.



Arrows represent relationships that must be developed and managed to create customer value, engagement, and profitable customer relationships.

● **FIGURE 1.2**
A Modern Marketing System

Selecting Customers to Serve

The company must first decide whom it will serve. It does this by dividing the market into segments of customers (market segmentation) and selecting which segments it will go after (target marketing). Some people think that marketing managers focus on finding as many customers as possible and increasing demand. But marketing managers know that they cannot serve all customers in every way. By trying to serve all customers, they may not serve any customers well. Instead, the company should select only customer segments that it can serve well and profitably. For example, Nordstrom profitably targets affluent professionals; Dollar General profitably targets families with more modest means. Ultimately, marketing managers must decide which customers they want to target and the level, timing, and nature of their demand.

Value propositions: JetBlue promises "award-winning service from award-winningly nice humans." "Just Alright Doesn't Fly Here."

Courtesy of JetBlue

Choosing a Value Proposition

The company must also decide how it will serve targeted customers—how it will differentiate and position itself in the marketplace. A brand's value proposition is the set of benefits or values it promises to deliver to consumers to satisfy their needs. JetBlue promises "award-winning service from award-winningly nice humans," proclaiming that "Just Alright Doesn't Fly Here." By contrast, Spirit Airlines gives you "Bare Fare" pricing: "Less Money. More Go." Video streaming service Hulu aims to "empower everyone to discover, share, and celebrate the stories that connect us." Netflix wants simply to let you "See What's Next." Online accommodations site Airbnb helps people to "Belong Anywhere"—to live like a local wherever they travel. Competitor Vrbo makes travel more of a family affair. It's "where families travel better together."

Such value propositions differentiate one brand from another. They answer the customer's question: "Why should I buy your brand rather than a competitor's?" Companies must design strong value propositions that give them a distinctive advantage in their target markets.

Marketing Orientations

Marketing managers want to design strategies that will engage target customers and build profitable relationships with them. But what philosophy should guide these marketing strategies? What weight should be given to the interests of customers, the organization, and society? Very often, these interests conflict.

There are five alternative concepts under which organizations design and carry out their marketing strategies: the production, product, selling, marketing, and societal marketing concepts.

Production concept
The idea that consumers will favor products that are available and highly affordable; therefore, the organization should focus on improving production and distribution efficiency.

The Production Concept. The **production concept** holds that consumers will favor products that are available and highly affordable. Therefore, management should focus on improving production and distribution efficiency. This concept is one of the oldest orientations that guide sellers.

The production concept is still useful in some situations. For example, both personal computer maker Lenovo and home appliance maker Haier dominate the highly competitive, price-sensitive Chinese market through low labor costs, high production efficiency, and mass distribution. However, the production concept can also lead to marketing myopia. Companies adopting this orientation run a major risk of focusing too narrowly on their own operations and losing sight of the real objective—satisfying customer needs and building highly profitable customer relationships.

Product concept
The idea that consumers will favor products that offer the most quality, performance, and features; therefore, the organization should devote its energy to making continuous product improvements.

The Product Concept. The **product concept** holds that consumers will favor products that offer the most in quality, performance, and innovative features. Under this concept, marketing strategy focuses on making continuous product improvements.

Product quality and improvement are important parts of most marketing strategies. However, focusing only on improving the company's products can also lead to marketing myopia. For example, some manufacturers believe that if they can "build a better mousetrap, the world will beat a path to their doors." But they are often rudely shocked. Buyers may be looking for a better solution to a mouse problem but not necessarily for a better mousetrap. The better solution might be a chemical spray, an exterminating service, a house cat, or something else that suits their needs even better than a mousetrap. Furthermore, a better mousetrap will not sell unless the manufacturer designs, packages, and prices it attractively; places it in convenient distribution channels; brings it to the attention of people who need it; and convinces buyers that it is a better product.

Selling concept
The idea that consumers will not buy enough of the firm's products unless the firm undertakes a large-scale selling and promotion effort.

The Selling Concept. Many companies follow the **selling concept**, which holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort. The selling concept is typically practiced with unsought goods—those that buyers do not normally think of buying, such as life insurance or blood donations. These industries must be good at tracking down prospects and selling them on a product's benefits.

Such aggressive selling, however, carries high risks. It focuses on creating sales transactions rather than on building long-term, profitable customer relationships. The aim often is to sell what the company makes rather than to make what the market wants. It assumes that customers who are coaxed into buying the product will like it. Or, if they don't like it, they will possibly forget their disappointment and buy it again later. These are usually poor assumptions.

Marketing concept
A philosophy in which achieving organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do.

The Marketing Concept. The **marketing concept** holds that achieving organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do. Under the marketing concept, customer focus and value are the paths to sales and profits. Instead of a product-centered make-and-sell philosophy, the marketing concept is a customer-centered sense-and-respond philosophy. The job is not to find the right customers for your product but to find the right products for your customers.

Figure 1.3 contrasts the selling concept and the marketing concept. The selling concept takes an inside-out perspective. It starts with the factory, focuses on the company's existing products, and calls for heavy selling and promotion to obtain profitable sales. It focuses primarily on customer conquest—getting short-term sales with little concern about who buys or why.

In contrast, the marketing concept takes an outside-in perspective. As Herb Kelleher, the colorful founder of Southwest Airlines, once put it, "We don't have a marketing department; we have a customer department." The marketing concept starts with a well-defined market, focuses on customer needs, and integrates all the marketing activities that affect customers. In turn, it yields profits by creating relationships with the right customers based on customer value and satisfaction.

Implementing the marketing concept often means more than simply responding to customers' stated desires and obvious needs. Customer-driven companies research customers deeply to learn about their desires, gather new product ideas, and test product improvements. Such customer-driven marketing usually works well when a clear need exists and when customers know what they want.

In many cases, however, customers don't know what they want or even what is possible. As Henry Ford supposedly remarked, "If I'd asked people what they wanted, they would have said faster horses." For example, even 20 years ago, how many consumers

FIGURE 1.3
Selling and Marketing Concepts Contrasted

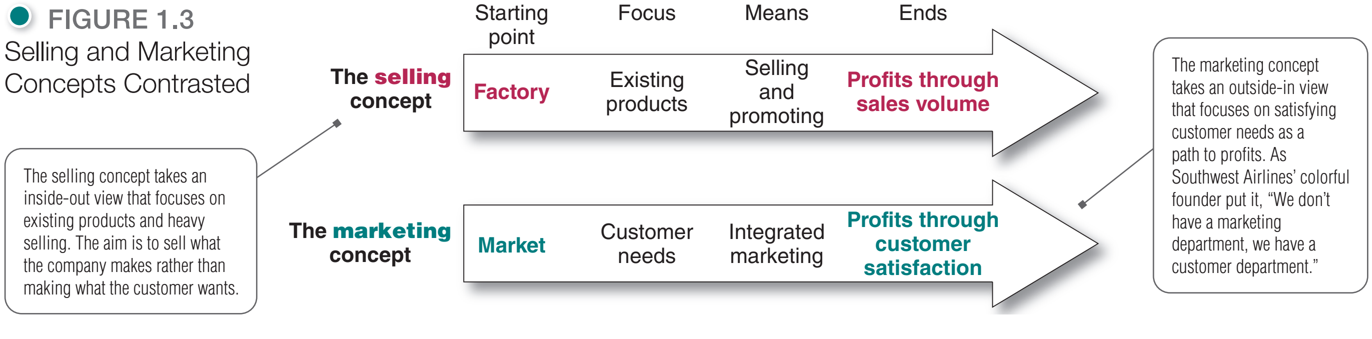
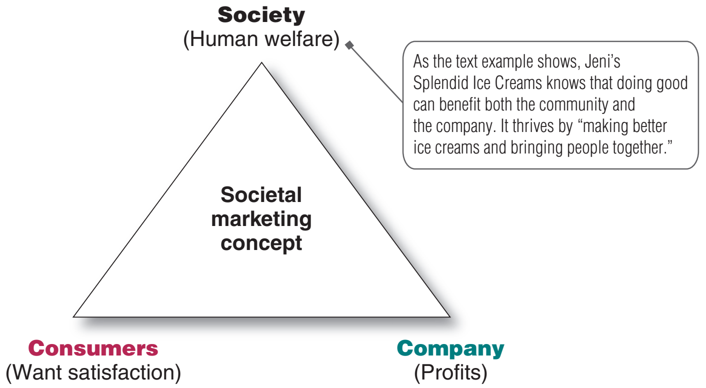


FIGURE 1.4
Three Considerations Underlying the Societal Marketing Concept



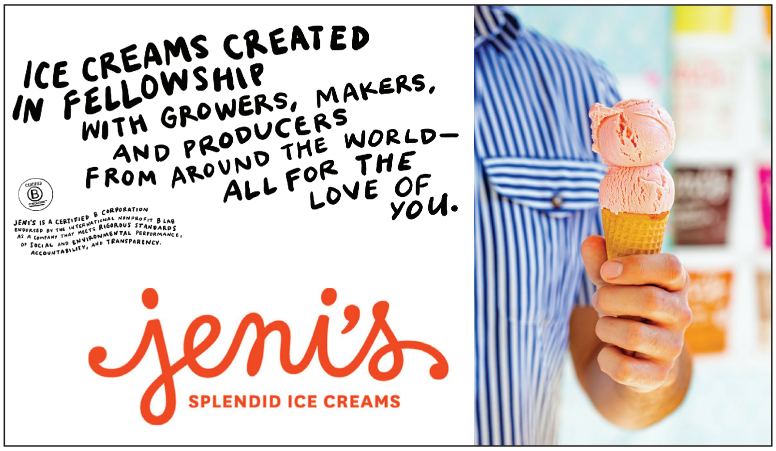
would have thought to ask for now-commonplace products such as smartphones, 24-hour online buying, digital video and music streaming, and all-electric vehicles? Such situations call for *customer-driving* marketing—understanding customer needs even better than customers themselves do and creating products and services that meet both existing and latent needs, now and in the future. As legendary Apple cofounder Steve Jobs once said, "Our job is to figure out what [consumers are] going to want before they do. . . . Our task is to read things that are not yet on the page."

Societal marketing concept
The idea that a company's marketing decisions should consider consumers' wants, the company's requirements, consumers' long-run interests, and society's long-run interests.

The Societal Marketing Concept. The **societal marketing concept** questions whether the pure marketing concept overlooks possible conflicts between consumer short-run wants and consumer long-run welfare. Is a firm that satisfies the immediate needs and wants of target markets always doing what's best for its consumers in the long run? The societal marketing concept holds that marketing strategy should deliver value to customers in a way that maintains or improves both the consumer's and society's well-being. It calls for sustainable marketing, socially and environmentally responsible marketing that meets the present needs of consumers and businesses while also preserving or enhancing the ability of future generations to meet their needs.

Even more broadly, many leading business and marketing thinkers are now preaching the concept of *shared value*, which recognizes that societal needs, not just economic needs, define markets.[10] The concept of shared value focuses on creating economic value in a way that also creates value for society. A growing number of companies known for their hard-nosed approaches to business—such as Google, GE, IBM, Johnson & Johnson, Nestlé, Unilever, and Walmart—are rethinking the interactions between society and corporate performance. They are concerned not just with short-term economic gains but with the well-being of their customers, the depletion of natural resources needed by their businesses, the welfare of key suppliers, and the economic well-being of the communities in which they operate. As consumer goods giant Nestlé puts it, "creating shared value is about sustainably delivering on shareholder expectations while helping to address global societal challenges. We believe that if we want to be successful in the long term, we must create value for our shareholders and society while also protecting the planet."[11]

As **Figure 1.4** shows, companies should balance three considerations in setting their marketing strategies: company profits, consumer wants, and society's interests. Fast-growing Jeni's Splendid Ice Creams operates this way:[12]



The societal marketing concept: Jeni's Splendid Ice Creams does more than just make good ice cream. It makes "ice creams created in fellowship with growers, makers, and producers from around the world all for the love of you."
Jeni's Splendid Ice Creams, LLC

Jeni's Splendid Ice Creams makes and sells really good artisan ice cream in its own scoop shops, with exotic flavors such as Goat Cheese with Red Cherries, Wildberry Lavender, and Riesling Poached Pear sorbet. But Jeni's does more than just make and sell ice cream. It also dedicates itself to a deeply felt mission of "making better ice creams and bringing people together. That's what gets us out of bed in the morning and keeps us up late at night." Jeni's follows what it calls a "fellowship model"—making great ice creams for communities, by communities. Signs in Jeni's shops proudly proclaim: "Ice creams created in fellowship with growers, makers, and producers from around the world all for the love of you."

To achieve this ambitious mission, Jeni's sources its ingredients carefully, using whole fruits and vegetables, milk from local grass-grazed cows, and herbs and wildflower honey from nearby farms, along with fair-trade vanilla and bean-to-bar direct trade chocolate. Jeni's believes in "buying directly and paying fairly for the ingredients, in having minimal impact on the environment, and in building and shaping community." It also works to involve its local communities. "Each time we open a store . . . we spend time in the neighborhoods; we want residents and visitors to be our partners. We think of our company as a community." Thanks to its societal mission, Jeni's is thriving. In less than 20 years, the business has grown from a pint-sized local operation to over 65 scoop shops across the country, all with devoted followings and pulling in annual revenues of nearly $96 million. You'll also find Jeni's in thousands of grocery stores, suggesting that doing good can benefit both the community and the company.

Preparing an Integrated Marketing Mix

The company's marketing strategy outlines which customers it will serve and how it will create value for these customers. Next, the marketer develops an integrated marketing mix that will actually deliver the intended value to target customers. The marketing mix consists of the set of marketing tools the firm uses to implement its marketing strategy.

The major marketing mix tools are classified into four broad groups, called the *four Ps of marketing*: product, price, place, and promotion. To deliver on its value proposition, the firm must first create a need-satisfying market offering (product). As discussed earlier, we can define the product broadly to include services, solutions, and experiences. The firm must then decide how much it will charge for the offering (price) and how it will make the offering available to target consumers (place). Today, the "place" includes not just traditional brick-and-mortar stores but also the internet, mobile channels, and other media that facilitate digital interaction and delivery. Finally, it must engage target consumers, communicate about the offering, and persuade consumers of the offer's merits (promotion). The firm must blend each of the marketing mix tools—the four Ps—into a comprehensive and integrated marketing program that communicates and delivers the intended value to chosen customers. We will explore the marketing mix in much more detail in later chapters.

Author Comment | Doing a good job with the first three steps in the marketing process sets the stage for step four, building and managing customer relationships.

Managing Customer Relationships and Capturing Customer Value

OBJECTIVE 1-4 Discuss customer relationship management and identify strategies for creating value for customers and capturing value from customers in return.

Engaging Customers and Managing Customer Relationships

The first three steps in the marketing process—understanding the marketplace and customer needs, designing a customer value–driven marketing strategy, and constructing a marketing mix composed of the fours Ps—all lead up to the fourth and overarching step: engaging customers and managing profitable customer relationships. We first discuss the basics of customer relationship management. Then we examine how companies go about engaging customers on a deeper level in this age of digital and social marketing.

Customer Relationship Management

Customer relationship management
The overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.

Customer relationship management is a central concept in modern marketing. In the broadest sense, **customer relationship management** is the overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction. It deals with all aspects of acquiring, engaging, and growing customers.

Relationship Building Blocks: Customer Value and Satisfaction. The key to building lasting customer relationships is to create superior customer value and satisfaction. In general, satisfied customers are more likely to be loyal customers and give the company a larger share of their business.

Attracting and retaining customers can be a difficult task. Customers often face a bewildering array of products and services from which to choose. A customer buys from the firm that offers the highest **customer-perceived value**—the customer's evaluation of the difference between the benefits delivered by and the costs of obtaining and using a market offering, relative to those of competing offerings. Importantly, customers often do not judge values and costs "accurately" or "objectively." They act on *perceived* value.

Customer-perceived value
The customer's evaluation of the difference between the benefits delivered by and the costs of obtaining and using a market offering, relative to those of competing offerings.

To some consumers, value might mean sensible products at affordable prices. To other consumers, however, value might mean paying more to get more. For example, a luxurious Patek Philippe costs a small fortune, ranging in price from $20,000 to $1,000,000 or more. But to those who own one, a Patek is a great value:[13]

> How could a watch costing $20,000 or even $1,000,000 be perceived not as expensive but in fact as a tremendous value? Every Patek Philippe watch is handmade by Swiss watchmakers from the finest materials. A standard Patek Philippe watch takes up to three years to plan and nine months to produce. More complex models often take two years to produce. "Every single component of every single watch is made by Patek Philippe and hand-finished by Patek Philippe," notes one observer. "Every. Single. Component. So, before it leaves Switzerland, roughly 1,000 people will have contributed to the production of each timepiece." Still not convinced? Beyond keeping precise time, Patek Philippe watches are also good investments. They carry high prices but retain or even increase their value over time. Many models achieve a kind of cult status that makes them the most coveted timepieces on the planet.
>
> But more important than just a means of telling time or a good investment is the sentimental and emotional value of possessing a Patek Philippe. Says the company's president: "This is about passion. I mean—it really is a dream. Nobody needs a Patek." These watches are unique possessions steeped in precious memories, making them treasured family assets. According to the company, "The purchase of a Patek Philippe is often related to a personal event—a professional success, a marriage, or the birth of a child—and offering it as a gift is the most eloquent expression of love or affection." A Patek Philippe watch is made not to last just one lifetime but many. Says one ad: "You never actually own a Patek Philippe. You merely look after it for the next generation."

Perceived value: Some owners consider a Patek Philippe watch a real bargain, even at prices ranging from $20,000 to $1,000,000 or more. "You never actually own a Patek Philippe. You merely look after it for the next generation."

Courtesy of Patek Philippe Geneva

Customer satisfaction depends on the product's perceived performance relative to a buyer's expectations. If the product's performance falls short of expectations, the customer is dissatisfied. If performance matches expectations, the customer is satisfied. If performance exceeds expectations, the customer is highly satisfied or even delighted.

Customer satisfaction
The sense of pleasure a buyer feels when a product's perceived performance matches or exceeds their expectations.

Good marketers go out of their way to keep important customers satisfied. Higher levels of customer satisfaction often lead to greater customer loyalty, which in turn results in better company performance. Companies should aim to delight customers by promising only what they can deliver and then delivering more than they promise—they should "underpromise and overdeliver." Delighted customers not only make repeat purchases but also become willing brand advocates and "customer evangelists" who spread the word about their good experiences to others.

For companies interested in delighting customers, exceptional value and service become part of the overall company culture. For example, fast-food chicken chain Chick-fil-A excels at customer delight by creating an environment in which employees go the "second mile" in everyday customer service:[14]

> Chick-fil-A's melt-in-your-mouth chicken sandwich has kept customers lining up at its counters for decades. But ask loyal customers what they like best about Chick-fil-A and they'll likely tell you that it's the unbeatable service that really sets the chain apart. All Chick-fil-A employees are trained to go the "second mile" in providing service—not only meeting basic standards of food quality, cleanliness, and politeness but also going above and beyond by delivering each order to the customer's table, along with unexpected touches such as a fresh-cut flower, ground pepper for salads, or happily fetching drink refills.

Customer satisfaction: Fast-food restaurant chain Chick-fil-A excels at customer delight by creating an environment in which employees go the "second mile" in everyday customer service. It's in the spirit of the place.

Ken Wolter/Shutterstock

Customer delight is in the spirit of the place. Chick-fil-A employees constantly look for special ways to serve customers—such as retrieving dental appliances from dumpsters, walking customers to cars under umbrellas when it rains, or delivering smartphones and wallets that customers have left behind. Many Chick-fil-As even offer a special family service, inviting parents juggling small children to order at the drive-thru and then come inside where the family's meal is waiting on placemats at a table, complete with highchairs in place. "Whole Twitter threads and corners of the internet are devoted to the marvels of service that people have experienced at Chick-fil-A stores," says one analyst.

By consistently delighting customers, Chick-fil-A has earned a trophy case full of awards for top service quality. The chain has ranked number one in customer service among fast-food chains for seven straight years in the American Customer Service Satisfaction Index (ACSI). Chick-fil-A also took top honors in recent surveys by *Consumer Reports, Business Insider,* and *Newsweek-Statista*. Such high-quality service makes for happy customers, and happy customers make for fast-growing sales and profits. Chick-fil-A recently hurtled past Taco Bell, Burger King, Wendy's, and Subway to become the nation's third-largest fast-food chain, behind only McDonald's and Starbucks. But in the hearts, minds, and stomachs of its loyal fans, Chick-fil-A has long been number one.

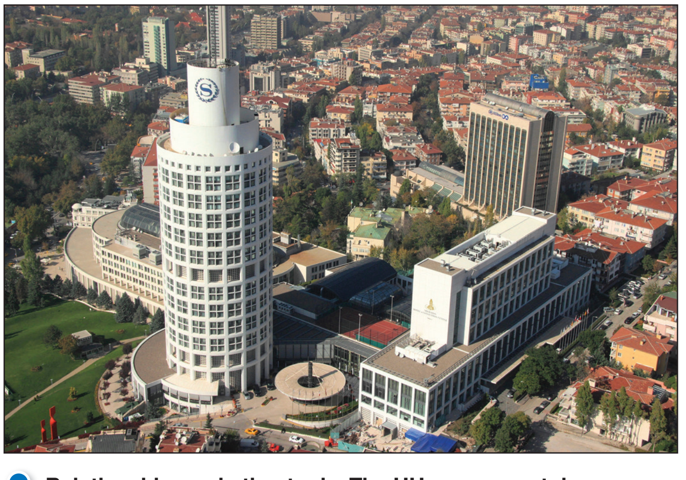
Other companies that have become legendary for customer service include L.L.Bean, Amazon.com, Wegmans, Nordstrom department stores, and JetBlue Airways. However, a company doesn't need to have over-the-top service to create customer delight. For example, no-frills grocery chain ALDI's everyday very low pricing on good-quality products delights its loyal customers, who willingly bag their own groceries. Thus, customer satisfaction comes not just from service heroics but from how well a company delivers on the expectations it sets.

Although a customer-centered firm seeks to deliver high customer satisfaction relative to competitors, it does not attempt to maximize customer satisfaction. A company can always increase customer satisfaction by lowering its prices or increasing its services. But this usually lowers profits. Thus, the purpose of marketing is to generate customer value profitably. This requires a delicate balance: Marketers must manage customer satisfaction to maximize long-run profitability.

Customer Relationship Levels and Tools. Companies can build customer relationships at many levels. At one extreme, a company with many low-margin customers may seek to develop basic relationships with them. For example, P&G's Tide detergent does not phone or call on all of its consumers to get to know them personally. Instead, Tide creates engagement and relationships through product experiences, brand-building advertising, websites, and social media. At the other extreme, sellers may want to create full partnerships with key customers. For example, relationship managers at investment firms like e-Trade will regularly touch base with their high-net-worth customers to check on how the company can continue to serve them well.

Beyond offering consistently high value and satisfaction, marketers can use specific marketing tools to develop stronger bonds with customers. For example, many companies offer frequency marketing programs that reward customers who buy frequently or in large amounts. Airlines offer frequent-flier programs, hotels give room upgrades to frequent guests, and supermarkets give patronage discounts to "very important customers."

Today, many brands have a loyalty rewards program. Such programs can enhance a customer's brand experience. For example, Hilton's HHonors loyalty program allows customers to earn points redeemable for free stays or upgrades. These points can also be converted into miles for



Relationship marketing tools: The HHonors smartphone app personalizes and strengthens the customer's brand experience, offering a selection of rooms and on-property benefits.

Halil ERDOĞAN/123rf.com

flight bookings. In addition, the member-exclusive HHonors smartphone app allows travelers to personalize their stay. It offers options like an eCheck-in or the selection of on-property benefits (such as pillows or snacks) prior to arrival. Travelers can pick their room of choice before their stay, either from a digital floor plan or by choosing their room's view with Google Maps. The app also serves as a digital key, meaning that travelers do not even need to visit the front desk. Additional features include personalized content reflecting the user's forthcoming travels, the option to request Uber rides, as well as restaurant recommendations. For future stays, the app offers the option of marking favorite hotels or hotel rooms.[15]

Customer Engagement and Today's Digital Media

Today's digital technologies have profoundly changed the ways that companies and brands connect with customers and how customers connect with and influence each other's brand behaviors. The digital age has spawned a dazzling set of customer relationship-building tools, from websites, online ads and videos, mobile ads and apps, and blogs to online communities and major social media platforms such as Facebook, Twitter, Instagram, YouTube, TikTok, and Snapchat.

Companies historically focused mostly on mass marketing brands at arm's length to broad segments of customers. In contrast, companies now use online, mobile, and social media to refine their targeting and to engage customers more deeply and interactively. This new marketing is **customer-engagement marketing**—fostering direct and continuous customer involvement in shaping brand conversations, brand experiences, and brand community. Customer-engagement marketing goes beyond just selling a brand to customers. Its goal is to make the brand a meaningful part of customers' conversations and lives.

Customer-engagement marketing
Making the brand a meaningful part of customers' conversations and lives by fostering direct and continuous customer involvement in shaping brand conversations, experiences, and community.

The burgeoning internet, mobile, and social media platforms have boosted customer-engagement marketing. Today's consumers are better informed, more connected, and more empowered than ever before. Newly empowered consumers have more information about brands, and they have a wealth of digital platforms for airing and sharing their brand views with others. Thus, marketers are now embracing not only customer relationship management but also *customer-managed relationships*, in which customers connect with companies and with each other to help forge and share their own brand experiences. Beyond building brand loyalty and purchasing, marketers want to create **customer brand advocacy**, by which satisfied customers initiate favorable interactions with others about a brand.

Customer brand advocacy
Actions by which satisfied customers initiate favorable interactions with others about a brand.

Greater customer empowerment means that companies can no longer rely on marketing by *intrusion*. Instead, they must practice marketing by *attraction*—creating market offerings and messages that engage customers rather than interrupt them. Hence, most marketers now combine their mass-media marketing efforts with a rich mix of online, mobile, and social media marketing that promotes brand-customer engagement, brand conversations, and brand advocacy among customers.

For example, companies post their latest ads and videos on social media sites, hoping they'll go viral. They maintain an extensive presence on Facebook, Instagram, Twitter, Snapchat, YouTube, TikTok, LinkedIn, and other social media to start conversations with and between customers, address customer service issues, research customer reactions, and drive traffic to relevant articles, web and mobile marketing sites, contests, videos, and other brand activities. They launch their own blogs, mobile apps, brand microsites, and consumer-generated review systems, all with the aim of engaging customers on a more personal, interactive level. Skilled use of social media can get customers involved with a brand, talking about it, and advocating it to others.

Engaging customers: Rather than using intrusive, hard-sell product pitches, Innocent Drinks interacts with customers in humorous ways, inspiring conversations and fostering relationships.

Martin Lee/Alamy Stock Photo

The key to engagement marketing is to find ways to enter targeted customers' conversations with engaging and relevant brand messages. Simply posting a humorous video, creating a social media page, or hosting a blog isn't enough. Successful engagement marketing means making relevant and genuine contributions to targeted customers' lives and interactions. Consider Innocent Drinks, the smoothies and juice company:

> Innocent Drinks was established in 1998 with the aim of becoming "Europe's favorite little juice company." The company's timing was crucial; it capitalized on the trend toward healthy eating and living. However, rather than using aggressive, hard-sell product pitches, Innocent

interacts with customers in a very humorous and informal way. Through engagement marketing, the company fosters a very personal relationship with its customers to make them feel valued and part of the brand. This is reflected in the way that packaging is designed—light-hearted and fun. For example, instead of displaying "use by" on its smoothie bottles, it says "enjoy by." Innocent's social media strategy has a conversational and often irreverent approach; its posts take on relevant topics, keywords, and hashtags with a dry sense of humor but never hijacks these topics to try and sell juice or smoothies. Its shared posts are often reactive; ideas are turned around in about half an hour. For Penguins Awareness Day, for example, the company shared a cartoon of a cute penguin on Twitter with a statement that there were no penguins in any of their products. The text underneath the picture called for action, saying that the company was doing its bit and asking its customers about their contribution to this day. In another tweet, Innocent made fun of a typical New Year workout plan by including 1 burp with 10 burpees, 1 sit down with 10 sit ups, and 1 nap. This type of humor helps Innocent Drinks engage with customers and creates conversations while keeping the brand's personality in the back of its audience's mind. Innocent's relational approach has engaged a substantial following, with more than a quarter of a million fans on Twitter alone. Innocent, in turn, picks up user-produced content to further deepen the relationship between the brand and its customers.[16]

Customer-Generated Marketing

Customer-generated marketing
Brand exchanges created by customers themselves—both invited and uninvited—by which customers play a role in shaping their own brand experiences and those of other customers.

One form of customer-engagement marketing is **customer-generated marketing**, by which customers themselves help shape their own brand experiences and those of others. This might happen through uninvited customer-to-customer exchanges in social media, blogs, online review sites, and other digital forums. But increasingly, companies themselves are inviting customers to play a more active role in shaping products and brand content.

Some companies ask customers for new product and service ideas. For example, Oreo ran a #MyOreoCreation contest asking fans to come up with new flavor ideas. Three finalist flavors hit the stores for two months before fans voted online for a winner, who received $500,000. Other companies invite customers to play a role in shaping ads and social media content. For example, Heinz launched a "Draw Ketchup" campaign in which it asked customers across five continents to participate in an anonymous "social experiment" and simply "draw ketchup." Although it never identified the Heinz brand, all participants drew bottles of Heinz ketchup except two—one drew mustard; another drew only a red blob. "Whether it was the glass bottle, the logo with a tomato, or simply just Heinz scrawled across the bottle, it was pretty amazing to see," says a Heinz marketer. Many of the sketchers and their sketches—both sophisticated and amateurish—were featured in an online video and on digital billboards. Heinz also invited other customers to add their own drawings online, with a chance to win a custom-designed Heinz bottle with their label on it.[17]

Customer-generated content: Heinz invited people across five continents to "draw ketchup." Most drew Heinz. Many of the sketchers and their sketches—both sophisticated and amateurish—were featured in an online video and on digital billboards.

The Kraft Heinz Company

As it did with most things digital, the COVID-19 pandemic lockdown boosted the use of customer-generated content, as brands sought new ways to connect with isolated customers. For example, reflecting the fact that people could no longer gather and watch their favorite teams in public places, Buffalo Wild Wings created an uplifting "Sports Live On" ad—using purely customer-generated content—showing real people creating made-up sports in their homes. Facebook's "We're Never Lost If We Can Find Each Other" campaign used footage from real people showing how they were staying connected during the pandemic. And McDonald's spotlighted customer reactions to its long-awaited reopening with footage from real-life fans.[18]

Despite the successes, however, harnessing customer-generated content can be a time-consuming and costly process, and companies may find it difficult to mine even a little gold from all the content submitted. Moreover, because consumers have so much control over social media content, inviting their input can sometimes backfire. As a classic example, McDonald's famously launched a Twitter campaign using the hashtag #McDStories, hoping that it would inspire heartwarming stories about Happy Meals. Instead, the effort was hijacked by Twitter users, who turned the hashtag into a "bashtag" by posting less-than-appetizing messages about their bad experiences with the fast-food chain. McDonald's pulled the campaign within only two hours, but the hashtag was still churning weeks, even months later. In another example, Australian airline Qantas's social media team once made the mistake of asking customers to share their #QantasLuxury "dream luxury inflight experience." It seemed like a good idea but was launched just one day after the airline had grounded its fleet and locked out staff for 48 hours over a union pay dispute. Needless to say, staff and customer went into full Twitter bashtag mode.[19]

Looking forward, customer brand engagement—whether invited by marketers or not—will be an increasingly important marketing force. Through a profusion of videos, shared reviews, mobile apps, blogs, and websites, customers and the broader public are playing a growing role in shaping their own and other customers' brand experiences. Brands must embrace such customer empowerment and master digital and social media relationship tools—or risk being left behind.

Partner Relationship Management

When it comes to creating customer value and building strong customer relationships, today's marketers know that they can't go it alone. They must work closely with a variety of marketing partners. In addition to being good at customer relationship management, marketers must also be good at **partner relationship management**—working with others inside and outside the company to jointly engage and bring more value to their customers.

Partner relationship management
Working closely with partners in other company departments and outside the company to jointly bring greater value to customers.

Traditionally, marketers have been charged with understanding customers and representing customer needs to different company departments. However, in today's more connected world, every functional area in the organization can interact with customers. Rather than letting each department go its own way, firms must link all departments in the cause of creating customer value. At the same time, firms must be careful to not overwhelm customers with too many contacts across the different functional areas.

Marketers must also partner with suppliers, channel partners, and others outside the company. Marketing channels consist of distributors, retailers, and others who connect the company to its buyers. The supply chain describes a longer channel, stretching from raw materials to components to final products that are carried to final buyers. Through supply chain management, companies today are strengthening their connections with partners all along the supply chain. They know that their profits depend on how well their entire supply chain performs against competitors' supply chains.

Author Comment | Look back at Figure 1.1. In the first four steps of the marketing process, the company creates value for target customers, engages them, and builds strong relationships with them. If it does that well, it can capture value from customers in return, in the form of loyal customers who buy and advocate for the company's brands.

Capturing Value from Customers

The first four steps in the marketing process outlined in Figure 1.1 involve engaging customers and building customer relationships by creating and delivering superior customer value. The final step involves capturing value in return in the form of sales, market share, advocacy, and profits. By creating superior customer value, the firm creates satisfied customers who stay loyal, buy more, and advocate the brand to others. This, in turn, means greater long-run profits for the firm. Here, we discuss the outcomes of creating customer value: customer loyalty and retention, share of market and share of customer, and customer equity.

Creating Customer Loyalty and Retention

Good customer relationship management creates customer satisfaction. In turn, satisfied customers remain loyal and talk favorably to others about the company and its products. Studies show big differences in the loyalty between satisfied and dissatisfied customers. Even slight dissatisfaction can create an enormous drop in loyalty, especially when customer expectations are high. Thus, the aim of customer relationship management is to create not only customer satisfaction but also customer delight.

Keeping customers loyal makes good economic sense. In most cases, loyal customers spend more and stay around longer. Companies with highly loyal customer bases grown faster and deliver two to five times the shareholder returns. Research also shows that it's five times cheaper to keep an existing customer than acquire a new one. Conversely, customer defections can be costly. Losing a customer means losing more than a single sale. It means losing the entire stream of purchases that the customer would make over a lifetime of patronage. For example, here is a classic illustration of **customer lifetime value**:[20]

Customer lifetime value
The value of the entire stream of purchases a customer makes over a lifetime of patronage.

Customer lifetime value: To keep customers coming back, Stew Leonard's has created the "Disneyland of dairy stores." Rule #1—The customer is always right. Rule #2—If the customer is ever wrong, reread Rule #1.

Courtesy of Stew Leonard's

Stew Leonard, who operates a highly profitable seven-store supermarket in Connecticut, New Jersey, and New York, once said that he saw $50,000 flying out of his store every time he saw a sulking customer. Why? Because his average customer spent about $100 a week, shopped 50 weeks a year, and remained in the area for about 10 years. If this customer had an unhappy experience and switched to another supermarket, Stew Leonard's lost $50,000 in lifetime revenue. The loss could be much greater if the disappointed customer shared the bad experience with other customers and caused them to defect.

To keep customers coming back, Stew Leonard's has created what it calls the "Disneyland of Dairy Stores," complete with costumed characters, scheduled entertainment, a petting zoo, and animatronics throughout the store. From its humble beginnings as a small dairy store in 1969, Stew Leonard's has grown at an amazing pace. It's built 30 additions onto the original store, which now serves more than 300,000 customers each week. This legion of loyal shoppers is largely a result of the store's passionate approach to customer service. "Rule #1: The customer is always right. Rule #2: If the customer is ever wrong, reread Rule #1."

Customer lifetime value is an essential measure for assessing customer relationships. It looks beyond the profitability of any given transaction and emphasizes the long-term value of a customer or customer segment to the company over the lifetime of their relationship. In fact, a company can lose money on a specific transaction but still benefit greatly from a long-term relationship. This means that companies must aim high in building customer relationships. Customer delight creates an emotional relationship with a brand, not just a rational preference. And that relationship keeps customers coming back.

Growing Share of Customer

Share of customer
The portion of the customer's spending in its product categories that a company captures.

Beyond simply retaining good customers to capture customer lifetime value, good customer relationship management can help marketers increase their **share of customer**—the share they get of the customer's purchasing in their product categories. Thus, banks want to increase "share of wallet." Supermarkets and restaurants want to get more "share of stomach." Car companies want to increase "share of garage" and airlines want greater "share of travel."

To increase share of customer, firms can offer greater variety to current customers. Or they can create programs to cross-sell and up-sell more products and services to existing customers. For example, Amazon is highly skilled at leveraging relationships with its hundreds of millions of customers worldwide to increase its share of each customer's spending budget:[21]

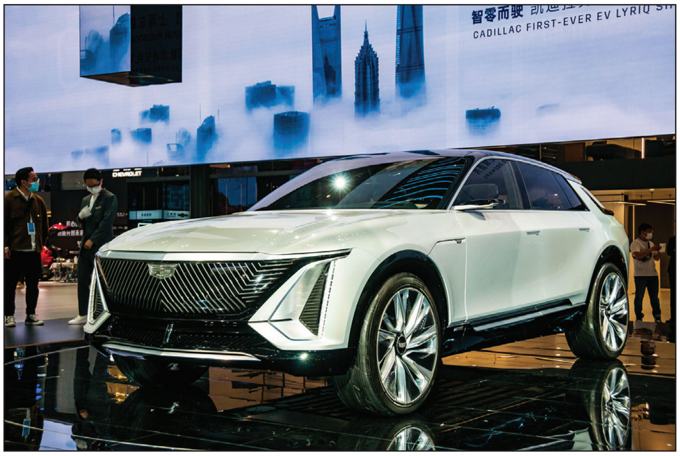
> Once on Amazon.com, customers often buy more than they intend, and Amazon works hard to make that happen. The online giant continues to broaden its merchandise assortment, carrying hundreds of millions of products and creating an ideal spot for one-stop shopping. And based on each customer's purchase and search history, the company recommends related products, increasing customer discovery and purchase with every visit. Amazon's ingenious Amazon Prime and Amazon Prime Now shipping programs have also helped boost its share of customers' wallets. According to one analyst, the ingenious Amazon Prime "converts casual shoppers, who gorge on the gratification of having purchases reliably appear two days [or even two hours] after the order, into Amazon addicts." Amazon's 157 million Prime customers spend, on average, 2.3 times more annually than non-Prime customers. And to dig even deeper into customers' wallets, Amazon is now expanding rapidly to physical stores to sell everything from groceries to consumer electronics.

Building Customer Equity

We can now see the importance of not only acquiring customers but also keeping and growing them. Customer relationship management takes a long-term view. Companies want to not only create profitable customers but also keep them for life, earn a greater share of their purchases, and capture their customer lifetime value.

Customer equity
The total combined customer lifetime values of all of the company's customers.

What Is Customer Equity? The value of a company comes from the value of its current and future customers. The ultimate aim of customer relationship management is to produce high customer equity.[22] **Customer equity** is the total combined customer lifetime values of



Managing customer equity: To increase customer equity, Cadillac is making the classic car cool again among younger buyers. For example, says GM, "Cadillac will lead the company to an all-electric future."

Mark Andrews/Alamy Stock Photo

all of the company's current and potential customers. As such, it's a measure of the future value of the company's customer base. Clearly, the more loyal the firm's profitable customers, the higher its customer equity. Customer equity may be a better measure of a firm's performance than current sales or market share. Whereas sales and market share reflect the past and present, customer equity looks to the future. Consider Cadillac:[23]

> In the 1970s and 1980s, the name Cadillac defined "The Standard of the World." Cadillac's share of the luxury car market reached a whopping 51 percent in 1976, and the brand's future looked rosy. However, measures of customer equity would have painted a bleaker picture. Cadillac customers were getting older (average age 60), and many Cadillac buyers were on their last cars. Thus, although Cadillac's market share was strong, its customer equity was not.
>
> Compare this with BMW. Its more youthful and vigorous image didn't win BMW the early market share war. However, it did win BMW younger customers (average age about 40) with higher customer lifetime values. The result: In the years that followed, BMW's market share and profits soared while Cadillac's fortunes eroded badly. Cadillac has since struggled to make the Caddy cool again with edgier, high-performance designs that positioned it more effectively against the likes of BMW and Audi with younger consumers. For example, GM announced that "Cadillac will lead the company to an all-electric future" with its first fully electric vehicle, the recently launched all-electric Cadillac Lyriq. Despite these efforts, however, Cadillac's market share has rebounded only modestly in recent years and still lags other luxury brands. The moral: Marketers should care not just about current sales and market share. Customer lifetime value and customer equity are the name of the game.

Building the Right Relationships with the Right Customers. Companies should manage customer equity carefully. They should view customers as assets that need to be managed and maximized. But not all customers, not even all loyal customers, are good investments. Surprisingly, some loyal customers can be unprofitable, and some disloyal customers can be profitable. Which customers should the company acquire and retain?

The company can classify customers according to their potential profitability and manage its relationships with them accordingly. **Figure 1.5** classifies customers into one of four relationship groups, according to their profitability and projected loyalty. Each group requires a different relationship management strategy. *Strangers* show low potential profitability and little projected loyalty. There is little fit between the company's offerings and their needs. The relationship management strategy for these customers is simple: Don't invest anything in them; try to make money on every transaction.

Butterflies are potentially profitable but not loyal. There is a good fit between the company's offerings and their needs. However, like real butterflies, we can enjoy them for only a short while and then they're gone. An example is stock market investors who trade shares often and in large amounts but who enjoy hunting out the best deals without building a regular relationship with any single brokerage company. Efforts to convert butterflies into loyal customers are rarely successful. Instead, the company should enjoy the butterflies for the moment. It should create satisfying and profitable transactions with them, capturing as much of their business as possible in the short time during which they buy from the company. Then it should move on and cease investing in them until the next time around.

True friends are both profitable and loyal. There is a strong fit between their needs and the company's offerings. The firm wants to make continuous relationship investments to delight these customers and engage, nurture, retain, and grow them. It wants to turn true friends into true believers, who come back regularly and tell others about their good experiences with the company.

Barnacles are highly loyal but not very profitable. Barnacles are perhaps the most problematic customers. There is a limited fit between their needs and the company's offerings. An example is smaller bank customers who bank regularly but do not generate enough returns to cover the costs of maintaining their accounts. Yet, being long-term customers, they often

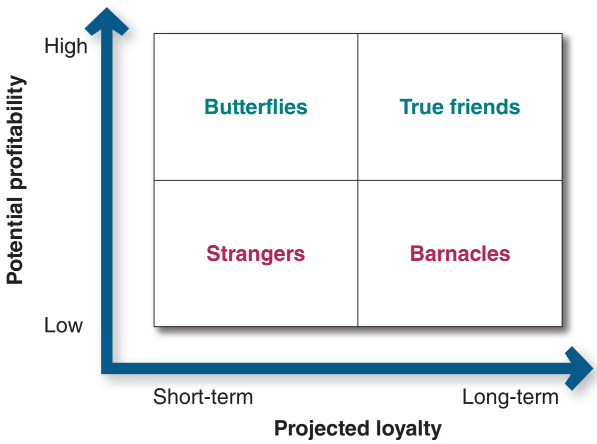


FIGURE 1.5
Customer Relationship Groups

ask for and absorb a lot of time and attention, taking away from efforts that would otherwise be spent on developing and nurturing true friends. Like barnacles on the hull of a ship, they create drag and reduce profitability. The company might be able to improve their profitability by selling them more, raising their fees, or reducing service to them. However, if they cannot be made profitable, barnacles should be "fired."

For example, Best Buy offers an attractive returns policy. But a small segment of frequent customers abuses this policy. So it tracks and scores individual customer returns. The system identifies the shoppers whose behavior suggests returns abuse or fraud. A shopper who exceeds a certain score is informed that future returns will be denied, even if it means losing the customer. Many large retailers, including Amazon, have similar policies. "We want everyone to be able to use Amazon," says Amazon, "but there are rare occasions where someone abuses our service over an extended period of time [causing us to] take action when appropriate to protect the experience for all our customers.[24]

The point here is important: Although pursuing customer satisfaction and loyalty is generally a good approach, some types of customers require different engagement and relationship management strategies. The goal is to build the right kinds of relationships with the right customers.

Author Comment | Marketing doesn't take place in a vacuum. Now that we've discussed the five steps in the marketing process, let's look at how the ever-changing marketplace affects both consumers and the marketers who serve them. We'll look more deeply into these and other marketing environment factors in Chapter 3.

The Changing Marketing Landscape

OBJECTIVE 1-5 Describe the major trends and forces that are changing the marketing landscape in this age of relationships.

Every day, dramatic changes are occurring in the marketplace. Richard Love of HP once observed, "The pace of change is so rapid that the ability to change has now become a competitive advantage." Yogi Berra, the legendary New York Yankees catcher and manager, summed it up more simply when he said, "The future ain't what it used to be." As the marketplace changes, so must those who serve it. A company may not be able to control changes in the market, but it can do a lot to adjust to such changes. As Jimmy Dean noted: "I can't change the direction of the wind, but I can adjust my sails to always reach my destination."

Change has always shaped the marketing world. But change has been accelerated in recent years by major disruptions, ranging from the rapid rise of digital technologies and a number of culture-changing social movements to economic crises such as the Great Recession of 2008–2009, major environmental events, and the COVID-19 pandemic. Marketing in the age of disruption requires new thinking, strategies, and tactics. We will discuss the changing marketing environment in detail in Chapter 3. In this section, we examine four major developments that are changing the marketing landscape and challenging marketing strategy: the digital age, the growth of not-for-profit marketing, rapid globalization, and the call for sustainable marketing practices.

The Digital Age: Online, Mobile, and Social Media Marketing

The explosive growth in digital technology has fundamentally changed the way we live—how we communicate, share information, access entertainment, and shop. Welcome to the age of the **Internet of Things (IoT)**, a global environment where everything and everyone is digitally connected to everything and everyone else. Almost 5 billion people—63 percent of the world's population—are now online. Over 97 percent of all American adults own a mobile phone of some kind; 85 percent own a smartphone, up from just 35 percent a decade ago. These numbers will only grow as digital technology rockets into the future.[25]

Internet of Things (IoT)
A global environment where everything and everyone is digitally connected to everything and everyone else.

Many consumers are smitten with the digital world. For example, according to one study, the average American spends about 4.5 hours on non-voice smartphone activities each day. About 71 percent of them check their phones within 10 minutes of waking up, and about 61 percent have texted somebody in the same room as them. Some 47 percent of Americans consider themselves addicted to their phones, and about 48 percent feel a sense of panic or anxiety when their phone battery charge goes below 20 percent. Importantly to marketers, nearly 80 percent of smartphone users have made an online purchase using their phone in the past six months.[26]

Digital and social media marketing
Using digital marketing tools such as websites, social media, mobile apps and ads, online video, email, and blogs to engage consumers anywhere, at any time, via their digital devices.

The consumer love affair with digital and mobile technology makes it fertile ground for marketers trying to engage customers. It's no surprise then that the internet and rapid advances in digital and social media have taken the marketing world by storm. **Digital and social media marketing** involves using digital marketing tools such as websites, social media, mobile ads and apps, online video, email, blogs, and other digital platforms to engage consumers anywhere, anytime via their computers, smartphones, tablets, internet-ready TVs, and other digital devices. These days, almost every company is reaching out to customers with multiple websites, newsy tweets and Facebook pages, Instagram posts and Snapchat stories, shoppable TikTok content, viral ads and videos posted on YouTube, rich-media emails, and mobile apps that help consumers shop and solve their buying problems.

The COVID-19 pandemic greatly hastened the shift to digital in almost every area of human activity, including marketing-related activities. For example, the pandemic accelerated the shift to online shopping by an estimated 5 to 10 years. Before the pandemic, e-commerce sales were expected to account of 15 percent of all U.S. sales in 2020. But only three months into the pandemic, 25 percent of all sales were moving through online channels. Similarly, to connect with consumers who were often sheltering at home, marketers quickened their shift from in-store and in-person connections to digital-first consumer engagement strategies, boosting their use of online, mobile, social media, and other digital platforms to connect their brands with consumers. By one report, across 2020 and 2021, the COVID-19 pandemic boosted U.S. e-commerce sales by an estimated $218 billion.[27]

At the most basic level, marketers set up company and brand websites that provide information and promote the company's products. Many companies also set up online brand community sites, where customers can congregate and exchange brand-related interests and information. For example, the Fitbit Community section on the Fitbit app serves as a social hub for more than 1.1 million of the brand's enthusiasts. It's a place where Fitbit fans can share inspiration, updates, and milestones with fellow users; learn about local Fitbit events; and read brand-related news and expert content hand-picked for them.

Online brand communities: Sephora's Beauty Insider Community is a thriving online community where customers can ask questions, share ideas and reviews, post photos, and get beauty advice and inspiration from other enthusiasts.

Manuel Esteban/Shutterstock; Eyal Dayan Photography

And beauty products retailer Sephora's Beauty Insider Community—"the world's largest beauty forum"—is a thriving online community where customers can ask questions, share ideas and reviews, post photos, and get beauty advice and inspiration from other enthusiasts. Sephora works actively to make its online community diverse and inclusive. It reflects the company's written manifesto, which states that Sephora "believes in championing all beauty, living with courage, and standing fearlessly to celebrate our differences. We will never stop building a community where diversity is expected, self-expression is honored, all are welcomed, and you are included."[28]

The digital age has changed the marketing landscape. As such, offering innovative products that are customer-focused and can stand out from the competition is extremely important (see Real Marketing 1.2).

Beyond brand websites, most companies are also integrating social and mobile media into their marketing mixes.

Social Media Marketing

It's hard to find a brand website, or even a traditional media ad, that doesn't feature links to the brand's Facebook, Instagram, Twitter, YouTube, Snapchat, TikTok, Pinterest, LinkedIn, or other social media sites. Social media provide exciting opportunities to extend customer engagement and get people talking about a brand.

Some social media are huge—Facebook has more than 2.9 *billion* active monthly users, YouTube 2.6 billion, WhatsApp 2 billion, Instagram 1.5 billion, WeChat 1.3 billion, TikTok 1 billion, and Twitter more than 330 million. But smaller, more focused social media sites are also thriving. For example, each month CafeMom reaches 75 million members who exchange advice, entertainment, and commiseration at the community's online, Facebook, Twitter, Pinterest, YouTube, and mobile sites. Even tiny sites can attract active audiences. For example, Newgrounds.com targets gamers, programmers, and illustrators, and Ravelry.com targets knitters and crocheters.[29]

Online social media provide a digital home where people can connect and share important information and moments in their lives. As a result, they offer an ideal platform for *real-time marketing*, by which marketers can engage consumers in the moment by linking brands to important trending topics, real-world events, causes, personal occasions, or other happenings in consumers' lives. They provide an ideal platform for consumer engagement and building brand personality and community.

Real Marketing 1.2

Zoom: A Winning Product and Agile Marketing in the Digital Age

The COVID-19 pandemic triggered a sudden move to the digital world, with remote working, virtual learning, online consultations, and online socializing becoming the norm. The lockdowns and work-from-home requirements urged businesses to be nimble in responding to the fast-changing situation and to come up with ways to stay connected with their customers and employees. This propelled the need for efficient communication tools and video conferencing platforms. Although many video conferencing apps like Skype, Cisco, Webex, and Google Meet existed, Zoom, which was already a major player in the video conferencing industry, came into the limelight in a matter of days during the pandemic.

Zoom was founded in 2011 by Eric Yuan and is headquartered in San Jose, California. Zoom is a cloud-based video communications app that enables its users to set up online video and audio conferences and webinars with live chats, screen-sharing, and other functions for efficient virtual collaboration. In 2019, it was listed on the Nasdaq stock exchanges. During the pandemic, Zoom quickly became the benchmark for video conferencing and a platform providing real-time collaborative communication for businesses, organizations, public bodies, schools, colleges, universities, and personal use around the world.

Before the pandemic, people normally imagined video conferencing as a serious corporate meeting with participants who could not be physically present in the boardroom. However, the coronavirus changed this perception within a few days as video calling became the means through which society operated. Millions of people across the globe who were locked in their homes resorted to using video conferencing to attend not just work meetings but also birthday parties, school and college classes, virtual concerts, religious events, and even funerals. These unforeseen circumstances led to a race in the tech industry to fulfill the urgent communication needs of businesses and individual consumers. Some experts have commented that the accelerated adoption behavior exhibited by people is comparable to seven years' worth of adoption behavior as the market was pushed to plan, implement, and adopt a seven-year plan in two weeks. Zoom seemed to be the most ready to respond to the market needs. According to *Business Insider*, the usage of Zoom increased by a whopping 1900 percent between December 2019 and September 2020!

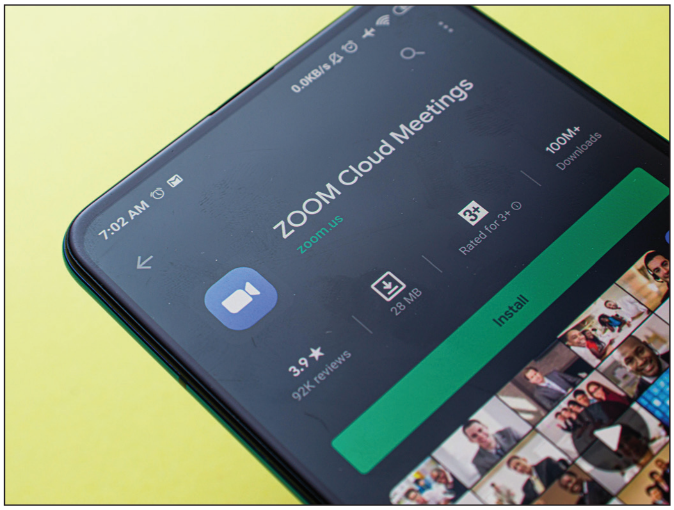
Zoom's primary appeal comes from its simplicity and the user-friendly experience it offers. The app is easy to get started with and the user interface is simple. The company prides itself on delivering happiness to its users by enabling them to connect with others, express ideas, and pursue future dreams and goals. Zoom has offered scalable and secure communication and collaboration solutions for individuals, small businesses, and large corporates alike. It has developed plans specifically tailored for different industries, including the government, education sector, healthcare sector, finance sector, and IT sector, to offer appropriate features and customer-support systems for their respective needs. As the usage and popularity of the app increased in the early days of the pandemic, the company continued to innovate, adding features to enhance the user experience. Some of its most popular capabilities preferred by its users include in-meeting chat, meeting recordings, screen-sharing, breakout rooms, virtual backgrounds, the raise-hand feature, remote support, personal meeting ID, the waiting room, and integration with Google and Outlook calendars.

Although Zoom reached unprecedented levels of popularity during the COVID-19 pandemic, it was already on an impressive growth path before the coronavirus triggered lockdowns and stay-at-home orders were enforced. It had already done the groundwork for its exemplary success based on three key factors: 1) having a strong customer focus as part of its DNA; 2) building an innovative product that sells itself; and 3) spending on marketing and brand building. According to the founder and CEO of Zoom, Eric Yuan, "From the start, Zoom's main focus had been to provide a cloud-based video conferencing platform that would exceed customers' expectations and make them happy."

Zoom believed that they had to break out of the crowded market space populated by companies like Microsoft, Cisco, Adobe, Polycom, Citrix, and newcomers like Highfive and JoinMe. To build a product that can outsell the competition in a crowded market, Zoom always operated under the philosophy of being customer-driven, and it sought to provide a product that would provide the best user experience. Zoom gathered extensive customer feedback to understand customer needs and to develop features that match expectations.

One of the most successful aspects of Zoom's marketing strategy has been offering a free version of the platform with up to 40 minutes of free video conferencing. Along with the positive word of mouth it received, Zoom's freemium model played a huge role in its customer acquisition efforts. Amid tough competition, getting customers to test the product is important, and a freemium product helped in achieving this for Zoom. Once a customer has tested Zoom and its features, they are often converted to loyal customers who transition from freemium to subscription plans.

Besides its focus on developing a customer-driven product, Zoom emphasized brand building. It believed that it had to get the Zoom brand in front of as many people as possible. To that end, it targeted the adventurous early adopters of the product who



Real-time marketing: Video conferencing app Zoom has made skillful use of real-time social media marketing to create a fresh, relevant brand personality and spark real-time engagement.

Seemanta Dutta/Alamy Stock Photo

often play a crucial role in spreading the word. Before its pandemic-boosted popularity, Zoom used billboards in tech districts like the Silicon Valley to make itself visible to technology enthusiasts who, as early adopters, would influence a wider user base.

During the pandemic, when it was experiencing exponential growth and when the world operated from home, Zoom ran a successful social media contest using its virtual background feature. Recognizing that more than 4 million people use social media every day, Zoom leveraged its power through a contest to drive consumer engagement across different social media channels. As the use of virtual meetings with co-workers, family, and friends became widespread in 2020 and 2021, Zoom reached out through social media to increase its brand awareness and encourage new users to install its product. To achieve its goals, Zoom started the Virtual Background contest and giveaways. Zoom asked its user community to share a video or photo of them using the virtual background feature every month. The winner of the contest was announced monthly on its social media channel and was awarded brand items and prizes.

Despite speculation that Zoom's tremendous growth during the worst of the pandemic would evaporate once people returned to work or schools, businesses reopened, and in-person events returned, it is clear now that virtual and remote are here to stay. Thanks to its customer focus and agility, Zoom remains a leading player in the video conferencing industry with its focus on innovation, brand building, and customer needs.[30]

Using online platforms and social media might involve something as simple as a virtual contest or promotion to garner Facebook Likes, tweets, Instagram "regrams," or YouTube postings. But more often these days, brands create large-scale, carefully integrated social media programs. For example, energy drink maker Red Bull uses a broad mix of social media to connect and inspire its enthusiastic fan base. It has nearly 48 million followers on Facebook, 2 million on Twitter, 16 million on Instagram, and 6.5 million on TikTok. Red Bull's high-energy social media pages hardly mention the company's products at all. Instead, they promote Red Bull's pedal-to-the-metal, adrenaline-filled lifestyle and provide a place where fans can connect with the brand and each other to share their common interests in extreme sports, music, and entertainment.

Mobile Marketing

Mobile marketing is perhaps the fastest-growing digital marketing platform. Smartphones are ever present, always on, finely targeted, and highly personal. This makes them ideal for engaging customers anytime, anywhere as they move through the buying process. For example, Starbucks customers can use their mobile devices for everything from finding the nearest Starbucks and learning about new products to placing and paying for orders. In turn, Starbucks uses the data collected by the app about customer preferences and purchasing behaviors to craft personalized offers and discounts for individual customers. Nearly two-thirds of Starbucks customers use the mobile app, and almost 25 percent of all orders in its stores are placed using the mobile app.[31]

Many consumers today rely heavily on their phones when shopping. They browse product information through apps or the mobile web, make price comparisons, read online product reviews, and make purchases from home, from work, or in stores. According to one study, nearly 7 out of 10 internet users would look for customer reviews on their phones while in-store before approaching a salesperson. Nearly 70 percent use shopping apps and 58 percent use their phones in a store to research products they are thinking about buying. And more than 70 percent of all online purchases are now made from mobile devices. As a result, to reach mobile shoppers, mobile advertising is surging and now accounts for about two-thirds of all digital ad spending.[32]

Marketers use mobile channels to stimulate immediate buying, make shopping easier, enrich the brand experience, reach on-the-go consumers, or all of these. For example, Taco Bell uses mobile advertising to reach consumers at what it calls mobile "moments that matter."[33]

> As part of its ongoing push to promote Taco Bell for breakfast, the chain uses carefully targeted mobile advertising to reach consumers just as they are starting their day. It targets mobile ads based on specific behaviors such as which apps consumers use first in the morning, their favorite news apps, or what time of day they've looked at a breakfast recipe. Taco Bell also targets mobile ads geographically using navigation and traffic apps such as Google's Waze to zero in on specific customer locations, even providing step-by-step directions to nearby stores. In these ways, Taco Bell can customize mobile ads according to each customer's actions, experiences, and environment. In marketing its breakfasts, says the marketer, mobile lets Taco Bell be "present on experiences that consumers turn to when they first open their eyes in the morning."

Taco Bell is also integrating mobile marketing into its store operations through a new "Taco Bell Go Mobile" restaurant concept. It is opening new stores especially designed for customers ordering ahead through the Taco Bell mobile app. The Go Mobile stores will be smaller, with separate priority drive-thru lanes for customers who use the app to order and pay ahead. The stores will be fitted with technology integrated with the app, which creates a more seamless pickup experience. Taco Bell has also opened the innovative "Taco Bell Defy" store, which is a two-story restaurant with four drive-thru lanes running beneath and vertical lifts to transport Taco Bell menu items straight from the kitchen to fans. The Taco Bell Go Mobile strategy was motivated in part by changes in consumer restaurant behavior caused by the coronavirus pandemic. "With demand for our drive-thru at an all-time high, we know adapting to meet our consumers' rapidly changing needs has never been more important," says a Taco Bell executive.

Mobile marketing: Taco Bell is now opening stores like this "Taco Bell Defy" store that integrate store drive-thru with mobile ordering and pickup to create a seamless mobile customer experience.

Ken Wolter/Shutterstock

Online, social media, and mobile marketing are having a huge impact on customer engagement. The key is to blend the new digital approaches with traditional marketing to create a smoothly integrated marketing strategy and mix. We will examine digital, mobile, and social media marketing throughout the text—they touch almost every area of marketing strategy and tactics. Then, after we've covered the marketing basics, we'll look more deeply into digital and direct marketing in Chapter 14.

Big Data and Artificial Intelligence (AI)

With the explosion in digital technologies, marketers can now amass mountains of data. They are tapping information sources ranging from customer transactions to real-time data flowing from website and social media monitoring, smartphones, connected Internet of Things (IoT) devices, and many other sources. Brands can use such *big data* to gain deep customer insights, personalize marketing offers, and improve customer engagements and service.

To make sense of all this big data and use it to benefit their brands and customers, marketers are turning to ever-more-advanced marketing analytics. For example, *artificial intelligence (AI)* has burst onto the marketing scene. AI is the ability of a non-human device or system to collect and correctly interpret data and conditions related to the external environment, learn from such data and conditions, and take actions that maximize the likelihood of achieving its goals. Marketers can use AI to analyze data at lightning speed and apply the insights to engage customers in real time and help them through the buying process.

AI-empowered applications related to marketing include everything from customer-service chat bots and virtual assistants like Amazon Echo's Alexa or Apple's Siri to IBM's almost-human AI supercomputer Watson. For example, one medicine maker recently used Watson to shape personalized mobile ads to individual allergy medication customers based on real-time weather data and pollen counts in their areas. We will discuss the fascinating developments in big data and artificial intelligence more deeply in Chapter 4.

The Growth of Not-for-Profit Marketing

In recent years, marketing has also become a major part of the strategies of many not-for-profit organizations, such as colleges, hospitals, museums, zoos, symphony orchestras, foundations, and even churches. The nation's not-for-profits face stiff competition for support and membership. Sound marketing can help them attract membership, funds, and support. For example, consider the not-for-profit Make-A-Wish Foundation:[34]

> Make-A-Wish® has a powerful mission: "Together, we create life-changing wishes for children with critical illnesses." The organization works with volunteers, donors, and supporters with the lofty goal of meeting the wish of every child with a critical illness. It grants a child's wish somewhere in the United States every 34 minutes and never bills families for wishes fulfilled.

Not-for-profit marketing: Make-A-Wish® skillfully markets its mission to "create life-changing wishes for children with critical illnesses." Since its founding, Make-A-Wish has fulfilled more than 520,000 wishes to children at dark times in their lives, bringing them welcome rays of light and hope that can play an important part in their healing.

Make-A-Wish America

Granting wishes uplifts these children's spirits, even if for only a short time. And as Make-A-Wish notes: "A wish can be that spark that helps these children believe that anything is possible and gives them the strength to fight harder against their illnesses."

However, fulfilling the average wish can cost more than $10,000. So Make-A-Wish has to market its mission well hard to keep contributions rolling in. Its most potent marketing tool relates directly to its work—the moving stories of children in great need whose lives have been uplifted when their wishes were fulfilled. Make-A-Wish does a wonderful job of marketing through these stories—on its websites, through its ads, and through its robust presence on social media platforms ranging from Facebook to LinkedIn. Make-A-Wish works with volunteers to host a wide variety of fundraising events ranging from annual Mac & Cheese challenges to fashion shows and special movie screenings. And the organization garners the support of corporate partners, including "Mission Champions" Disney and Macy's, which contribute more than $5 million annually, and a dozen "Wish Champions" such as Avis, JetBlue, Southwest, and American Airlines that contribute than $1 million annually.

Make-A-Wish's marketing efforts produce amazing results. In a typical year, the organization raises more than $400 million in regular years and grants more than 9,000 wishes within just the United States. Since its founding in 1980, Make-A-Wish has granted more than 520,000 wishes to children at dark times in their lives, bringing each of them welcome rays of light and hope.

Public corporations such as state universities are also showing increased interest in marketing. The German government is helping public universities to assert themselves internationally. University marketing is designed to get students, young scientists, and researchers around the world excited about studying and researching at the universities. The Federal Ministry of Education and Research supports the exchange of German students, graduates, and researchers with the aim of providing young academics in Germany with international academic and cultural qualifications. Numerous programs support universities in asserting themselves internationally and in attracting outstandingly trained specialists locally.[35]

Rapid Globalization

Today, almost every company, large or small, is touched in some way by global competition. A neighborhood florist buys its flowers from Mexican nurseries, and a large U.S. electronics manufacturer competes in its home markets with giant Asian rivals. A fledgling internet retailer finds itself receiving orders from all over the world at the same time that an American consumer goods producer introduces new products into emerging markets abroad.

American firms have been challenged at home by the skillful marketing of European and Asian multinationals. Companies such as Toyota, Nestlé, and Samsung have often outperformed their U.S. competitors in American markets. Similarly, U.S. companies in a wide range of industries have developed truly global operations, making and selling their products worldwide. Quintessentially American McDonald's now serves 69 million customers daily in more than 37,000 local restaurants in more than 100 countries worldwide—73 percent of its corporate revenues come from outside the United States. Similarly, Nike markets in 190 countries, with non-U.S. sales accounting for 61 percent of its worldwide sales.[36] Today, companies are not just selling more of their locally produced goods in international markets; they are also sourcing more supplies and components abroad and developing new products for specific markets around the world.

Thus, managers in countries around the world are increasingly taking a global, not just local, view of the company's industry, competitors, and opportunities. They are asking: What is global marketing? How does it differ from domestic marketing? How do global competitors and forces affect our business? To what extent should we "go global"? We will discuss the global marketplace in more detail in Chapter 19.

Sustainable Marketing: The Call for More Environmental and Social Responsibility

Marketers are reexamining their relationships with social values and responsibilities, and with the very earth that sustains us. Today's consumers expect marketers to be socially and environmentally responsible, and pressures to act sustainably will likely grow in the future. Some companies resist these pressures, budging only when forced by legislation or organized consumer outcries. Most companies, however, now view sustainable marketing as an opportunity to do well by doing good. They seek ways to profit by serving immediate needs and the best long-run interests of their customers and communities.

Some companies, such as Patagonia, Unilever, Warby Parker, Ben & Jerry's, and others, practice *caring capitalism*, setting themselves apart by being civic minded and responsible. They build social and environmental responsibility into their company value and mission statements. For example, Ben & Jerry's, a division of Unilever, has long prided itself on being a "values-led business," one that creates "linked prosperity" for everyone connected to the brand—from suppliers to employees to customers and communities:[37]

Sustainable marketing: Ben & Jerry's three-part "linked prosperity" mission drives it to make fantastic ice cream (product mission), manage the company for sustainable financial growth (economic mission), and use the company in "innovative ways to make the world a better place" (social mission). Both Ben & Jerry's and its products are "Made of Something Better."

Ben & Jerry's Homemade Inc.

> Under its three-part mission, Ben & Jerry's wants to make fantastic ice cream (product mission), manage the company for sustainable financial growth (economic mission), and use the company "in innovative ways to make the world a better place" (social mission). Ben & Jerry's backs its mission with actions. For example, the company is committed to using wholesome, natural, non-GMO, fair-trade-certified ingredients and buys from local farms. It employs business practices "that respect the earth and the environment," investing in wind energy, solar usage, travel offsets, and carbon neutrality. Its Caring Dairy program helps farmers develop more sustainable practices on the farm ("Caring Dairy means happy cows, happy farmers, and a happy planet"). The Ben & Jerry's Foundation awards nearly $2 million annually in grassroots grants to community service organizations and projects in communities across the nation. Ben & Jerry's also operates 14 PartnerShops, scoop shops that are independently owned and operated by community-based not-for-profit organizations. The company waives standard franchise fees for these shops.

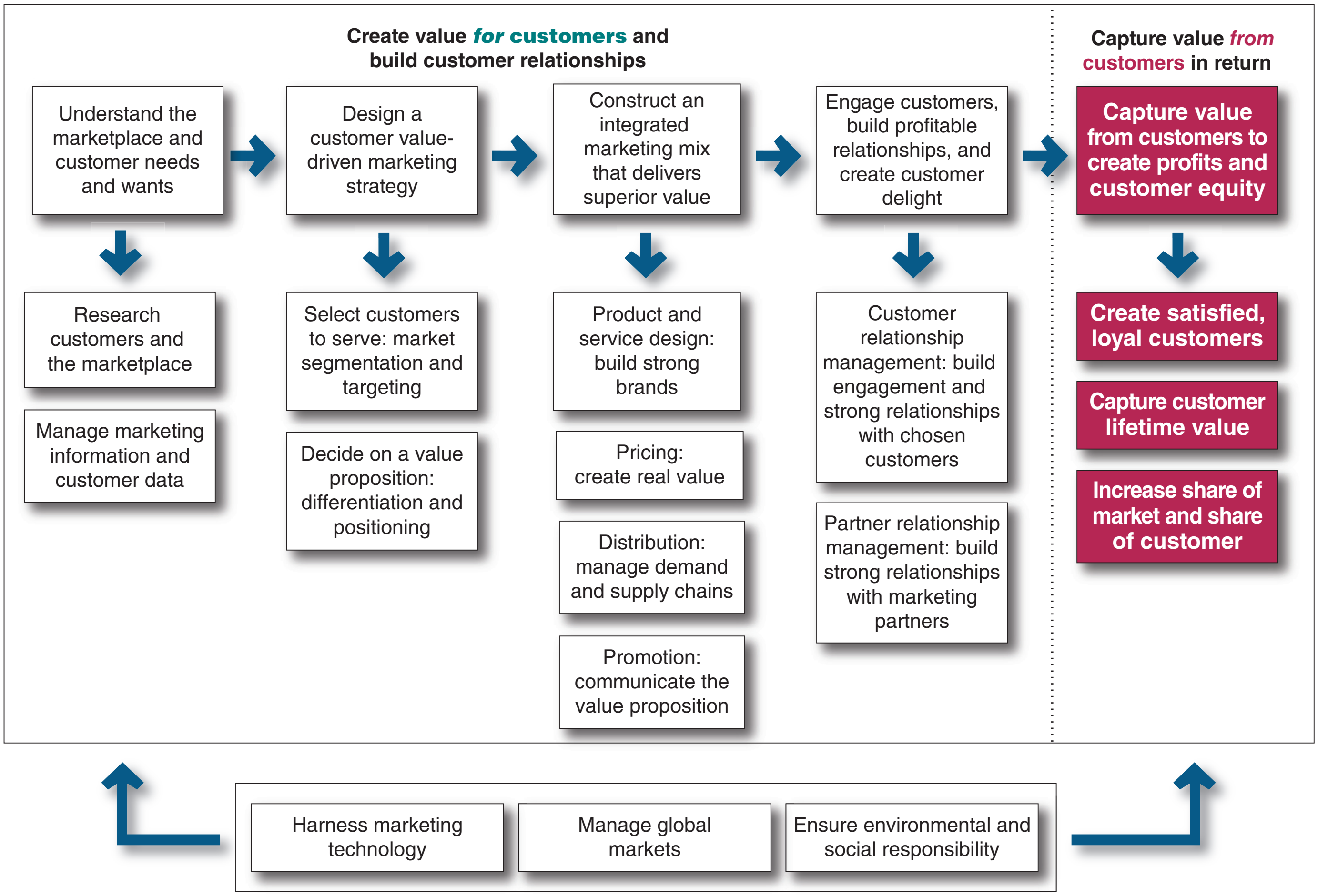
Sustainable marketing presents both opportunities and challenges for marketers. We will revisit the topic of sustainable marketing in greater detail in Chapter 20.

Author Comment | Remember Figure 1.1 outlining the marketing process? Now, based on everything we've discussed in this chapter, we'll expand that figure to provide a road map for learning marketing throughout the remainder of the text.

So What Is Marketing? Pulling It All Together

At the start of this chapter, Figure 1.1 presented a simple model of the marketing process. Now that we've discussed all the steps in the process, **Figure 1.6** presents an expanded model that will help you pull it all together. What is marketing? Simply put, marketing is the set of strategies and activities by which companies acquire and engage customers, build strong customer relationships, and create superior customer value in order to capture value from customers in return.

FIGURE 1.6
An Expanded Model of the Marketing Process



This expanded version of Figure 1.1 at the beginning of the chapter provides a good road map for the rest of the text. The underlying concept of the entire text is that marketing creates value for customers in order to capture value from customers in return.

The first four steps of the marketing process focus on creating value for customers. The company first gains a full understanding of the marketplace by researching customer needs and managing marketing information. It then designs a customer value–driven marketing strategy based on the answers to two simple questions. The first question is "What consumers will we serve?" (market segmentation and targeting). Good marketing companies know that they cannot serve all customers in every way. Instead, they need to focus their resources on the customers they can serve best and most profitably. The second marketing strategy question is "How can we best serve targeted customers?" (differentiation and positioning). Here, the marketer outlines a value proposition that spells out what values the company will deliver to win target customers.

With its core marketing strategy chosen, the company now constructs an integrated marketing mix consisting of a blend of the four mix elements—the four Ps—that transforms the marketing strategy into real value for customers. The company develops *product* offerings and creates strong brand identities for them. It *prices* these offers to create real customer value. It distributes or *places* the offers to make them available to target consumers. Finally, the company designs *promotion* programs that engage target customers, communicate the value proposition, and persuade customers to act on the market offering.

Perhaps the most important step in the marketing process involves engaging target customers and building value-laden, profitable relationships with them. Throughout the process, marketers practice customer relationship management to create customer satisfaction and delight. They engage customers in the process of creating brand conversations, experiences, and community. In creating customer value and relationships, however, the company cannot go it alone. It must work closely with marketing partners both inside the company and throughout its marketing system. Thus, beyond practicing good customer relationship management and customer-engagement marketing, firms must also practice good partner relationship management.

The first four steps in the marketing process create value for customers. In the final step, the company reaps the rewards of its strong customer relationships by capturing value from customers. Delivering superior customer value creates highly satisfied customers who will buy more, buy again, and advocate for the brand. This helps the company capture customer lifetime value and a greater share of the customer's spending. The result is increased long-term customer equity for the company.

Finally, in the face of today's changing marketing landscape, companies must consider three additional factors. In building customer and partner relationships, they must harness marketing technologies in the new digital age, take advantage of global opportunities, and ensure that they act in a socially and environmentally sustainable way.

Figure 1.6 provides a good road map for future chapters of this text. Chapters 1 and 2 introduce the marketing process, with a focus on building customer relationships and capturing value from customers. Chapters 3 through 6 address the first step of the marketing process—understanding the marketing environment, managing marketing information, and understanding consumer and business buyer behavior. In Chapter 7, we look more deeply into the two major marketing strategy decisions: selecting which customers to serve (segmentation and targeting) and determining a value proposition (differentiation and positioning). Chapters 8 through 17 discuss the marketing mix variables—the four Ps—in turn. Chapter 18 sums up customer value–driven marketing strategy and creating competitive advantage in the marketplace. The final two chapters examine special marketing considerations: global marketing, and sustainable marketing.

Developing Skills for Your Career

Marketing is an exciting, fast-changing discipline that offers a wide range of rewarding careers. See Appendix 3, Careers in Marketing, to see if one of these careers is right for you. But even if you're not planning a career in marketing or business, the lessons you learn in this course will help you in whatever career to choose and in your life more generally. You will acquire and apply many of the skills that employers have identified as critical to success in the workplace, which will contribute to your employability. Ultimately, good marketing managers are also good general managers.

In studying this text, you'll sharpen your *critical-thinking* and *problem-solving* skills as you learn about and assess marketing strategies, tactics, and issues. You'll expand your persuasive *communication* skills as you study and report on how marketers create advertising, digital, social media, and other promotional campaigns that engage consumers and create brand relationships. You'll see how *technology and marketing analytics* are dramatically reshaping the marketing world and apply some of these technologies in completing your own analyses of marketing problems. You'll learn the importance of *collaboration and teamwork* as you see how marketers work closely with others on their marketing teams and with managers in other company areas to develop overall organizational strategies and tactics. And you'll learn more about *business ethics and social responsibility*, from sections in the very first chapter through the final chapter on sustainable marketing.

During the course, your professors will help you to improve your critical thinking, analytical, communication, presentation, and teamwork skills through meaningful assignments, perhaps from the end-of-chapter exercises, cases, or appendixes in this text. Finally, beyond business applications, you'll see that marketing applies to your life more generally. For the rest of your life, you will be marketing yourself to others—championing your "personal brand." In fact, a favorite tactic of some employers during job interviewers is to give you this challenge: "Pretend you are a product and market yourself to me." After taking this course and studying this text, you should have ready answers.

Reviewing and Extending the Concepts

Objectives Review

Today's successful companies—whether large or small, for-profit or not-for-profit, domestic or global—share a strong customer focus and a heavy commitment to marketing. The goal of marketing is to engage customers and manage profitable customer relationships.

OBJECTIVE 1-1 Define marketing and outline the steps in the marketing process.

Marketing is the set of strategies and activities by which companies acquire and engage customers, build strong customer relationships, and create superior customer value in order to capture value from customers in return. The marketing process involves five steps. The first four steps create value for customers. First, marketers need to understand the marketplace and customer needs and wants. Next, marketers design a *customer value–driven marketing strategy* with the goal of getting, engaging, and growing target customers. In the third step, marketers construct a marketing mix that actually delivers superior value. All of these steps form the basis for the fourth step: engaging customers, building profitable customer relationships, and creating customer delight. In the final step, the company reaps the rewards of strong customer relationships by capturing value from customers.

OBJECTIVE 1-2 Explain the importance of understanding the marketplace and customers and identify the five core marketplace concepts.

Outstanding marketing companies go to great lengths to learn about and understand their customers' needs, wants, and demands. This understanding helps them to design want-satisfying market offerings and build value-laden customer relationships by which they can capture customer lifetime value and greater share of customer. The result is increased long-term customer equity for the firm. The core marketplace concepts are needs, wants, and demands; market offerings (products, services, solutions, and experiences); value and satisfaction; exchange and relationships; and markets. Companies address needs, wants, and demands by putting forth a *value proposition*, a set of benefits that they promise to consumers to satisfy their needs. The value proposition is fulfilled through a market offering, which delivers customer value and satisfaction, resulting in long-term exchange relationships with customers.

OBJECTIVE 1-3 Identify the key elements of a customer value–driven marketing strategy and discuss the marketing management orientations that guide marketing strategy.

To design a winning marketing strategy, the company must first decide whom it will serve. It does this by dividing the market into segments of customers (market segmentation) and selecting which segments it will cultivate (target marketing). Next, the company must decide how it will serve targeted customers (how it will differentiate and position itself in the marketplace).

Marketing can adopt one of five competing market orientations. The *produc*tion concept holds that management's task is to improve production efficiency and bring down prices. The product concept holds that consumers favor products that offer the most in quality, performance, and innovative features; thus, little promotional effort is required. The selling concept holds that consumers will not buy enough of an organization's products unless it undertakes a large-scale selling and promotion effort. The marketing concept holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfactions more effectively and efficiently than competitors do. The societal marketing concept holds that generating customer satisfaction and long-run societal well-being through sustainable marketing strategies is key to both achieving the company's goals and fulfilling its social responsibilities.

OBJECTIVE 1-4 Discuss customer relationship management and identify strategies for creating value for customers and capturing value from customers in return.

Broadly defined, customer relationship management is the process of engaging customers and building and maintaining profitable customer relationships by delivering superior customer value and satisfaction. Customer-engagement marketing aims to make a brand a meaningful part of consumers' conversations and lives through direct and continuous customer involvement in shaping brand conversations, experiences, and community. The aim of customer relationship management and customer engagement is to produce high customer equity, the total combined customer lifetime values of all the company's customers. The key to building lasting relationships is the creation of superior customer value *and* satisfaction. In return for creating value for targeted customers, the company captures value from customers in the form of profits and customer equity.

OBJECTIVE 1-5 Describe the major trends and forces that are changing the marketing landscape in this age of relationships.

Dramatic changes are occurring in the marketing arena. Marketing in an age of disruption calls for new marketing thinking and strategies. The digital age has created exciting new ways to learn about, engage, and relate to individual customers. As a result, advances in digital, social, and mobile media have taken the marketing world by storm. Online, mobile, and social media marketing offer exciting new opportunities to target customers more selectively and engage them more deeply. And today's big data and improved marketing analytics, including artificial intelligence applications, are enhancing how marketers learn about and interact with customers.

In recent years, marketing has become a major part of the strategies for many not-for-profit organizations, such as colleges, hospitals, museums, zoos, symphony orchestras, foundations, and even churches. Also, in an increasingly smaller world, many marketers are now connected globally with their customers, marketing partners, and competitors. Finally, today's marketers are responding to the call to take greater responsibility for the social and environmental impacts of their actions.

Pulling it all together, as discussed throughout the chapter, the major new developments in marketing can be summed up in a single concept: engaging customers and creating and capturing customer value. Today, marketers of all kinds are taking advantage of new opportunities for building value-laden relationships with their customers, their marketing partners, and the world around them.

Key Terms

OBJECTIVE 1-1

Marketing

OBJECTIVE 1-2

Needs
Wants
Demands
Market offerings
Marketing myopia
Exchange
Market

OBJECTIVE 1-3

Production concept
Product concept
Selling concept
Marketing concept
Societal marketing concept

OBJECTIVE 1-4

Customer relationship management
Customer-perceived value
Customer satisfaction
Customer-engagement marketing
Customer brand advocacy
Customer-generated marketing
Partner relationship management
Customer lifetime value
Share of customer
Customer equity

OBJECTIVE 1-5

Internet of Things (IoT)
Digital and social media marketing

Discussion Questions

1-1 What is marketing, and what is the goal of the marketing process? (AACSB: Written and Oral Communication)

1-2 What are the five marketing orientations, and what do marketing managers prioritize when operating under each? (AACSB: Written and Oral Communication)

1-3 Marketers calculate and track customer-centered metrics to assess their performance, such as customer lifetime value customer equity. How are these two measures related? (AACSB: Written and Oral Communication; Reflective Thinking)

1-4 Discuss the concept of customer relationship management. Why is it essential that a business incorporates this in its operations? (AACSB: Communication; Reflective Thinking)

1-5 What is consumer-generated marketing? What are the challenges associated with consumer-generated marketing? (AACSB: Written and Oral Communication; Reflective Thinking)

1-6 Why is marketing as important for not-for-profit organizations as profit-driven ones? (AACSB: Communication; Reflective Thinking)

Critical Thinking Exercises

1-7 Visit www.lego.com and discuss how well LEGO balances the three considerations underlying the societal marketing concept. To what extent has LEGO embodied the societal marketing concept? (AACSB Written and Oral Communication; Analytical Thinking)

1-8 Consider the four customer relationship groups in Figure 1.5. Realizing that no group will be 100 percent satisfied, one can assume that some groups are likely to be more satisfied than others. As a marketing manager for Chase banking services (see www.chase.com), which groups would you aim to satisfy and profit from in the short run and, separately, in the long run, and why? What would your relationship management strategy be for each group in Figure 1.5? (AACSB: Written and Oral Communication; Reflective Thinking)

1-9 Some believe that social marketing is primarily effective only for bigger companies with the time and capacity to manage and update their media content. Choose a local business and evaluate its effectiveness in creating customer engagement. Is the content up-to-date and relevant? How does it manage its content? (AACSB: Communication; Use of IT; Reflective Thinking)

APPLICATIONS AND CASES

Digital Marketing Fionamania

Fiona, a hippopotamus who was born prematurely and survived, lives in the Cincinnati Zoo's Africa exhibit. Fiona became a star when the zoo's communication director and her team started posting every move she made from the day she was born. She became a symbol of resilience and positivity, earning millions of fans and engaging the not-for-profit zoo's visitors and potential donors. Videos of Fiona twirling around the internet gain millions of views and followers across social media, including Twitter, Instagram, and TikTok. She has inspired a children's book, beer, and ice cream flavors. She even had a reality show on Facebook (four seasons, 27 episodes, and 3.5 million followers). People are heavily invested in Fiona's story.

1-10 Go to the Cincinnati Zoo's Instagram or TikTok (@cincinnatizoo) and find posts that feature Fiona the hippo. How does the zoo's communications team engage with Fiona's fans? What benefit does the zoo receive from Fionamania? (AACSB: Written and Oral Communication; Reflective Thinking)

1-11 What can other not-for-profit marketers learn from the Cincinnati Zoo's use of social media to generate interest in Fiona? How does it fit with the Cincinnati Zoo's overall social media strategy? (AACSB: Written and Oral Communication; Reflective Thinking)

Marketing Ethics Exaggeration and High Pressure

It is a great temptation for manufacturers to exaggerate the benefits of their products on their packaging. Sometimes, the claims are overstated. Businesses want to make bold claims to help them sell more products. Some of the claims are morally wrong; others are just "advertising puff." A business might resort to high-pressurized sales techniques; in other cases, they might focus on vulnerable customer groups. Businesses need to make a profit, but is it wrong to try any means to achieve this? Legally, it often is.

1-12 How would a business begin to frame an ethical marketing process as a template for their activities now and in the future? (AACSB: Communication; Ethical Reasoning)

1-13 What is likely to motivate a business to adopt ethical marketing? (AACSB: Communication; Ethical Reasoning)

Marketing by the Numbers Be on the First Page

The internet has become a vital marketing medium, and pay-per-click (PPC) is one of the many ways for a business to attract traffic. It is risky, and a business can spend a lot of money, get a lot of visits, but end up with very few actual sales. Search engines allow businesses to buy listings in their search results; they appear next to the non-paid organic search results. These spots are sold by auction. If the business bids the most, they get a chance, but only the chance to be ranked first.

1-14 If you bid $1.25 on a keyword related to your product and 14,000 people click on your PPC, how much will the search engine charge you? (AACSB: Communication; Analytical Reasoning)

1-15 PPC can be expensive, so why is it popular as a marketing method? (AACSB: Communication; Reflective Thinking)

Company Case The Walt Disney World Resort: Making Magical Moments

More than 58 million people flock to The Walt Disney World Resort in Florida annually, making it the world's number one tourist attraction. On a single busy day, more than 300,000 eager guests might drop by to visit with Mickey and his friends across Disney World's four major theme parks—the Magic Kingdom, Epcot, Disney's Hollywood Studios, and Disney's Animal Kingdom.

What brings so many people to Disney World? Well, Disney World is a true fantasyland—more than 40 square miles (as big as San Francisco) brimming with thrill-a-minute attractions such as Expedition Everest, Twilight Zone Tower of Terror, Space Mountain, Soarin' Around the World, Toy Story Mania, Pirates of the Caribbean, Kilimanjaro Safaris, Millennium Falcon: Smugglers Run, and Guardians of the Galaxy: Cosmic Rewind. But Disney World doesn't offer just amusement park rides. The real "Disney Magic" lies in how the resort turns park visits into carefully orchestrated customer experiences that make dreams come true.

Imagineering the Magic

Disney World is obsessed with making all aspects of every customer's visit perfect. In an increasingly rude, mismanaged, and mundane world, Disney World offers warmth, order, and magical moments. Known to many as "The most magical place on earth," at Disney World, America still works the way it's supposed to. From the moment visitors purchase tickets to the moment they leave the resort, Disney goes to extremes to create experiences that fulfill guests' high expectations and dreams.

Each park, attraction, restaurant, and hotel is part of an enchanted world, with every nuance carefully dreamed up by Disney "Imagineers." On Epcot Center's Test Track, visitors don't just zoom around a track. They become GM test engineers putting concept vehicles through rigorous testing. At the Magic Kingdom's Be Our Guest dining room, guests don't just eat a meal. They experience French-inspired food inside Beast's castle, a place where it's always snowing gently outside, the suits of armor talk, and the magic rose glitters in a corner of the forbidden west wing. And at Disney's Polynesian Village Resort, guests aren't just staying in a hotel. They are immersed in the spirit of the South Pacific, surrounded by tropical palms, lush vegetation, authentic cuisine, and enticing performances that showcase the culture of the region.

All Disney World employees—from executives in the corner office to the person scooping ice cream on Main Street in the Magic Kingdom—are trained in helping people have fun. They learn that they are "cast members" whose job is to be enthusiastic, knowledgeable, and professional in serving Disney's "guests." They learn that each cast member plays a vital role in the Disney World "show," whether it's as a "security host" (police), "transportation host" (driver), "custodial host" (street cleaner), or "food and beverage host" (restaurant worker).

Before they can receive their "theme costumes" and go "on stage," cast members learn how to interact effectively with guests. In a course called "Traditions," they learn the Disney language, history, and culture. They learn to be enthusiastic, helpful, and *always* friendly. They learn to do good deeds, such as taking pictures of guests so that the whole family is in the picture. They are taught to never say "I don't know" or "It's not my job." When a guest asks "Where the nearest restroom?" or "What are the names of Snow White's seven dwarves?," they know the answer. And they know that if they see a piece of trash, they must pick it up.

Disney trains cast members to connect with guests on a personal level. Cast members proactively seek opportunities to turn the mundane into the magical. For example, a cast member who notices a child's disappointment might hand out a Lightning Lane ride voucher, confer a coveted special-edition Disney pin, or connect the family to just the right Disney character at just the right moment. One Disney fan recalls: "I was three and I swear Cinderella was waving [to me] from the castle and my brother yelled, 'Cinderella, my sister wants to meet you!' Minutes later, I was whisked away to meet Cinderella in a private meet and greet."

Challenges of Maintaining the Magic

Executing Disney's formula for creating magical experiences is not without its challenges. For starters, as Disney's reputation for delivering magical customer experiences has grown, so have the crowds. And as each park reaches its peak capacity, Disney must somehow maintain the magic in the face of long lines and shoulder-to-shoulder foot traffic.

Disney starts by using entertainment to alleviate the boredom of waiting. For example, Disney characters often pass through sluggish line areas, interacting with guests and posing for pictures. Even more engaging, Disney creatively designs queue spaces in ways that accentuate the illusions created by each attraction. For example, when eager fans go through the entrance of Guardians of the Galaxy: Cosmic Rewind—Disney World's newest and Epcot Center's only roller coaster—they are far from boarding the 20-person Vekoma "Omnicoaster" vehicles. Rather, they enter The Galaxarium on planet Xandar with visual and audio effects that make it seem like they are in another world. Visitors then enter the Xandar Gallery, where they learn more about the planet, its people, and its cities. They are treated to a broadcast of "Good Morning Xandar" on an enormous screen, featuring interviews with Star Lord and the other Guardian heroes. Fully immersed in the Xandar experience, they then enter the Phase Chamber, where the Xandarians' Cosmic Generator transports them to a Nova Corps Starcharter cruiser that happens to be orbiting Earth. But when Eson, a Celestial, steals the Cosmic Generator and announces his plans to turn back time to prevent Earth's creation, riders board the Starjumper shuttles to track Eson until the Guardians can arrive to save the day.

While Disney works hard to entertain people as they wait, lines on busy days often exceed 60 minutes of wait time. That's why Disney introduced FastPass over 20 years ago, a ride-reservation and line-skipping program. With FastPass, guests could grab tickets from kiosks in front of attractions and return at a designated time to enter the ride through an express lane. The program evolved to include RFID-embedded wristbands—MagicBands—that not only kept FastPass reservations but also doubled as electronic touchpoints for room keys, park passes, and payment methods and also connected to the full-featured MyDisneyExperience app. This program evolved to provide paid versions of the FastPass system—now branded Disney Genie+—giving visitors special privileges like making ride reservations electronically and remotely, providing special audio experiences, and getting Disney PhotoPass extras. Disney's technologies now allow cast members to identify guests individually, greeting them by name and even recognizing celebratory occasions such as birthdays, anniversaries, or reunions.

The Downside of High Expectations

Disney is renowned for delivering magical experiences. Thus, visitors have high expectations, which are further heightened by the high price of experiencing Disney World. A five-day Disney World vacation for a family of four in one of Disney World's "economy" hotels is priced around $5,700. And it doesn't help that once within the boundaries of Mickey's Kingdom, guests must pay Disney prices for everything from food to souvenirs.

Thus, no matter how hard Disney and its teams try, they simply can't make everything perfect. And while Disney does cap attendance at its parks, the limits are so high that parks become unnavigable seas of people. As one disgruntled holiday visitor eloquently put it on social media, "Don't go there on Christmas Holiday unless the only thing you want to see and feel is people." And when visitors pay Disney prices, they expect the best. That's why unexpected unpleasantries—everything from bad weather to ride closures caused by maintenance issues—can amplify guest dissatisfaction.

And while Disney FastPass programs have delivered much valued times savings to guests, they have also delivered some unexpected dissatisfactions. The more attractive the benefits of reserving rides, the more people sign up, making even the express lanes longer than most feel are acceptable. And the express lanes reminded those in the regular lines just how long they were waiting. With the introduction of paid FastPass options, many visitors felt coerced into paying the extra fees to get the best service. And those who didn't want to pay often felt like lower-class citizens. Making matters worse, when Disney introduced the Genie+ program after eliminating the FastPass system entirely during low-capacity restrictions imposed during the COVID-19 pandemic, guests were no longer allowed to make any time-saving ride reservations for free.

Still, most people who make the trek to The Walt Disney World Resort—whether for the day or for an extended stay—come away feeling more than satisfied. People don't go just to ride some rides. Instead, they visit to be part of a carefully choreographed experience—a magical world of wonder where dreams come true and things still work as they should. Disney has become so highly regarded for its ability to deliver customer experiences that many leading corporations have sent managers to Disney Institute to "discover the method behind the magic." As one avid Disney World fan puts it, "Walking down Main Street and seeing Cinderella's castle for the first time always makes my heart jump... . No matter what I'm going through... suddenly the world is filled with magic and wonder and possibilities all over again and I feel a wave of happiness flow over me and a smile creep back onto my face easily, not forced or painted on. A real, true smile."[38]

Questions for Discussion

1-16 Describe The Walt Disney World experience based on the concepts of needs, wants, and demands, differentiating the three.

1-17 What does Walt Disney World teach us about the internal culture, people, and processes that must be in place for an organization to create and deliver great customer experiences?

1-18 How do customer expectations influence Disney World's approach to creating great customer value and experiences? How can Disney manage those customer expectations?

1-19 How can The Walt Disney World Resort better meet the challenges it faces in delivering its famous customer experience? Come up with some original and innovative ideas.

1-20 *Small group exercise*: Choose any industry—health care, transportation, education, dining, or any other. Apply the learnings from Walt Disney World to come up with specific, innovative ideas to create fantastic experiences in your chosen industry. Present your ideas.

2 Company and Marketing Strategy

Partnering to Build Customer Engagement, Value, and Relationships

OBJECTIVES OUTLINE

OBJECTIVE 2-1 Explain company-wide strategic planning and its four steps.

OBJECTIVE 2-2 Discuss how to design business portfolios and develop growth strategies.

OBJECTIVE 2-3 Explain marketing's role in strategic planning and how marketing works with its partners to create and deliver customer value.

OBJECTIVE 2-4 Describe the elements of a customer value–driven marketing strategy and mix and the forces that influence them.

OBJECTIVE 2-5 Explore the marketing management functions, including the elements of a marketing plan, and discuss the importance of measuring and managing marketing return on investment.

CHAPTER PREVIEW

In the first chapter, we explored the marketing process by which companies create value for customers to capture value from them in return. In this chapter, we dig deeper into steps two and three of the marketing process: designing customer value–driven marketing strategies and constructing marketing mix programs. First, we look at the organization's overall strategic planning, which guides marketing strategy and planning. Next, we discuss how, guided by the strategic plan, marketers partner closely with others inside and outside the firm to engage customers and create value for them. We then examine marketing strategy and planning—how marketers choose target markets, position their market offerings, develop a marketing mix, and manage their marketing programs. Finally, we look at the important step of evaluating the effectiveness of marketing strategy by measuring and managing marketing return on investment (marketing ROI).

First, let's look at Starbucks, a great brand and a good marketing strategy story. Starbucks met with enormous early success by focusing not just on coffee but on the coffee-drinking experience. The company has since taken a bumpy ride from boom to bust and back to boom again. Along the way, it learned that good marketing strategy means more than just growth, sales, and profits. It means skillfully engaging customers and creating value for them. At its core, Starbucks doesn't sell just coffee, it sells the "Starbucks Experience."

STARBUCKS: Delivering the "Starbucks Experience"

Four decades ago, Howard Schultz began transforming the coffee industry by bringing a European-style coffeehouse to America. He believed that people needed to slow down—to "smell the coffee" and to enjoy life a little more. The result was Starbucks, a retail coffee chain that revolutionized coffee and the quick-serve food industries based on a whole new strategy for engaging customers and creating customer value.

Starbucks didn't sell just coffee; it sold the "Starbucks Experience"—"an uplifting experience that enriches people's lives one moment, one human being, one extraordinary cup of coffee at a time." Starbucks gave customers what it calls a "third place"—a place away from home and away from work. At Starbucks, the smells, the sound of beans grinding, and watching baristas blend and brew the brand's specialty coffees all became as much or more a part of the customer experience as the coffee itself.

Over the next two decades, customers flocked to Starbucks cafés as they began dotting the nation and the planet, and the company's sales and profits rose like steam off a mug of hot java. However, Starbucks's enormous success drew a host of competitors. It seemed that every rival—from independent coffeehouses to fast-food restaurants—was peddling its own brand of premium coffee.

To maintain its phenomenal growth in the increasingly overcaffeinated marketplace, Starbucks brewed up an ambitious growth strategy. It opened new stores at a breakneck pace, seemingly everywhere. For example, one three-block stretch in Chicago contained six of the trendy coffee bars. In New York City, there were two Starbucks in one Macy's store. In fact, cramming so many stores so close together caused one satirical publication to run this headline: "A New Starbucks Opens in the Restroom of Existing Starbucks." The company also blanketed the country with Starbucks kiosks and coffee stands in everything from Target stores and supermarkets to hotel lobbies. And service businesses from airlines to car dealerships proclaimed: "We proudly serve Starbucks coffee."

The more Starbucks grew, however, the more it drifted away from the core mission and values that had made the brand so successful. The company's relentless focus on growth for growth's sake began to take a toll on the prized Starbucks Experience. Far from its roots as a warm and intimate coffeehouse, Starbucks began to evolve into more of a caffeine filling station. More and more, the premium brand found itself competing with the likes of—gasp!—McDonald's for many of the same customers.

Founder Howard Schultz, who had stepped down as CEO in 2000, expressed concern. In a 2007 memo to Starbucks management, Schultz lamented that the company's push for growth had "led to the watering down of the Starbucks Experience" and that Starbucks was "losing its soul." Schultz was right that something was wrong. By early 2008, when Schultz reassumed his role as Starbucks president and CEO, the company found itself in hot water. For the first time ever, the average number of transactions per U.S. store declined, and same-store sales growth slowed. Within just the previous two years, Starbucks's stock had tumbled nearly 80 percent. According to one analyst, "The financial vultures circled. Obituaries were drafted."

Instead of presiding over the brand's demise, however, Schultz reacted quickly to restore its luster. He cooled the pace of Starbucks's growth, closed underperforming locations, and replaced most of the company's top executives. Most important, Schultz laid plans to reestablish the company's core mission and values and to refocus the brand on giving customers the authentic Starbucks Experience. "As we grew rapidly and had phenomenal success," Shultz announced, "we started to lose sight of our focus on the customer and our commitment to continually and creatively enhance the Starbucks Experience." Starbucks needed to shift its focus back to customers—to "reignite the [brand's] emotional attachment with customers."

To emphasize the point, at a cost of $30 million, Schultz transported 10,000 Starbucks store managers to New Orleans for a morale-building reorientation. A short time later, Starbucks dramatically closed all of its U.S. locations for three hours to conduct nationwide employee training on the basics of producing satisfying customer experiences.

With those early actions, Starbucks began a process of continual renewal by which it reignited the Starbucks customer experience through new products, innovative store formats, and new platforms for engaging customers. Beyond improving its signature coffee products, Starbucks developed new products that take the Starbucks Experience into new areas. For example, it developed or acquired various beverage brands and broadened its premium food options. It now offers everything from hot breakfast entrées and focaccia sandwiches to protein boxes and yogurt parfaits.

More than just coffee, Starbucks sells the "Starbucks Experience," one that "enriches people's lives one moment, one human being, one extraordinary cup of coffee at a time."

Andrew Aitchison/Alamy Stock Photo

The company has also rolled out new store formats, such as the high-end Starbucks Reserve Roasteries—part café, part shrine, and part working roaster. Think of it as the Starbucks Experience on steroids. "We designed the Roastery as the pinnacle experience around all-things-coffee, and there is nothing else like it in the world," says Starbucks's current CEO. The ultimate expression of the Starbucks Experience, these flagship stores have rolled out slowly in the world's most cosmopolitan cities, including Shanghai, Milan, New York, Tokyo, and Chicago. Starbucks has also rolled out more than 40 smaller Starbucks Reserve Bars, like the Roasteries but offering a more intimate small-lot coffee experience.

Starbucks has also extended the Starbucks Experience well beyond its traditional stores through digital, mobile, and other high-tech platforms. Its highly successful Starbucks Rewards mobile app lets members order ahead, pay, earn rewards, and learn about new products and special offers. Starbucks thinks of its app as "a direct, real-time, personalized, two-way digital relationship with its customers."

Starbucks continues to modernize the Starbucks Experience to meet new marketplace realities in a post-pandemic world. When the COVID-19 pandemic hit, dramatically disrupting the restaurant industry, Starbucks responded aggressively with even greater emphasis on digital order-and-pay options through its Starbucks app. It added "contactless" pickup options, including drive-thru, curbside, grab-and-go, and at-the-door delivery. And in many U.S. markets, customers can now use Starbucks Delivers to have their Starbucks favorites brought to their doors through Uber Eats.

Starbucks has become America's—the world's—largest coffeehouse by skillfully engaging customers and delivering superior customer value. At its core, Starbucks doesn't sell just coffee. It sells the "Starbucks Experience."

These digital and delivery improvements have only extended and strengthened the Starbuck Experience. Although Starbucks's overall sales dipped more than 11 percent in fiscal 2020 at the start of the pandemic, the company's digital and delivery sales grew rapidly. During the third quarter of 2020 alone, Starbucks app downloads grew 17 percent, and 90 percent of Starbucks U.S. sales came through a combination of mobile order-and-pay and drive-thru. Starbucks Delivers transactions tripled. Today, Starbucks remains devoutly committed to delivering the one-of-a-kind Starbucks Experience. And once again, sales and profits are really perking. Every day, 383,000 Starbucks employees serve more than 25 million customers in over 34,000 stores in 83 countries.

The moral of the Starbucks story: Good marketing strategy means focusing first and foremost on delivering customer value. The objective isn't just growth or sales or profits; it's engaging customers in a meaningful way and creating value for them. If a company takes care of customer engagement and value, good performance will result. "It's not just about ringing a register and performing a task," says Schultz, now chairman emeritus at Starbucks. "It's also about creating an emotional, enduring relationship and connection with our … customers. At our core, we celebrate the interaction between us and our customers through the coffee experience. Life happens over coffee."[1]

Author Comment | Company-wide strategic planning guides marketing strategy and planning. Like marketing strategy, the company's broader strategy must also be customer focused.

Company-Wide Strategic Planning: Defining Marketing's Role

OBJECTIVE 2-1 **Explain company-wide strategic planning and its four steps.**

Strategic planning
The process of developing and maintaining a profitable strategic fit between the organization's goals and capabilities and its changing marketing opportunities.

Each company must find the game plan for long-run survival and growth that makes the most sense given its specific situation, opportunities, objectives, and resources. This is the focus of **strategic planning**—the process of developing and maintaining a profitable strategic fit between the organization's goals and capabilities and its changing marketing opportunities.

Strategic planning sets the stage for the rest of planning in the firm. Guided by the strategic plan, companies prepare annual and long-range operating plans. The annual and long-range plans deal with the company's current businesses and how to keep them going. In contrast, the strategic plan involves adapting the firm to take advantage of opportunities in its constantly changing environment.

At the corporate level, the company starts the strategic planning process by defining its overall mission (see **Figure 2.1**). The mission is an overarching goal that addresses how the company wants to positively affect its market or the society in which it operates. This mission is then translated into detailed supporting goals that guide the entire company. Next, as part of the strategic plan, the company decides what portfolio of businesses and products is best for the company and how much support to give each one. Marketing leaders such as the chief marketing officer play a key role in developing the mission and strategic plan at the corporate level. Following that, each business unit and product team develops detailed marketing plans that support the company's strategic plan. Thus, marketing planning occurs at the business-unit, product, and market levels.

Defining a Market-Oriented Mission

An organization exists to accomplish something, and this purpose should be clearly stated. Forging a sound mission begins with the following questions: What *is* our business? Who is the customer? What do consumers value? What *should* our business be? These simple-sounding questions are among the most difficult the company will ever have to answer. Successful companies continually raise these questions and answer them carefully and completely.

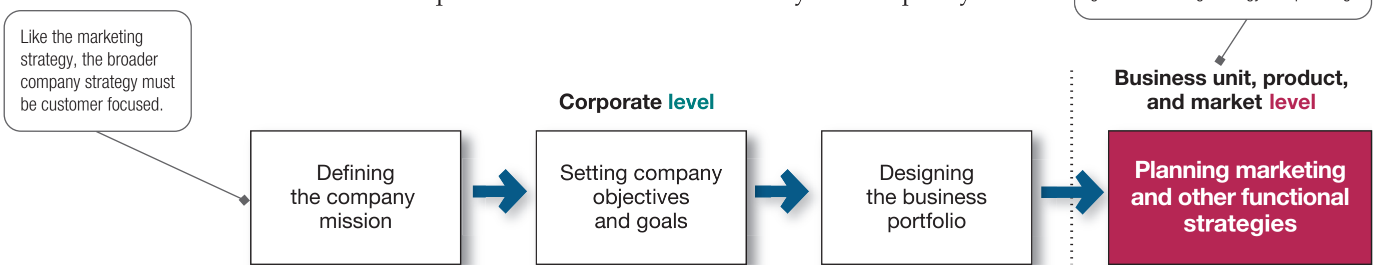


FIGURE 2.1
Steps in Strategic Planning

Mission statement
A statement of the organization's purpose—what it wants to accomplish in the larger environment.

Many organizations develop formal mission statements that answer these questions. A **mission statement** is a statement of the organization's purpose—what it wants to accomplish in the larger environment. A clear mission statement acts as an "invisible hand" that guides and energizes people in the organization. For example, 3M once defined its mission as "To solve unsolved problems innovatively." And Disney's aims quite simply "To make people happy."

Some companies define their missions myopically in product or technology terms ("We make and sell furniture" or "We are a chemical-processing firm"). But mission statements should be *market oriented* and defined in terms of satisfying customer and societal needs. Products and technologies eventually become outdated, but market and societal needs may last much longer, even forever. For example, social scrapbooking site Pinterest doesn't define itself as just an online place to post pictures. Its mission is to give people a social media platform for collecting, organizing, and sharing things they love. And Sephora's mission isn't to be a beauty products retailer. It's to sell lifestyle and self-expression by helping customers to unlock their beauty potential. **Table 2.1** provides several examples of product-oriented versus market-oriented business definitions.

Mission statements should be meaningful and specific yet motivating. Too often, mission statements are written for public relations purposes and lack specific, workable guidelines. Instead, they should emphasize the company's strengths and forcefully convey how it will make the world better while winning in the marketplace.

Finally, a company's mission should not be stated as making more sales or profits; profits are ultimately a reward for creating value for customers. Instead, the mission should focus on customer and societal benefits the company seeks to create. For example, Ritz-Carlton Hotels & Resorts doesn't see itself as just renting out rooms. It's on a mission to create "The Ritz-Carlton Experience," one that "enlivens the senses, instills well-being, and fulfills even the unexpressed wishes and needs of our guests." Ritz-Carlton follows up this mission with specific steps of service by which every employee can help to turn the mission into reality.[2] Similarly, home furnishings retailer IKEA doesn't just sell furniture. It pursues simple but powerful customer-focused mission: to "create a better everyday life for the many people" (see Real Marketing 2.1).

Table 2.1 | Product- versus Market-Oriented Business Definitions

Company	Product-Oriented Definition	Market-Oriented Definition
Starbucks	We sell coffee and snacks.	We sell the "Starbucks Experience," one that enriches people's lives one moment, one human being, one extraordinary cup of coffee at a time.
Walmart	We run discount stores.	We deliver low prices every day and give ordinary folks the chance to buy the same things as rich people. "Save Money. Live Better."
Zoom	We host online meetings.	We deliver happiness by making video communications frictionless and secure, empowering people to accomplish more.
Home Depot	We sell tools and home repair and improvement items.	We empower consumers to achieve the homes of their dreams.
NPR	We are a public radio network.	We create a more informed public—one challenged and invigorated by a deeper understanding and appreciation of events, ideas, and cultures.
Sephora	We are a beauty products retailer.	We sell lifestyle and self-expression by helping customers to unlock their beauty potential.
Airbnb	We rent places online.	We help create a world where people can "belong anywhere," where they can live in a place instead of just traveling to it.
Cargill	We sell food and agricultural products.	We nourish the world in a safe, responsible and sustainable way.

Real Marketing 2.1

IKEA's Mission: Creating a Better Everyday Life for the Many People

IKEA, the world's largest home furnishings retailer, is the quintessential global cult brand. Last year, more than 775 million shoppers flocked to the Scandinavian retailer's 458 huge stores in 59 countries, generating revenues of more than $48 billion. That's an average of about $105 million per store annually, more than double Walmart's average per-store sales. IKEA is big, and it's getting bigger—its revenues have nearly doubled during the past decade.

At the heart of IKEA's success is a steadfast focus on its simple but powerful customer-focused mission: to "create a better everyday life for the many people." More than 70 years ago, IKEA founder Ingvar Kamprad developed what became known as the "IKEA concept." He was a native of Småland, Sweden, where the soil was poor and the people had a reputation for working hard, living frugally, and making the most of limited resources. IKEA reflects those characteristics—"offering a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."

That mission forms the foundation for IKEA's entire operating model, and it provides the guiding light for IKEA's culture and values. Far more than just a home furnishings retailer, the company curates an IKEA lifestyle. According to IKEA, "a better home creates a better life. So we work to create better homes, every day, through the products and solutions we offer." At IKEA, this mission is more than just lofty words. True to its mission, IKEA offers a wide range of well-designed, functional home furnishings at consistently low prices.

"Creating a better everyday life" happens not only through the look of IKEA's products but also in how well they work. For example, like most of its upholstered furniture, the best-selling Klippan sofa has a removable cover, so customers can wash it easily or change the sofa's looks by simply replacing the cover. And characteristic of IKEA's cabinets, bookcases, and shelves, its PAX wardrobe system is modular, letting customers mix and match components that best meet their needs and spaces.

Such adaptability is key in IKEA's simple designs that have a timeless, near-universal appeal that never ages. For example, the POANG—an upholstered chair based on a laminated, bentwood frame with only two front legs—was created in 1976 but remains one of the company's best-selling lines today. The same holds true for its BILLY bookcase—a product that sells every five seconds. In fact, most of IKEA's best-selling products have been around for years. And that's how IKEA customers enjoy countless practical IKEA products that at first seem designed for a single purpose but work well in countless situations.

Another makes-life-better aspect of IKEA products is their convenient "flat pack," assemble-at-home design. Getting big furniture items home from other stores requires a truck or professional movers. Not so with IKEA, where enterprising customers can pull products from shelves, load them into a car or minivan, and carry them home. And although IKEA furniture often requires assembly, IKEA has discovered that the assembly process makes customers feel more engaged with and connected to its products and the IKEA brand.

As important, IKEA's "flat pack" design also keeps prices down by reducing the retailer's labor, transportation, and warehousing costs. To support the affordable-pricing side of its mission, IKEA is a relentless cost-cutter. It keeps prices low through product design, volume selling, and working closely with carefully selected supplier-partners who share IKEA's mission and dig in to help IKEA meet cost targets. IKEA aims to set the price of every IKEA product at half the price of similar products from competitors. And with its focus on cost-cutting, IKEA can keep the price of a popular product constant over time or even reduce it. For example, when IKEA opened its first U.S. store in Philadelphia in 1985, it priced its basic Klippan sofa at $395. Today, that same sofa costs just $319.

In its quest to improve people's lives, IKEA obsesses over the customer experience. Its showrooms are more than just stores. They are one-stop home-shopping emporiums filled with merchandise and friendly, helpful employees. The average IKEA store, at 300,000 square feet (about 50 percent larger than the average Walmart Supercenter), might seem overwhelming at first. But IKEA designs its stores with the same care that it puts into designing its products.

To offset the stores' massive size, IKEA divides them into three main sections. Showrooms display furnishings in real-room settings, the marketplace houses small items, and the warehouse makes it easy for customers to pull their own furniture items in flat-pack boxes and cart them to checkout. At any IKEA in the world, parents can drop off their children in the IKEA Småland play area and feed the entire family in IKEA's famous three-meal-a-day cafeteria and snack bar, making it easy to hang around and shop for hours.

IKEA follows a highly standardized global operating model worldwide. No matter where in the world you shop at IKEA—from Beijing to Moscow to Middletown, Ohio—you'll find huge stores, large selections of contemporary Scandinavian-design furnishings, and affordable prices. However, IKEA has learned that, when it comes to global markets, the meaning of "a better everyday life" often depends on where you live. So all over the world, IKEA works to adapt its mission to the distinct needs and tastes of local consumers.

There are limits to how much IKEA can adapt product designs and assortments without increasing costs. So instead of making wholesale product changes around the globe, IKEA often simply adapts its marketing

IKEA's deeply held mission is to "create a better everyday life for the many people . . . by offering a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."

Used with the permission of Inter IKEA Systems B.V.

and merchandising to show locals how IKEA's standard products and the IKEA lifestyle fit with their lives and cultures. For example, showrooms in Japan and the Netherlands may feature the same beds and cabinets, but the Japanese display might feature tatami mats whereas the Dutch room incorporates slanted ceilings. In the United States, those same beds will be covered with decorative pillows.

IKEA also adjusts its store assortments to local needs. For instance, IKEA stores in China carry many of the same items found in other parts of the world. However, because the average living space in China's crowded cities is much smaller than in Europe and the United States, Chinese IKEAs stock smaller appliances and products geared toward saving space and organizing a household.

Beyond adapting designs, assortments, and merchandising, IKEA often adjusts its basic store operations to suit local lifestyles. For example, IKEA customers in the United States typically visit an IKEA store, shop for a while, and then move on. In China, however, IKEA is known as Yi Jia, which translates to "comfortable home," a concept taken literally by Chinese shoppers. Chinese families often make themselves at home in an IKEA store, hanging out for hours to enjoy the air-conditioning and refreshments, lounging in display furniture and socializing, or even hopping into display beds for a snooze. In fact, IKEA recently opened a new concept store in Shanghai—the Home Experience of Tomorrow, with a central theater-like communal space for shoppers to socialize or relax. Thanks to such cultural understandings coupled with competitively low prices, China is now IKEA's fastest-growing market. Eight of the world's 10 biggest IKEA stores are in China.

Thus, IKEA's success stems from much more than selling lots of merchandise. It results from the pursuit of a deeply held, customer-focused mission, adapted to the needs of customers no matter where they live. IKEA summarizes it this way: IKEA is "a global home furnishing brand that brings affordability, design, and comfort to people all over the world. [But it] goes beyond home furnishings. We may have come a long way since our humble beginnings but our vision remains the same: to create a better everyday life for the many people. . . . We want to create a better everyday life for all people impacted by our business."[3]

Setting Company Objectives and Goals

The company needs to turn its broad mission into detailed supporting objectives for each level of management. Each manager should have objectives and be responsible for reaching them. For example, most Americans know CVS as a chain of retail pharmacies selling prescription and over-the-counter medicines, personal care products, and a host of convenience and other items. But CVS Health has a much broader mission. It views itself as a "pharmacy health care innovation company," one that is "helping people on their path to better health." The company's motto: "Health is everything."[4]

CVS Health's broad mission leads to a hierarchy of objectives, including business objectives and marketing objectives. CVS Health's overall business objective is to increase access, lower costs, and improve the quality of care. It does this through the products it sells at its retail pharmacies and by taking a more active role in overall health-care management through research, consumer outreach and education, and support of health-related programs and organizations.

However, such activities are expensive and must be funded through improved profits, so improving profits becomes another major objective for CVS Health. Profits can be improved by increasing sales or by reducing costs. Sales can be increased by improving customer engagement and raising the company's share of the health-care market. These goals then become the company's current marketing objectives.

CVS Health's overall mission is to be a "health care innovation company," one that is "helping people on their way to better health." Its marketing strategies and programs must support this mission.

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Marketing strategies and programs must be developed to support these marketing objectives. To increase customer engagement, sales, and market share, CVS Health has reshaped and broadened its lines of products and services. For example, it stopped selling tobacco products, items not compatible with its "better health" mission. And it has placed CVS MinuteClinic locations in more than 1,100 of its own 9,950 stores and Target stores, providing walk-in medical care for more than 37 million patient visits since 2000. CVS Health has also broadened its range of customer contact activities to include tailored advising to customers managing chronic and specialty health conditions.

These are CVS Health's broad marketing strategies. Each marketing strategy must then be defined in greater detail. For example, the company's rapidly expanding MinuteClinic services will require more advertising and promotional efforts, and such efforts will need to be spelled out carefully. In this way, CVS Health's broad mission is translated into a set of specific short-term objectives and marketing plans.

Author Comment | Once it sets its mission, a company faces difficult decisions about what businesses and products will make up the company, now and in the future.

Designing the Business Portfolio

OBJECTIVE 2-2 Discuss how to design business portfolios and develop growth strategies.

Business portfolio
The collection of businesses and products that make up the company.

Guided by the company's mission statement and objectives, management now must plan its business portfolio—the collection of businesses and products that make up the company. The best **business portfolio** is the one that achieves the best fit between opportunities in the environment and the company's strengths and weaknesses.

Most large companies have complex portfolios of businesses and brands. ● For example, you probably know Johnson & Johnson for its many iconic consumer health brands, maybe BAND-AID brand adhesive bandages, Johnson's baby shampoo, or Tylenol pain reliever. In fact, J&J markets a very broad portfolio of consumer health and wellness products in three categories. Its *self-care* brands include over-the-counter pain-relief, smoking-cessation, allergy, antacid, nasal decongestant, and cough and cold products—well-known brands such as Tylenol, Motrin, Benadryl, Zyrtec, Nicorette, and Pepcid. J&J's *skin health and beauty* brands include Neutrogena, Aveeno, and a dozen others. Its *essential health* group includes wound care, oral care, baby care, and women's health brands, such as BAND-AID, Listerine, and Johnson's baby shampoo. Managing this deep portfolio of consumer brands, in itself, creates a big challenge.

● **Complex business portfolios: You probably know Johnson & Johnson for its many iconic consumer health brands, maybe BAND-AID brand adhesive bandages, Johnson's baby shampoo, or Tylenol pain reliever. But did you know that the substantial bulk of J&J's revenue comes from its pharmaceuticals and medical devices businesses?**

Justin Sullivan/Getty Images

But did you know that these iconic consumer brands account for only about 15 percent of J&J's $94 billion in annual revenue? The substantial bulk of J&J's revenue comes from its pharmaceuticals and medical devices businesses. J&J's MedTec group markets an array of innovative surgical, orthopedics, and vision devices and technologies, ranging from interocular lens implants to hip, knee, and shoulder replacements and robotic-assisted orthopedic sports medicine devices. And more than half of J&J's revenues come from a full range of prescription drugs and other pharmaceuticals for treating immunological disorders, cardiovascular and metabolic diseases, cancer, pulmonary hypertension, and infectious diseases such as HIV and COVID-19. Combined, managing J&J's huge and diverse portfolio of consumer and medical businesses is enough to make the heads of even the most skilled portfolio management team spin. In fact, Johnson & Johnson recently made a dramatic strategic planning move to help simplify its portfolio. It announced that it would divide up its diverse family of companies into two more cohesive entities by splitting off its consumer health brands as a separate company while retaining its pharmaceutical and medical device units under the J&J brand.[5]

Business portfolio planning for large portfolios such as Johnson & Johnson's is a complex task. Such planning involves two steps. First, the company must analyze its *current* business portfolio and determine which businesses should receive more, less, or no investment. Second, it must shape the *future* portfolio by developing strategies for growth and downsizing. These two decisions are connected. For example, dropping a current business that is lagging frees up the resources, time, and managerial attention needed to open up a new business. Or a company may invest more in a current business because it can operate synergistically with a new business it intends to introduce.

Analyzing the Current Business Portfolio

Portfolio analysis
The process by which management evaluates and plans for the future of the products and businesses that make up the company.

A major activity in strategic planning is business **portfolio analysis**, whereby management evaluates and plans for the future of the products and businesses that make up the company. Typically, the company will want to put strong resources into its more profitable businesses and phase down or drop its weaker ones.

Management's first step is to identify the key *strategic business units* (SBUs)—the businesses that make up the company. An SBU can be a company division, a product line within a division, or sometimes a single product or brand. The company next assesses the attractiveness of its various SBUs and decides how much support each deserves. When designing a business portfolio, it's a good idea to add and support products and businesses that fit closely with the firm's core philosophy and competencies.

A key purpose of strategic planning is to determine how the company can best use its strengths to take advantage of attractive opportunities in the environment. For this reason, most standard portfolio analysis methods evaluate SBUs on two important dimensions: the attractiveness of the SBU's market or industry and the strength of the SBU's position in that market or industry. One of the best-known portfolio-planning methods was developed by the Boston Consulting Group (BCG), a leading management consulting firm.[6]

Growth-share matrix
A portfolio-planning method that evaluates a company's strategic business units (SBUs) in terms of market growth rate and relative market share.

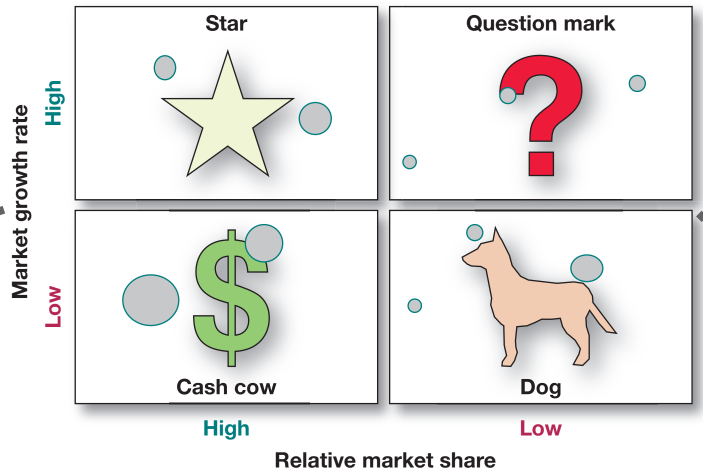
Using the now-classic BCG approach, a company classifies all its SBUs according to the **growth-share matrix**, as shown in Figure 2.2. On the vertical axis, *market growth rate* provides a measure of market attractiveness. On the horizontal axis, *relative market share*—the SBU's share relative to competitors—serves as a measure of company strength in the market. The growth-share matrix places SBUs into four quadrants:

1. ***Stars.*** Stars are high-growth, high-share businesses or products. They often need heavy investments to finance their rapid growth. Eventually their growth will slow down, and they will turn into cash cows.
2. ***Cash cows.*** Cash cows are low-growth, high-share businesses or products. These established and successful SBUs need less investment to hold their share. Thus, they produce a lot of the cash that the company uses to pay its bills, support other SBUs that need investment, add to cash reserves, or return to shareholders.
3. ***Question marks.*** Question marks are low-share business units in high-growth markets. They require a lot of cash to hold their share, let alone increase it. Management has to think hard about which question marks it should try to build into stars and which should be phased out.
4. ***Dogs.*** Dogs are low-growth, low-share businesses and products. They may generate enough cash to just maintain themselves but do not promise to be large sources of cash. Even if they break even financially, dogs can represent significant opportunity costs by absorbing managerial energy and attention that could be used more profitably elsewhere.

The 10 circles in the growth-share matrix represent the company's 10 current SBUs. The company has two stars, two cash cows, three question marks, and three dogs. The area of each circle is proportional to the SBU's dollar sales. This company is in fair shape, although not in great shape. It must invest in the more promising question marks to make them stars and maintain the stars so that they will become cash cows as their markets mature. Fortunately, it has two good-sized cash cows. Income from these cash cows will help finance the company's question marks, stars, and dogs. The company should take some decisive action concerning its dogs and its question marks.

FIGURE 2.2
The BCG Growth-Share Matrix

Under the classic BCG portfolio planning approach, the company invests funds from mature, successful products and businesses (cash cows) to support promising products and businesses in faster-growing markets (stars and question marks), hoping to turn them into future cash cows.



The company must decide how much it will invest in each product or business (SBU). For each SBU, it must decide whether to build, hold, harvest, or divest.

Cash cows are cash-generating machines. However, a portfolio with only cash cows is not a healthy one. At some point, the markets the cash cows are in will wither. Without stars as future cash cows and promising question marks as future stars, the company will not be able to keep the engines of profitability and growth running smoothly in the long run.

Once it has classified its SBUs, the company must determine what role each will play in the future. It can pursue one of four strategies for each SBU. An SBU's position in the growth-share matrix significantly impacts this decision. The company can invest more in a business unit to *build* its share—this applies mainly to promising question marks and stars. Or it can invest just enough to *hold* an SBU's share at the current level. This applies mostly to some stars and some cash cows. It can *harvest* an SBU, milking its short-term cash flow regardless of the long-term effect. This applies mainly to cash cows whose markets are shrinking, to less-than-promising question marks, and to some dogs. Finally, it can *divest* the SBU by selling it or phasing it out and using the resources elsewhere. This applies mainly to unpromising question marks and dogs.

As time passes, SBUs change their positions in the growth-share matrix. Many SBUs start out as question marks and move into the star category if they receive investment and succeed. They later become cash cows as market growth falls and then finally die off or turn into dogs toward the end of the life cycle. The company needs to add new products and units continuously so that some of them will become stars and, eventually, cash cows that will help finance other SBUs.

Problems with Matrix Approaches

The BCG and other formal corporate planning approaches have strongly impacted strategic planning. However, such centralized approaches have limitations. They can be difficult to undertake, time-consuming, and costly to implement. And they may not apply well or easily to certain types of markets facing structural changes or disruptions. For example, consider applying the BCG model to the hospitality industry at the stage when disruptors such as Airbnb, Vrbo, and others began to challenge the traditional economic model anchoring that market. With such dramatic structural changes, meaningly defining the market becomes difficult, let alone applying the notions relative market share and market growth rate.

Given these problems, many companies have dropped formal matrix-based methods in favor of customized approaches that better suit their specific situations. These approaches are also more decentralized, placing responsibility for strategic planning in the hands of cross-functional teams of division-level and market-level managers who are close to their markets. In this digital age, these managers have rich and current data at their fingertips and can adapt their plans quickly to meet changing market conditions.

Developing Strategies for Growth and Downsizing

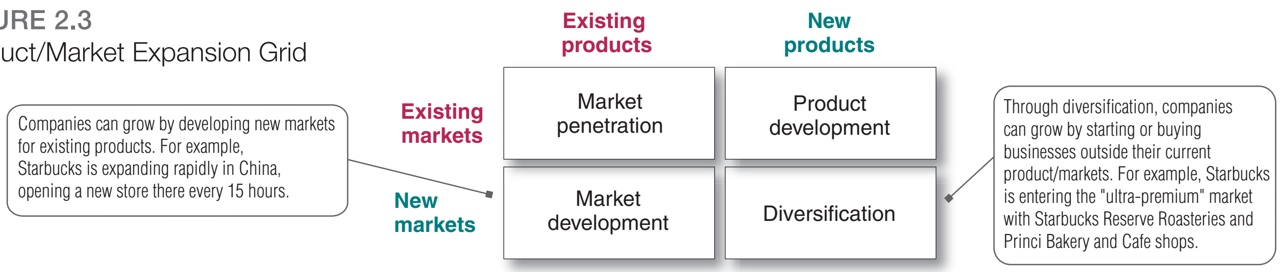
Beyond evaluating current businesses, designing the business portfolio involves finding businesses and products the company should consider in the future. Companies need growth to compete effectively, satisfy their stakeholders, and attract top talent. But growth alone is insufficient. The company must pursue "profitable growth."

Product/market expansion grid
A portfolio-planning tool for identifying company growth opportunities through market penetration, market development, product development, or diversification.

Marketing bears the main responsibility for achieving profitable growth. Marketing needs to identify, evaluate, and select market opportunities and craft strategies for capturing them. One useful device for identifying growth opportunities is the **product/market expansion grid**, shown in **Figure 2.3**.[7] We apply it here to Starbucks.

As discussed in our chapter-opening story, in only four decades, Starbucks has grown at an astounding pace from a small Seattle coffee shop to an over $24 billion powerhouse with more than 34,000 retail stores in more than 83 countries. Growth is the engine that

FIGURE 2.3
The Product/Market Expansion Grid



Strategies for growth: To maintain its incredible growth, Starbucks has brewed up an ambitious, multipronged growth strategy. In little more than three decades, the chain has grown from a small Seattle coffee shop to an over $24 billion powerhouse.

ChameleonsEye/Shutterstock

keeps Starbucks perking. To maintain its incredible growth in an increasingly overcaffeinated marketplace, Starbucks has brewed up an ambitious, multipronged growth strategy.[8]

First, Starbucks's management might consider whether the company can achieve deeper **market penetration**—making more sales to current customers without changing its original products. It might add new stores in current market areas to make it easier for customers to visit. In fact, Starbucks plans to grow to 55,000 stores in more than 100 markets by 2030, an increase of 75 percent from its current 34,000 stores. And improvements in Starbucks's advertising, prices, service, store design, delivery platforms, or menu selection might encourage customers to stop by more often, stay longer, or buy more during each visit. Thanks to an ever-expanding food menu, sales of breakfast items alone have doubled in the past four years, and food sales currently account for 20 percent of Starbucks's total revenue.

Market penetration
Company growth by increasing sales of current products to current market segments without changing the product.

Second, Starbucks might consider possibilities for **market development**—identifying and developing new markets for its current products. For instance, managers could review new demographic markets. Perhaps new groups—such as seniors—could be encouraged to visit Starbucks shops for the first time or to buy more from them. Managers could also review new geographic markets. Starbucks is now expanding swiftly in non-U.S. markets, especially Asia. For example, the number of Starbucks stores in China has grown from 800 to 6,000 in the past eight years, with an average of one new store opening every 15 hours.

Market development
Company growth by identifying and developing new market segments for current company products.

Third, Starbucks could consider **product development**—offering modified or new products to current markets. For example, to capture a piece of the fast-growing single-serve beverage market, Starbucks developed Via instant coffee, and it sells its coffees and Tazo teas in K-Cup packs that fit Keurig at-home brewers. Starbucks continues to expand it lines of ready-to-drink beverages sold in grocery stores, such as Starbucks Coffee with Essential Vitamins, Starbucks Cold Brew Concentrate, and Starbucks Coffee with 2x the Caffeine. And as a part of its ongoing commitment to health and sustainability, Starbucks added a line of plant-based Oatly oat milk selections to its core store menu. Starbucks is also developing new store formats, including Starbucks Pickup stores, pick-up only stores in major metropolitan areas geared toward customers who order ahead and pay with the mobile app. Most recently, Starbucks is experimenting with a cashierless concept store in Manhattan in partnership with Amazon. The store is part Starbucks mobile order pickup and part Amazon Go—the convenience store concept that uses cameras and sensors to track customer purchases and automatically charge them to customer accounts.

Product development
Company growth by offering modified or new products to current market segments.

Finally, Starbucks might consider **diversification**—starting up or buying businesses beyond its current products and markets. For example, the company created the ultra-premium Starbucks Reserve brand, with Starbucks Reserve Roasteries and Starbucks Reserve Bars featuring high-end immersive experiences. Within its Starbucks Reserve locations, the company is opening Princi Bakery and Café shops, offering artisan Italian food—from fresh-baked bread and pastries to flaky cornetti to focaccia sandwiches—based on the recipes of famed Italian baker Rocco Princi. Starbucks is also experimenting with standalone boutique Princi bakery stores, taking the company beyond coffee and snack shops. Such diversification into premium food and beverages fits well with the brand's "Starbucks Experience" positioning.

Diversification
Company growth through starting up or acquiring businesses outside the company's current products and markets.

But it's not all about growth. Sometimes, companies must *downsize* their business portfolios by exiting products, markets, or both. A firm may have grown too fast or entered areas where it lacks expertise. The market environment might change, making some products or markets less profitable. For example, in difficult economic times, many firms prune out weaker, less-profitable products and markets to focus their more limited resources on the strongest ones. Finally, some products or business units or the markets for them may simply age and fade.

Companies must carefully prune, harvest, or divest brands or businesses that no longer fit their overall strategy. For example, in past years, P&G has sold off numerous major brands, including Crisco, Folgers, Jif, Pringles, Duracell batteries, Right Guard deodorant, Aleve pain reliever, CoverGirl and Max Factor cosmetics, Wella and Clairol hair care brands, and its Iams and other pet food brands. This has allowed P&G to focus deeply on a more selective set of household care and beauty and grooming products.

Author Comment | Marketing can't go it alone in creating customer value. Under the company-wide strategic plan, marketing must work closely with other departments to design an effective internal company value chain—and with other companies in the marketing system to create an external value creation and delivery network—in order to serve customers well.

Planning Marketing: Partnering to Build Customer Relationships

OBJECTIVE 2-3 Explain marketing's role in strategic planning and how marketing works with its partners to create and deliver customer value.

The company's strategic plan establishes what kinds of businesses the company will operate and its objectives for each. Then, within each business unit, more detailed planning takes place. The major functional departments in each unit—marketing, finance, accounting, purchasing, operations, information systems, human resources, and others—must work together to accomplish strategic objectives.

Marketing plays many key roles in the company's strategic planning. First, marketing provides a guiding *philosophy*—the marketing concept—that focuses the company strategy on creating customer value and building profitable relationships with key customer segments. Second, marketing provides critical *insights* to strategic planners and helps them shape high-level corporate strategy by assessing market conditions, identifying attractive market opportunities, and evaluating the company's ability to take advantage of them. Finally, apart from helping set the objectives for individual business units, marketing facilitates the design and execution of market-focused *strategies* at the unit level to profitably achieve those objectives.

Customer engagement and value are the key ingredients in the marketer's formula for success. However, as noted in Chapter 1, although marketing plays a leading role, it cannot act alone. It must partner with other entities in attracting, engaging, and growing customers. In addition to *customer relationship management*, marketers must also practice *partner relationship management*. They must work closely with partners in other company departments to form an effective internal *value chain* that serves customers. Moreover, they must partner effectively with other companies in the marketing system to form a competitively superior external *value delivery network*. We now take a closer look at the concepts of a company value chain and a value delivery network.

Partnering with Other Company Departments

Value chain
The set of internal departments that carry out value-creating activities to design, produce, market, deliver, and support a firm's products.

Each company department can be thought of as a link in the company's internal **value chain**.[9] That is, each department carries out value-creating activities to design, produce, market, deliver, and support the firm's products. The firm's success depends not only on how well each department performs its work but also on how well the various departments coordinate their activities.

For example, consider Airbus—one of the world's two largest commercial airplane manufacturers.[10] The Airbus marketing and sales teams often compete head-to-head against Boeing to obtain and keep commercial airline customers ranging from Delta, American, and United to Air Canada, Lufthansa, Emirates, Swiss Air, and most other major air carriers. A single large sale can total billions of dollars over several years. Marketing plays a key role in engaging with and understanding the needs of customer airlines, translating them into product specifications, and designing and executing a marketing and sales strategy. However, marketing alone cannot make a sale or maintain the customer relationship. Marketing partners with other Airbus departments to ensure that the customer's needs are ultimately met.

Airbus's design and engineering groups must assure customers that the company's aircraft will meet their operational requirements, offer competitive operating costs, and pass rigorous performance and safety testing. Various Airbus operational groups must ensure on-time delivery and the availability of backup parts and services. The finance department must help with pricing and financing. Beyond delivery, Airbus must be ready to support the aircraft with maintenance services and parts over its life cycle. To put all this together, obtain a sale, and maintain a profitable long-term customer relationship calls for marketing, finance, design, production, service, and other Airbus departments to engage in a highly choreographed dance of customer value creation and delivery over time. In fact, at the top of the list of Airbus's company values are "We are one/teamwork!" and

The value chain: To obtain sales and maintain a profitable customer relationship, Airbus marketers work closely with finance, design, production, service, and other Airbus departments to engage in a highly coordinated customer value creation and delivery process over time. Working together, the total company team can help Airbus's airline customers "own the sky."

vaalaa/Shutterstock

"Customer focus." Working together, the total company team can help Airbus's airline customers "own the sky."

A company's value chain is only as strong as its weakest link. At Airbus, if purchasing can't obtain the required combination of high quality, reliability, and competitive prices from suppliers, then marketing cannot deliver on its promise of high-performing, reliable, and safe aircraft to its customers.

A company's different functions should ideally work in harmony to produce value for consumers. But, in practice, departments often conflict with each other. The marketing department takes the consumer's point of view. But when marketing tries to improve customer value and satisfaction, it can cause other departments to do a poorer job on dimensions they value. For example, marketing can ask for perfect, even over-engineered products that delight customers, delivered at exactly the desired times and places. But such demands can increase purchasing costs, disrupt production schedules, increase inventories, and create budget headaches—ultimately reducing overall profitability. Thus, other departments may resist the marketing department's efforts.

In fact, sometimes top management may strategically design conflicting objectives for departments so that they keep a good balance. For example, marketing is often compensated on higher sales, whereas production is rewarded for lower costs. In resolving this conflict through bargaining, marketing can ensure that production does not produce shoddy products that harm customer relationships, whereas production can ensure that marketing does not overspend on quality and create losses in an unbridled quest to satisfy customers.

Engaging customers today requires a whole-company commitment. Marketers can play a key role in getting all departments to "think consumer" and developing a smoothly functioning value chain. As HP cofounder David Packard once famously said, "Marketing is too important to be left only to the marketing department." Thus, whether you're an accountant, an operations manager, a financial analyst, an IT specialist, or a human resources manager, you need to understand marketing and your role in creating customer value. From finance to marketing to manufacturing, every employee should see how their role plays a part in the customer experience.

Partnering with Others in the Marketing System

Value delivery network
A network composed of the company, suppliers, distributors, and, ultimately, even customers who partner with each other to improve the performance of the entire system in delivering customer value.

In its quest to engage customers and create customer value, the company needs to look beyond its own internal value chain and into the value chains of suppliers, distributors, and, ultimately, customers. Consider fast-food chain Subway. People flock to Subway for its fresh sandwiches. But it is Subway's finely tuned customer **value delivery network** that consistently delivers fresh, fast, and tasty made-to-order sandwiches at affordable prices. Subway is effective only to the extent that it successfully partners with its franchisees, suppliers, and others to jointly carry out its "Make It What You Want" positioning promise. Competition no longer takes place only between individual competitors. Rather, it takes place between the entire value delivery network created by these competitors. Thus, Ford's performance against Toyota depends on the quality of Ford's overall value delivery network versus Toyota's. Even if Ford makes the best cars, it might lose in the marketplace if Toyota's dealer network provides a more customer-satisfying sales and service experience.

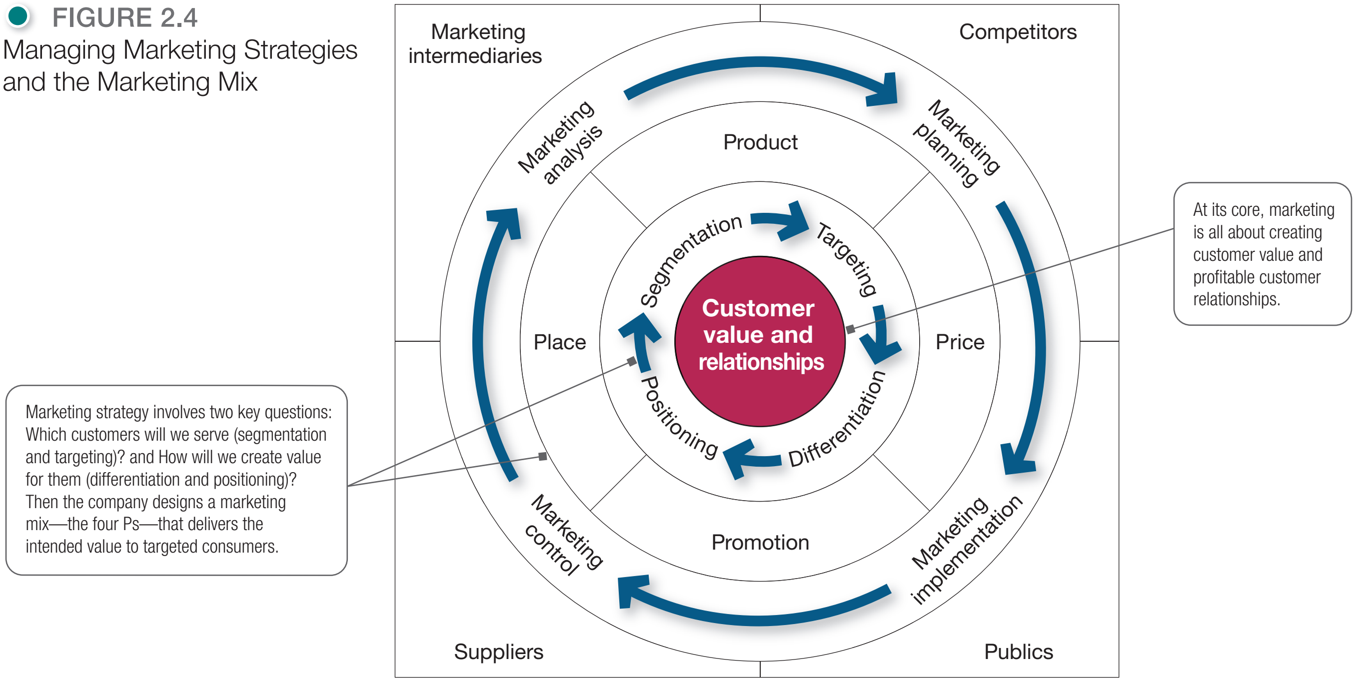
Author Comment | Now that we've set the context in terms of company-wide strategy, it's time to discuss customer value–driven marketing strategies and programs.

Marketing Strategy and the Marketing Mix

OBJECTIVE 2-4 Describe the elements of a customer value–driven marketing strategy and mix and the forces that influence them.

The strategic plan defines the company's overall mission and objectives. Marketing's role under the strategic plan is shown in **Figure 2.4**, which summarizes the major activities involved in managing a customer value–driven marketing strategy and the marketing mix.

FIGURE 2.4
Managing Marketing Strategies and the Marketing Mix



Marketing strategy
The marketing logic by which the company hopes to create customer value and achieve profitable customer relationships.

Customers are at the center. The goal is to create value for customers and build profitable customer relationships. Next comes **marketing strategy**—the marketing logic by which the company hopes to create this customer value and achieve these profitable relationships. The company decides which customers it will serve (segmentation and targeting) and how (differentiation and positioning). It identifies the total market and then divides it into smaller segments, selects the most promising segments, and focuses on serving and satisfying the customers in these segments.

Guided by marketing strategy, the company designs an integrated *marketing mix* made up of factors under its control—product, price, place, and promotion (the four Ps). The mix itself must be strategically designed to be long-term oriented, profitable, and sustainable. To find the best marketing strategy and mix, the company engages in marketing analysis, planning, implementation, and control. Through these activities, the company watches and adapts to the actors and forces in the marketing environment. We will now look briefly at each activity. In later chapters, we will discuss each one in more depth.

Customer Value–Driven Marketing Strategy

To succeed in today's competitive marketplace, companies must be customer-centric. They must win customers from competitors and then engage and grow them by delivering greater value. But before a company can satisfy customers, it must first understand customer needs and wants. Thus, sound marketing requires careful customer analysis.

Companies cannot profitably serve all consumers in a given market—at least not all consumers in the same way. There are too many different kinds of consumers with too many different kinds of needs. Companies that try to be everything to everybody often end up being very little to anybody. Most companies are in a position to serve some segments better than others. Thus, each company must divide up the total market, choose the best segments, and design strategies for profitably serving chosen segments. This process involves *market segmentation*, *market targeting*, *differentiation*, and *positioning*.

Market Segmentation

Market segmentation
Dividing a market into distinct groups of buyers who have different needs, characteristics, or behaviors and who might require separate marketing strategies or mixes.

The market consists of many types of consumers, products, and needs. The marketer must determine which segments offer the best opportunities. Consumers can be grouped and served in various ways based on geographic, demographic, psychographic, and behavioral factors. The process of dividing a market into distinct groups of buyers who have different needs, characteristics, or behaviors and who might require separate marketing strategies or mixes is called **market segmentation**.

Every market has segments, but not all ways of segmenting a market are equally useful. For example, pain reliever Tylenol would gain little by distinguishing between low-income

Market segment
A group of consumers who are expected to respond in a similar way to a given set of marketing efforts.

and high-income pain-relief users if both respond the same way to marketing efforts. A **market segment** usually consists of consumers who are expected to respond in a similar way to a given set of marketing efforts. Usually, this shared response is based on shared needs across the customers in a segment. In the car market, for example, consumers who want the biggest, most comfortable car regardless of price make up one market segment. Consumers who care mainly about price and operating economy make up another segment. It would be difficult to make one car model that was the first choice of consumers in both segments. Companies should focus their efforts on meeting the distinct needs of individual market segments.

Market Targeting

Market targeting
Evaluating each market segment's attractiveness and selecting one or more segments to serve.

After a company has defined its market segments, it can enter one or more of these segments. **Market targeting** involves evaluating each market segment's attractiveness and selecting one or more segments to enter. A company should target segments in which it can profitably generate the greatest customer value and sustain it over time.

A company with limited resources might decide to serve only one or a few special segments or market niches. Such *nichers* specialize in serving customer segments that major competitors overlook or ignore. For example, McLaren sells fewer than 5,000 of its very-high-performance cars each year but at very high prices—such as its entry-level 570S model at $192,500 or the Speedtail model starting at a jaw-dropping $2 million. Only 106 will be made, and all were purchased in advance. Most nichers aren't quite so exotic. Profitable low-cost airline Allegiant Air avoids direct competition with larger major airline rivals by targeting smaller, neglected markets and new fliers. Allegiant "goes where they ain't." And shave and grooming products marketer Harry's uses direct-to-consumer marketing to serve a niche of consumers seeking lower prices and a simpler buying process.

Other companies may choose to serve a wide range of market segments. For example, with its mix of short-haul, national, and international flights, multiple classes of seating ranging from basic economy to first class, and multi-tiered AAdvantage loyalty program, American Airlines services a wide range of segments that differ in terms of travel needs (short-haul versus global), willingness to pay (basic economy versus first class), and loyalty to the airline (members versus non-members of the AAdvantage loyalty program). Or a company might choose to serve several related segments—perhaps those with different kinds of customers but with the same basic wants. The L'Oréal group serves major segments of the beauty market, and within each segment it caters to many sub-segments. L'Oréal targets the larger segments through its major divisions: L'Oréal Luxe, Consumer Products, Professional Products, Active Cosmetics, and The Body Shop. Within these major divisions, L'Oréal markets various brands that cater to customers of different ages, incomes, and lifestyles. For example, its Consumer Product division sells brands like Garnier, L'Oréal Paris, Maybelline New York, Essie, and NYX Professional Makeup. Similarly, the L'Oréal Luxe division offers more than 15 brands, including Lancôme, Giorgio Armani, Urban Decay, Diesel, and Ralph Lauren.

Most companies enter a new market by serving a single segment; if this proves successful, they add more segments. For example, Southwest Airlines entered the crowded airline market almost 50 years ago as an upstart, no-frills commuter airline serving selected second-tier airports in Texas and other Southwestern states. Legendary founder and CEO Herb Kelleher once claimed Southwest's San Antonio–Dallas fare was so low because he wanted to compete against driving between those cities rather than against competing airlines. Based on its early success in niche markets, Southwest has grown to become the United States' second-largest airline, serving more than 121 major destinations in the United States and 11 additional countries.[11] Plant-based milk marketers have started targeting the small segment within the dairy milk market of people who have allergies, intolerances, or special nutritional requirements. The segment has grown bigger, attracting more customers with specific health, fitness, and lifestyle choices (see Real Marketing 2.2). More recently, Tesla challenged well-established, deep-pocketed competitors in the auto industry by first concentrating on a narrow, high-tech, high-end all-electric vehicle market niche with its Model S and later expanded toward more of the mass-market space with the Model 3 compact sports sedan and the Model Y crossover utility vehicle.

Market Differentiation and Positioning

Positioning
Arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.

As the company decides which market segments to enter, it must also differentiate its market offering for each targeted segment and position it to occupy a unique space in the minds of targeted customers. **Positioning** is arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers.

Real Marketing 2.2

How Milk Is Becoming Dairy-Free

The dairy-free market has come into its own, and consumers around the world are spoilt for choice of milk alternatives in the market. The non-dairy segment started off as an offshoot of the milk industry, but it has since become a huge industry in itself with various segments of its own. For example, a quick search on the Waitrose website will give you over 30 different variants of milk alternatives. Driving the growth of the non-dairy milk industry are rising health concerns among consumers related to the use of dairy milk, the spread of vegan lifestyles, and new health and fitness trends.

The global consumption of animal milk has been on the decline, a contrast to the sales of plant-based milk alternatives. There are several reasons for this: Lactose intolerance, the inability to digest a sugar in dairy products, is one of the better-known health conditions that force people to look for alternatives, but many also suffer from milk allergies that can cause rashes, diarrhea, vomiting, etc. Consumers are now also more aware of the environmental impact of animal husbandry, prompting many to adopt vegan diets, and of potential health risks associated with potential contaminants, including antibiotics, pesticides, and hormones.

Plant-based non-dairy drinks come from various sources and are marketed accordingly. These include almond milk, cashew milk, coconut milk, hemp milk, oat milk, pea protein milk, rice milk, quinoa milk, and soy milk. There are variants within each of these milk types too, such as sweetened, unsweetened, low-calorie, vanilla, chocolate, and banana flavored.

The most popular plant-based milks are soy, almond, rice, and coconut. Soy milk has been the most popular dairy milk substitute for over four decades, though many consumers do not care for the taste. Almond milk is believed to help in weight management and is a popular complement for smoothies or mixed with cereals and cookies. Coconut milk is particularly popular in Asia and South America but offers less protein and lower calories. All types of plant-based milk offer the advantage of longer shelf life compared to common dairy milk. The growth of the alternative milk segment has prompted many established players in the food and drinks industry to introduce brand extensions in the category. For instance, the Quaker Oats Company announced the launch of its oat milk brand in 2019.

The plant-based milk market size exceeded $12 billion in 2019 and is estimated to achieve a compound annual growth rate (CAGR) of over 11 percent between 2020 and 2026 and be valued at $21 billion by 2026. North America has been leading the global sales of plant-based milk, with 25 percent of the global market share. It is expected that the plant milk market in North America will reach a valuation of more than $6 billion by 2026. This can be attributed to the popular trend of vegan diets and consumption of products with high nutritional values. Europe's non-dairy milk market is forecasted to have a CAGR of 14.5 percent between 2018 and 2023. Asia Pacific—including China, Japan, India, and South Korea—is also anticipated to record a high CAGR of 13 percent between 2017 and 2024.

For the dairy milk industry, however, the rapid growth, popularity, and easy availability of plant-based milk pose a major threat. Faced with a continuous decline in the consumption of cow's milk in many markets around the world, diary milk producers have developed campaigns to position cow's milk as a complete natural food for healthy bones and teeth that cannot be substituted with plant-based alternatives. They have also argued that plant-based alternatives cannot be labeled and marketed as milk. For example, in the European Union, a landmark ruling by the European Court of Justice stated that any vegan, dairy-alternative brand cannot be sold if it has used the words "milk," "butter," or "cheese"; however, there are exemptions to this rule, such as almond milk, coconut milk, and peanut butter. For their part, plant-based milk producers contend that they have not fooled customers, for most of these products are positioned based on their sources or ingredients, and they offer different values and benefits to customers based on their preferences.

An interesting example of the ongoing dispute between dairy and non-dairy producers comes from Sweden, where the non-dairy milk brand Oatly was taken to court by the country's dairy lobby. The latter argued that Oatly's campaign disparaged cow's milk as unhealthy through taglines in its ads such as "Like milk, but made for humans," "Oh wow, no cow," and "No milk, no soy." The combined sales of the group that the lobby represented were 200 times greater than Oatly's sales, but the lawsuit increased the sales of the brand significantly.

Many companies have based their vision and mission on offering customers plant-based products, like Alpro, a Belgium-based company that started by selling soy milk in 1980 and has since developed various other organic and non-organic plant-based products. Alpro aims to be the leading contributor in expanding plant-based food and drinks options. The company says that its vision is to see a world where more people's food items come directly from plants, and the company wants to change what people eat by offering tasty, natural, and healthy plant-based nutritious food.

For plant-based milk producers, Gen Z and millennial families look to be the most profitable demographic segment as they

The non-dairy segment started off as an offshoot of the milk industry but has now become a huge industry containing various segments within itself.

imageBROKER/Alamy Stock Photo

generally have higher awareness of and concern for animal welfare as well as the nutritional content and health benefits and risks of milk. They are also more willing to spend more on such products.

Both the dairy industry and the non-dairy industry are sure to witness more shifts as consumer preferences evolve. Product development will be a key factor in determining success. The non-dairy market can continue to look for alternative sources, new flavors, textures, formulations, and adaptations. The non-dairy industry will have to demonstrate that these products provide long-term health and sustainability benefits; at the same time, it must encourage more changes in product development and consumer behavior. Other areas of growth for non-dairy alternatives is their use in products like yogurt, frozen desserts and ice cream, creamers, and cheese.

Meanwhile, the old values of price, taste, and convenience that worked for the traditional dairy milk industry are being replaced by new values like wellness, health, safety, and social impact. The dairy industry needs to be more innovative and needs to expand in terms of products that will connect better with consumers. For example, Arla, one of the biggest UK milk producers, is planning to launch a carbonated, fizzy milk product in the United Kingdom, Singapore, and the United Arab Emirates. Some predict that such products could successfully leverage the sparkling-water and flavored milk trends among millennials and the more experimental beverage users. Flavored milk generally has a longer shelf life too, so this could help in competing with plant-based milk on that basis.[12]

Effective positioning distinguishes products from competing brands and gives them the greatest advantage in their target markets. The essence of a brand or product positioning can often be captured with a tagline. For example, Volkswagen gives you "Think small"; L'Oréal says, "Because I'm worth it"; British Airways claims to be "The world's favorite airline"; Huawei tells you to "Make it Possible"; and Siemens positions itself as "Ingenuity for life." Moreover, BMW promises "Sheer driving pleasure" and adidas tells people that "Impossible is nothing."

Positioning: Global Village Dubai's positioning as a funfair ground sets it apart from the plethora of theme parks in the region.

Aleksandar Tomic/Alamy Stock Photo

Such deceptively simple statements form the backbone of a product's marketing strategy. Global Village Dubai is a multicultural festival park that provides entertainment as well as food-and-beverage outlets representing countries around the world. A total of 75 countries feature in pavilions each year when the cooler season comes to the desert city, and it has been a regular feature in Dubai events calendar for the past 25 years. Global Village has four components: the funfair, entertainment and shows, authentic retail products representing each country, and food-and-beverage outlets from different parts of the world. The success of the Global Village's masterplan is in its positioning, not as a theme park—of which there are plenty in the UAE boasting the highest or the fastest rides—but as a funfair ground like Coney Island or Oktoberfest in Germany. It provides that full experience of lights, sound, music, rides, and food. This is the proposition of a fully fledged marketable brand, one that is local, offers its own experience, but celebrates different cultures. The success of the Global Village lies in its ability to draw local crowds with its location, pricing, and entertainment style, which distinguishes it from competing brands and makes it so desirable as a regional and local tourist destination.[13]

In positioning its brand, a company first identifies possible points of differentiation from the competition that provide competitive advantages in the marketplace. The positioning builds on these differences. A company can offer greater customer value by either charging lower prices than competitors or offering more or different benefits to justify higher prices. But if the company *promises* greater value, it must then *deliver* that greater value. Thus, effective positioning begins with

Differentiation
Actually differentiating the market offering to create superior customer value relative to the competition.

differentiation—actually *differentiating* the company's market offering to create superior customer value relative to the competition. Once the company has chosen a desired positioning, it must deliver and communicate that positioning to target consumers. The company's entire marketing program should support the chosen positioning.

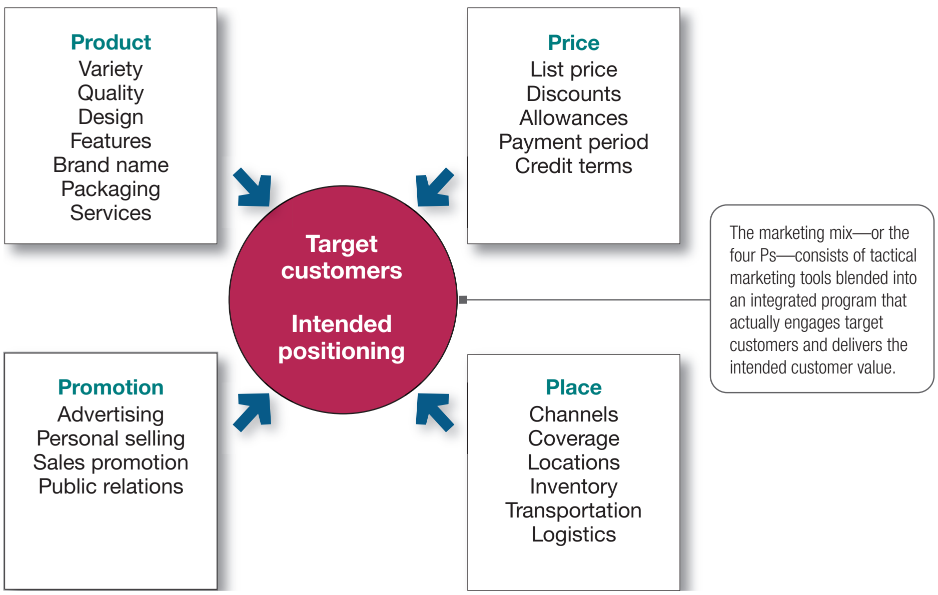
Developing an Integrated Marketing Mix

Marketing mix
The set of marketing tools—product, price, place, and promotion—that the firm blends to produce the response it wants in the target market.

After determining its overall segmentation, targeting, differentiation, and positioning strategy, the company is ready to begin planning the details of the **marketing mix**, one of the major concepts in modern marketing. The marketing mix is the set of marketing tools that the firm blends to produce the response it wants in the target market. The marketing mix consists of everything the firm can do to engage consumers and deliver customer value. The many possibilities can be collected into four groups of variables—the four Ps. **Figure 2.5** shows the marketing tools under each P.

- *Product* captures the offering from the company to the target market. It can include physical or digital products, services, solutions, or even experiences. Thus, a Ford Escape consists of nuts and bolts, spark plugs, pistons, headlights, and thousands of other parts. Ford offers several Escape models and dozens of optional features. But the car also comes with the expectation of services and parts that will keep it working smoothly over its lifetime, and those offerings are as much a part of the product as the tailpipe.
- *Price* is the amount of money customers must pay to obtain the product. For example, Ford calculates suggested retail prices that its dealers might charge for each Escape. But Ford dealers rarely charge the full sticker price. Instead, they negotiate the price with each customer, offering discounts, trade-in allowances, and credit terms. These actions adjust prices for the current competitive and economic situations and bring them into line with the buyer's perception of the car's value. Sometimes the price can be paid over time. For example, customers pay for some video games based on their usage patterns over time.
- *Place* includes company activities that make the product available to target consumers. Ford partners with a large body of independently owned dealerships that sell the company's many different models. Ford selects its dealers carefully and strongly supports them. The dealers keep an inventory of Ford automobiles, demonstrate them to potential buyers, negotiate prices, close sales, and service the cars after the sale. Today, many digital products can be delivered over the internet or on mobile devices. In these cases, the traditional brick-and-mortar channel is replaced by a digital channel.
- *Promotion* refers to activities that communicate the benefits of the product and persuade target customers to buy it. Ford spent nearly $2.3 billion last year on U.S. advertising to tell consumers about the company and its many products.[14] Dealership

FIGURE 2.5
The Four Ps of the Marketing Mix



salespeople assist potential buyers and persuade them that Ford is the best car for them. Ford and its dealers offer special promotions—sales, cash rebates, and low financing rates—as added purchase incentives. While advertising was traditionally delivered through television, print, and direct mail, today Ford also employs websites and social media platforms such as Facebook, Twitter, YouTube, and Instagram to engage consumers with the brand and with each other.

Effective marketing blends the marketing mix elements into an integrated marketing program designed to achieve the company's marketing objectives by engaging consumers and delivering value to them. The marketing mix constitutes the company's tool kit for establishing a strong positioning in target markets. Therefore, the entire marketing mix must be designed to support the chosen targeting and positioning.

Some critics think that the four Ps may omit or underemphasize certain important activities. For example, they ask, "Where are services? Just because they don't start with a *P* doesn't justify omitting them." The answer is that services, such as banking, airline, financial, and retailing services, are products too. We might call them *service products*. "Where is packaging?" the critics might ask. Marketers would answer that they include packaging as one of many product decisions. All said, as Figure 2.5 suggests, many marketing activities that might appear to be left out of the marketing mix are included under one of the four Ps. The issue is not whether there should be four, six, or ten Ps so much as what framework is most helpful in designing integrated marketing mixes.

There is another concern, however, that is valid. It holds that the four Ps concept takes the seller's view of the market, not the buyer's view. From the buyer's viewpoint, in this age of customer value and relationships, the four Ps might be better described as the four As:[15]

Four Ps	Four As
Product	Acceptability
Price	Affordability
Place	Accessibility
Promotion	Awareness

Under this more customer-centered framework, *acceptability* is the extent to which the product exceeds customer expectations; *affordability* the extent to which customers are willing and able to pay the product's price; *accessibility* the extent to which customers can readily acquire the product; and *awareness* the extent to which customers are informed about the product's features, persuaded to try it, and reminded to repurchase. The four As relate closely to the traditional four Ps. Product design influences acceptability, price affects affordability, place affects accessibility, and promotion influences awareness. Marketers would do well to think through the four As first and then build the four Ps on that platform.

Author Comment | So far we've focused on the marketing in marketing management. Now, let's turn to the management.

Managing the Marketing Effort and Marketing Return on Investment

OBJECTIVE 2-5 Explore the marketing management functions, including the elements of a marketing plan, and discuss the importance of measuring and managing marketing return on investment.

Managing the Marketing Effort

In addition to being good at the *marketing* in marketing management, companies also need to pay attention to the *management*. Managing the marketing process requires the five marketing management functions shown in **Figure 2.6**—*analysis, planning, implementation, organization,* and *control*. The company first develops company-wide strategic plans and then translates them into marketing and other plans for each division, product, and brand. Through organization and implementation, the company turns the plans into actions. Control consists of measuring and evaluating the results of marketing activities and taking corrective action where needed. Finally, marketing analysis provides the information and evaluations needed for all the other marketing activities.

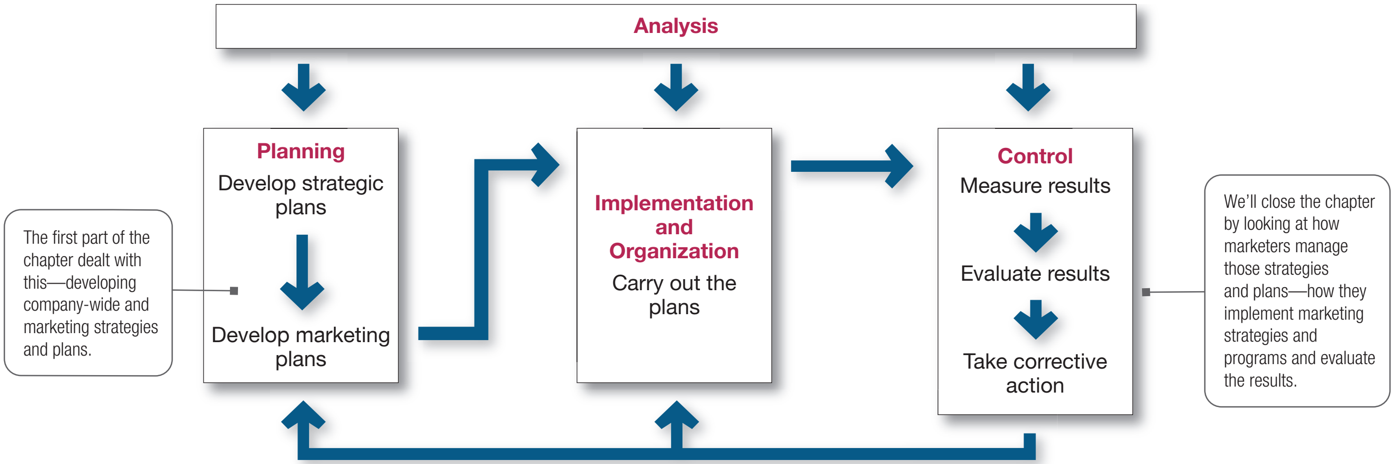


FIGURE 2.6
Managing Marketing: Analysis, Planning, Implementation, and Control

SWOT analysis
An overall evaluation of the company's strengths (S), weaknesses (W), opportunities (O), and threats (T).

Marketing Analysis

Managing the marketing function begins with a complete analysis of the company's situation. The marketer should conduct a **SWOT analysis** (pronounced "swat analysis"), by which it evaluates the company's overall strengths (S), weaknesses (W), opportunities (O), and threats (T) (see Figure 2.7). Strengths include internal capabilities, resources, and positive situational factors that may help the company serve its customers and achieve its objectives. Weaknesses include internal limitations and negative situational factors that may interfere with the company's performance. Opportunities are favorable factors or trends in the external environment that the company may be able to exploit to its advantage. And threats are unfavorable external factors or trends that may present challenges to performance.

The company should analyze its markets and marketing environment to find attractive opportunities and identify threats. It should analyze company strengths and weaknesses as well as current and possible marketing actions to determine which opportunities it can best pursue. The goal is to match the company's strengths to attractive opportunities in the environment while simultaneously eliminating or overcoming the weaknesses and minimizing the threats. Marketing analysis provides inputs to each of the other marketing management functions. We discuss marketing analysis more fully in Chapter 3.

Marketing Planning

Through corporate strategic planning, the company decides what it wants to do with each business unit. Marketing planning involves choosing marketing strategies that will help the company attain its overall strategic objectives. A detailed marketing plan is needed for each business, product, or brand. The marketing plan essentially translates the corporate and marketing strategies into a more tangible blueprint that helps with the successful execution of those strategies at the business, product, or brand level. What does a marketing plan look like? Our discussion focuses on product or brand marketing plans.

FIGURE 2.7
SWOT Analysis: Strengths (S), Weaknesses (W), Opportunities (O), and Threats (T)